

CASE IN POINT⁷

Complete Case Interview Preparation

MARC P. COSENTINO

"With humor and insight, Marc gets students thinking about how to use the case interview as a showcase of their talents rather than an obstacle to their employment."

Nancy Saunders,

Associate Director, Office of Career Services, Harvard University

The Best Selling Case Interview Book on the Planet!



CaseQuestions.com

23 Years of Case Interview Prep Experience

AMAZON REVIEWS

★★★★★ **Secret to success — consulting case interviews.** In graduate school I browsed many books on consulting case interview preparation. This was the only book I read. The clear, consistent way of thinking through how to manage case interviews made sense. Rather than focusing on formulas, frameworks (e.g., Porters Five Forces), or just examples, Cosentino classifies cases into sensible categories and coaches the student through how to think about answering. Additionally, he gives valuable tips on how to get comfortable in the interview.

The true proof, however, was that I interviewed with the two top strategy consulting firms and received offers from both. I would highly recommend this book to anyone considering interviewing with top strategy consulting firms.

★★★★★ **Outstanding prep for case interviews.** *Case in Point* is in my view the best book of its type on the market. The top firms vary their cases from interviewer to interviewer; Cosentino's book provides a good system for tackling any case that you're presented. This book got me extremely well-prepared for my interviews. I just received a summer associate offer from what's arguably the top consulting firm, despite my non-business background.

★★★★★ **This is excellent.** This is probably the best consulting book on the market for undergrads looking to get a job in a top consulting firm after college. I own the *Vault Guide to the Case Interview* and felt this was MUCH better because it gives you a system to follow, not just a bunch of random structures and cases. Cosentino does a great job of putting all these pieces together in a very useful book.

★★★★★ **Great book for consulting preparation.** Cosentino's compilation of cases is a superb way to prepare for management consulting case interviews. Not only does he provide a wide variety of cases (from market-sizing to acquisition opportunity to dipping profits) he also offers several helpful frameworks for approaching consulting cases in general. I would highly recommend this book to anyone planning to do consulting interviews (and they're tough!).

★★★★★ **Having a job interview? Use this book: it's a must.** I used this book as a tool to prepare for interviews, and it really helped me. In this tough period, I followed the Ivy Case Method proposed, and it didn't fail. The book presents in a very readable way what to expect in an interview and how to create your best strategy. I'm usually very skeptical about these kinds of books, but I must say that Cosentino is able to attract the reader and through anecdotes and concrete examples, to keep the reader's interest till the last page. Definitely a must.

★★★★★ **Got me a consulting job!** I was VERY nervous about getting a good job after school. I compared several interview guides and found some to be incomplete and others to be too long and confusing. Cosentino's *Case in Point* was easier to understand and covered the key techniques/frameworks behind case interviews. I practiced the sample cases and I eventually got a job in strategy consulting.

Here's what's new in the 7th edition

- [7 Strategy Cases](#)
- [8 Case Starts \(Practice setting up the case\)](#)
- [3 Human Capital Cases](#)
- [21 Ways to Cut Costs](#)
- [Advice for Industry Hires](#)



CQ INTERACTIVE

The most advanced online interactive case training developed. CQI focuses on the skills you'll need to walk into the case interview well prepared and confident.

Developed by Marc P. Cosentino, author of *Case in Point: Complete Case Interview Preparation*

Intro to Case Interviews

Math-landish – Math Drills

- a. Percentages
- b. Breakevens and Weighted Averages
- c. Net Present Value / Time Value of Money
- d. General Math Problems

Chart Design and Analysis

Ivy Case Drills

Case Structure Drills and Factor Questions

Market-sizing Cases

Interactive Cases

Slides from Workshop

Consulting Behavior Questions

General Interview Tips (Non-case Interviews)

- a. Sample Interview Questions
- b. Interview Tips Outline

About Résumés

Available at www.CaseQuestions.com

Also by Marc P. Cosentino

The Harvard College Guide to Consulting Case Questions

The Harvard College Guide to Consulting

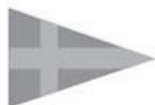
The Harvard College Guide to Investment Banking

Case In Point

Complete Case Interview Preparation

SEVENTH EDITION

Marc P. Cosentino



Published by Surgee Press, Needham, MA

Acknowledgments

Special thanks are due to Brett Deware, Cullen Hilken, Lynda Knoll Cotter and Semil Shah who contributed cases.

Thanks are owed to all the students from around the world who contributed thoughts and case questions, especially Adrian Cighi, Agn  s No  l, Asanka Jayasuriya, Basil Waite, Deepa Gupta, Emily Cosentino, Eric Edwards, Gonzolo Zubieta, Javier Luzarraga, John Loken, Memphis Gator, Mukund Jain, Sebastien Desreux, Sinjin Brooks, Tatum Bell III, and Veronica Chau.

Many thanks to an unsung hero, my book designer, Jean Hammond, whose patience and sense of humor made many hours of toil great fun.

Copyright    2011 Burgee Press
Burg  e Press
P.O. Box 920654
Needham, MA 02492

All rights reserved.
No part of this book may be reproduced in any form, except brief excerpts for the purpose of review, without written permission of the publisher.

As with all case questions, we assume facts not in evidence, as well as generous assumptions. Familiar companies are used as examples because of the power of their brand and their familiarity to the general public. Information concerning the actual companies cited as examples may not be accurate. This information was based on research but should not be used as reliable, up-to-date data.

Edited by Joan Oleck

ISBN 978-0-9710158-6-9
Library of Congress Cataloging-in-Publication Data:
Case in Point: Complete Case Interview Preparation / Marc P. Cosentino — 7th ed.
Library of Congress Card Number 2001117521

First Printing, 1999
Printed in the United States of America
Second Edition 2001
Third Edition 2004
Fourth Edition 2005
Fifth Edition 2007
Sixth Edition 2009
Seventh Edition 2011



The mind is wondrous. It starts working the second you're born and doesn't stop until you get a case question.

Dedication

To my closest friends: Eric Edwards, Taylor Barit and Bill Borson.

I admire each one for the laughter, support, courage, and joy they bring to my life.

1 Introduction

2 The Interview

[Introduction](#)

[Questions About You](#)

[Why Consulting?](#)

[Possible Math Question](#)

[Case Questions](#)

[Your Questions](#)

[The Grand Finale](#)

[Stress Interviews](#)

[Confidence](#)

[Advice for International Students](#)

[Advice for Industry Hires](#)

3 Case Questions

[Purpose of the Case Question](#)

[Case Preparation](#)

[The Case Commandments](#)

[Types of Case Questions](#)

[Written Case Questions and Tests](#)

[Irking the Interviewer](#)

[If You Get Stuck](#)

[The Trouble with Math](#)

[Notes Design](#)

[The Summary and The Final Slide Case Journal](#)

4 The Ivy Case System©

[Best Case Thinking](#)

[The First Four Steps](#)

[The 12 Case Scenarios](#)

[Ivy System at a Glance](#)

5 Additional Tools and Frameworks

[Five C's and Four P's](#)

[BCG Matrix](#)

[Michael Porter's "Five Forces"](#)

[The Value Chain](#)

[Income Statement](#)

[An Aristotelian Framework](#)

[Ways to Cut Costs](#)

["If" Scenarios to Remember](#)

[Business Case Tips](#)

6 Practice Cases

[Anatomy of a Profit and Loss Case](#)

[Case Starts](#)

[Case Index](#)

[25 Cases](#)

[12 Partner Cases](#)

[The Roommate's Guide](#)

7 Human Capital Cases

8 Marketing Case Questions

[Frameworks](#)

[New Product Launch](#)

[Competitive Defense](#)

[5 Ps](#)

[Key Measures](#)

[Common Marketing Interview Questions](#)

9 Final Analysis

10 Consulting Buzzwords

11 Partner Case Charts

1 : Introduction

In Q4, the number-three US wireless carrier slipped further behind its rivals in its number of customers, even as profits rose 35%. What do you think is going on?

Consulting firms are in the business of renting out brains. Consultants get paid to synthesize massive quantities of foreign data, toss out the irrelevant information, structure an approach to a given client issue and hypothesize logically and creatively before people of power and influence (like bigwigs at the wireless company). That's why consulting firms put so much weight on the case question — because it allows them to judge how logically and persuasively a potential consultant (i.e., you) can present a case. In essence, a case interview is a role-playing exercise.

In order to nail a case interview, you need to know both how to prepare and how to perform. This book will help you do both. It walks you through the overall consulting interview, teaches you how to conduct your research, tells you what the consulting firms are looking for in a candidate, explores the various types of case questions and then introduces you to the Ivy Case System©.

As a career officer at Harvard University for over eighteen years, I've helped more than ten thousand of the nation's top students prepare for case interviews. During this time, students have tirelessly memorized individual frameworks and then struggled to decide which one(s) to apply. All the while, the case questions given by consulting firms, as well as by a growing number of companies in various industries, have become increasingly complex. The standard frameworks of the past, while still valuable, aren't enough to solve these sophisticated cases. I've developed The Ivy Case System© in order to simplify things. This system will allow you to make an impressive start (without a long and awkward pause) and ensure that you approach the answer in an organized and logical way. The difference between a framework and a system is that a framework is a tool; a system is a process with all the tools built in. The Ivy Case System© is the most sensible and comprehensive case interview strategy you can learn.

Keep in mind that case questions help educate you during your job search by acting as a self-imposed screening device. Is this the type of work you want to be doing? Is this the type of environment in which you can learn and flourish? You need to ask yourself, "Do I enjoy problem solving? Do I enjoy these types of questions and issues?" Case questions can and should be fun.

The best way to prepare is to hunker down and (i) read this book and don't skip any pages; (ii) attend all case question workshops sponsored by consulting firms or your career services office; (iii) practice with your econ professor, roommates, friends and anyone you know who worked or is currently working in consulting; and (iv) read this book again and don't skip any pages.

Sounds like you had better start reading . . .

2 : The Interview

Relax, it's worse than you think. If you figure the odds of getting chosen for an interview, having all the interviewers like you, and making it through seven to ten cases, you'll be spending next semester's tuition on lottery tickets. But you know what? You faced much tougher odds when you applied to a top school. Not only were you accepted, you thrived. So forget about the odds and concentrate on *you*. If there was ever a time for tunnel vision, this is it. Besides, the recruiters don't know about the time you ... well, they don't know and we're certainly not going to tell them. So head into your interview with a clean slate.

This chapter will walk you through a first-round interview and show you how to prepare properly for each step. Some firms set up two back-to-back 45-minute interviews for the first round. In these interviews, one interviewer spends more time questioning you about yourself and then gives a short case question, while the other interviewer spends less time on you and more time on the case.

+ Introduction

You get called, offer your clammy hand, then lie and say, “It’s great to be here.” Nothing to it; you did it the last time you had a blind date. (Let’s hope this goes a little better.)

Cliché time: You never get a second chance to make a first impression. Eye contact, a pleasant smile, and a firm handshake are paramount.

FIRST-ROUND INTERVIEW

Usually two 45-minute back-to-back interviews

The first person spends 25 minutes talking to you about you (why consulting?), asking for examples of leadership, persuasion, failure and team experience. Next a small case, either a market-sizing, factor case, or small business problem. She then ends with your questions for the company.

The second person spends 10 minutes breaking the ice and then gives you a full case, taking up 25 to 30 minutes and often including charts for analysis. The last few minutes are taken up with your questions.

+ Questions About You

The first part of the interview is all about “getting to know you.” McKinsey calls it a PEI, which stands for Personal Experience Interview. They will ask you to come up with several examples of times when you influenced or persuaded a group, about your relationship-building style, and about goals that you set for yourself and were successful in meeting. Interviewers will ask you several questions drawn from your résumé (anything on your résumé is fair game). They may even ask, “Your life is a newspaper article. What’s the headline?”

What they are looking for:

- a confident, comfortable demeanor and strong communication skills (Are you a nervous wreck?)
- leadership ability and initiative (Forget about the time you organized that keg party.)
- ability to be a team player (Do you play well with others?)
- drive, aspirations, energy, morals, and ethics (Do you have any?)

In this part of the interview you should be responding, not thinking. During the case questions you’re going to do enough thinking to last you for a week. You need to research yourself beforehand. Look at the list of the most commonly asked questions in a consulting interview (see sidebar). You may not be asked any of these questions, but if you take the time to *write out the answers* or, better yet, bullet point the answers, you will be forced to think about things you haven’t thought about in years (or ever). Don’t be surprised if the interviewer asks, “Tell me about a time you persuaded a group to do something they didn’t want to do.” You give her your answer and she replies, “Great, give me another example.” It is common for interviewers to ask for two or three examples for the same question. When thinking through your answers, go three stories deep. Remember to bullet point your answers instead of writing passages. People try to memorize passages, but unless you’re Gwyneth Paltrow, there is no way you’re going to deliver your answer and make it seem real.

COMMONLY ASKED CONSULTING INTERVIEW QUESTIONS

If you take the time to answer these questions before the interview, you will be more articulate and focused when it comes time to perform.

- Tell me about yourself.
- What are you doing here?
- Why consulting?
- Why did you pick your school?
- What do you think consultants do?
- What do you know about this job and our firm?
- Why would you choose our firm over our competitors?
- How are your quantitative skills?
- What percentage is 7 of 63?
- Tell me of a time you showed leadership skills.
- Tell me of a time you were a team player.
- Give me an example of a time you influenced or persuaded a group.
- Tell me about a recent crisis you handled.
- Have you ever failed at anything?
- Tell me about a time you took the initiative to start something.
- What type of work do you like to do best?

- With which other firms are you interviewing?
 - Which other industries are you looking into?
 - What accomplishments have given you the greatest satisfaction?
 - What experiences/skills do you feel are particularly transferable to our organization?
 - Why should I hire you?
-

Interviewers remember stories and accomplishments more than common answers >>>

You want to get labeled. If you tell the interviewer your captivating tale about windsurfing across the English Channel, then at the end of the day when the interviewer sees your name on her list, she'll remember you as "the windsurfer." Everything you spoke about will come back to her. If she sees your name and thinks, "Which one was he?" your candidacy is over.

So dig into the old treasure chest and come up with memorable stories and accomplishments that substantiate the skills needed to make you a strong candidate.

How do I answer? >>>

Three of the most problematic interview questions are:

- **Have you ever failed at anything?**
- **With which other firms are you interviewing?**
- **With which other industries are you interviewing?**

How do you answer these truthfully?

Q:1 Have you ever failed at anything?

Say yes! Everybody has failed at something. People fail all the time. That's how you learn.

- **Dos:** Do talk about a failure and what you learned from that failure. Better yet, talk about how you failed, what you learned from that mistake, then how you turned it into a success. A perfect example comes from Michael Jordan. He failed to make his high school basketball team his freshman year, persevered and became a basketball legend. Have a story to tell; make it memorable.
- **Don'ts:** Don't talk about a personal failure. Stay away from anything that is going to make the interviewer feel uncomfortable (i.e., "I never got to straighten things out with my Dad before he passed away" or, "My girlfriend dumped me ..." or, "I couldn't outrun that police car when I was seventeen."). Interviewers don't want to hear it. The other thing they don't want to hear about is an academic failure. I can't tell you how many Harvard students have told me in mock interviews, "I took an upper-level science class, worked like a dog, but I failed." "What did you get in the class?" I'd ask. "B minus." That's not failing. If you really did fail a course, they would know about it and ask why it happened.

Q:2 With which other firms are you interviewing?

It's okay to tell them that you're interviewing with other consulting firms. Competition's tough; you'd be foolish to put all your energy into just one firm. However, you must be able to tell them why they're your first choice and what makes them better in your mind than the other firms.

Q:3 With which other industries are you interviewing?

Consulting goes hand-in-hand with two other industries. While interviewing for a consulting position, it's okay to mention that you are looking at investment banking and/or strategic planning. These positions look for the same qualities in a candidate and require similar job skills. In fact, McKinsey's and BCG's biggest competitor is Goldman Sachs — not one another.

A DOZEN REASONS TO ENTER CONSULTING

Just in case you're not sure, below are 13 (a baker's dozen) of the most popular reasons students go into consulting:

1. You'll work and learn from very intelligent and articulate people.
2. You'll develop a vast array of marketable skills in a prestigious environment.
3. The learning curve never ends.
4. You'll receive exposure to the corporate elite: the way they think, act, and analyze their problems.
5. You'll be exposed to many industries.
6. You'll work as part of a team.
7. You'll solve problems.
8. You'll make organizations more efficient.

9. You'll work on multiple projects.
 10. You'll travel.
 11. You'll improve your chances of being accepted into a top business school.
 12. It will always look great on your résumé.
 13. The money's good.
-

+ Why Consulting?

You know the interviewer is going to ask you why you want to be a consultant. Now this is important — not only should your answer be immediate, but you must look the interviewer right in the eye. If you look away, it indicates that you are thinking about the question and that's enough to end the interview right then and there. You should have given this answer a great deal of thought long before you walked into the interview. While I don't want you to memorize your answer, I do want you to memorize bullet points. This makes your answer focused, linear and of an appropriate length. Avoid talking aimlessly. Having several good reasons why you want to be a consultant isn't enough. It's not always what you say but how you say it and most importantly what they hear. Your voice should carry sincerity and enthusiasm.

+ Possible Math Question

They may ask you about your quantitative skills. This could be followed by a small math question such as, "What's 100 divided by 7?" Or, "9 is what percentage of 72?" The questions aren't hard, but they might take you by surprise. It may be time to break out the flash cards.

During the first part of the interview, you're being judged. The interviewer is asking herself whether or not she'd like to work and travel with you. Are you interesting? Engaging? Do you have a sense of humor and like to have fun? This is better known as the "airport test." The name comes from the question, "How would I feel if I were snowed in with this candidate for nine hours at the Buffalo airport? Would we have a lot to talk about, or would I have to pretend that I was in a coma so I wouldn't have to talk?"

The interviewer is also measuring your maturity, poise and communication skills, while thinking, "Would I feel comfortable bringing this candidate in front of a client?"

An important component of the "maturity test" is to determine whether you think before you speak. I had a Harvard student, when asked what percentage is 3 of 17, he blurted out 80%. (I don't know how he got into Harvard either.) For him that interview was over. He might as well have gotten up and walked out because nothing was going to save him. Not because he got the wrong answer, but because it was clear that he didn't think before he spoke. If he does something like that in an interview, what is he going to do in front of a client? I couldn't trust him, and if I can't trust him, I am not going to hire him.

+ Case Questions

The second part of the interview is the case question. These questions carry a tremendous amount of weight. You can pass the airport test and be as poised and articulate as John F. Kennedy, but if you fumble the case, that's it. Alternatively, if you hit a home run on the case but have the social skills of Napoleon Dynamite, then you have bigger problems than getting a job. We'll cover the case questions in depth in Chapter Three.

+ Your Questions

The last part of the interview requires a good deal of research about both the industry and the company. In addition, if you can find out who will be interviewing you, you should be Googling them to see what articles they have written or issues they are involved with. You can bet that they will be Googling you. In your research, you should be looking for answers to the pre-interview questions (see sidebar, next page). Questions for which you can't locate answers become excellent questions to pose to your interviewer.

However, before you ask your first question, if there is anything critical that you didn't get a chance to bring up in the interview, now is the time. Simply state, "Before I ask my first question, I just want to make sure you understand ..." Get it out before you leave the room. If you don't, you're going to kick yourself all the way home, and even worse, you'll never know if that statement could have turned the tide.

PRE-INTERVIEW QUESTIONS

1. What type of consulting does the firm do?
 2. In what industries does the firm specialize?
 3. How big is the firm?
 - How many domestic and international offices does the firm have?
 - How many professionals are in the firm?
 4. What kinds of training programs does the firm offer?
 5. What type of work does an entry-level consultant do?
 6. How much client contact does an entry-level consultant have the first year?
 7. Does the firm have a mentor program?
 8. How often do first-years sleep in their own beds? What's their travel schedule like?
 9. How many hours make up a typical work day?
 10. How is a case team picked?
 11. How often do consultants get reviewed?
 12. How many consultants does the firm expect to hire this year?
 13. How does that compare to last year?
 14. Where do the consultants go when they leave the firm?
 15. Is it possible to transfer to other offices, even international offices?
-

The best ways to collect these answers are to: >>>

- ❑ **Attend career fairs and speak to the firm representatives.** Pull out your list of questions and ask three or four. Make sure that you try to turn this meeting into a conversation. At the end, thank the reps for their time, ask them for their business cards, and inquire whether it would be all right if you called or e-mailed them with further questions. At this point, no one is going to judge you on your level of company knowledge. They are there to provide information and hype the firm.
- ❑ **Scour the company's website.** This will let you know how the firm sees itself and the image that it's trying to project.
- ❑ **Talk to alumni and graduate school students who used to work for the companies that you're interviewing with.** Often, career services offices will be able to match you up with alumni who are working in a specific industry. Interviewing past employees can be very enlightening. They will tell you more about their old firm in a half an hour than you'll learn by spending two hours on the Internet. Plus, they'll tell you things that you'll never find on the Internet. They can be completely objective; they don't have to try to sell the firm.
- ❑ **Attend company information meetings.** Get your name and face in front of firm representatives so that they can associate your face with your résumé. While these people don't have the power to hire you, they do have the power to get you on the interview list. Top-tier firms often get 400 résumés for 100 first-round interview slots. Snag that interview slot by networking and schmoozing with firm representatives every chance you get. One of the best kept secrets of company presentations is to go early. If a company presentation is scheduled to start at 6 pm, show up at 5:45. Most students won't arrive until 6 pm or a little after, but the firm's representatives show up at around 5:30 to make sure that the room is set up correctly and the cheese table is laid out nicely. If you show up early, not only will it impress the consultants, but it will allow you to get at least five minutes of quality face time with one of them. They are more likely to remember you if you talk for five minutes at the beginning of the night than if you hang around until the end hoping for 45 seconds of their time. They are also more likely to have their business cards with them. Remember to ask for those business cards and send a follow-up e-mail.
- ❑ **Search *The Wall Street Journal* and the Internet for articles and information on the firm.** This allows you to be current on any firm's news.

Have your list of questions with any specific facts or figures you've dug up written out when you walk into the interview. It shows that you have done your homework and have given this interview a great deal of thought. Besides, if you freeze up, it's all right there in front of you.

+ The Grand Finale: Why Should I Hire You?

This is your opportunity to shine and market yourself. But before you launch into a laundry list of skills and attributes, you may want to simply state that they should hire you because you want to be a consultant. Then, reiterate all the reasons that you brought up earlier when they asked you, "Why consulting?"

Consulting firms look for "low-risk" hires. You're a low-risk hire if you've worked in consulting, liked it and want to return, or have done your homework. Consulting firms' biggest fear is that they will spend a lot of time and money recruiting, hiring and training you, only to have you bail out after six months because consulting isn't what you expected it to be.

If they aren't convinced that this is what you want to do, then it doesn't matter how talented you are; it's not worth it for them to extend you an offer. Think of it this way: How would you feel if someone accepted your dinner invitation because their first choice fell through? If your heart's not in it, they don't want you.

Students who receive job offers in consulting do so for four reasons: ▶▶▶

1. They are able to convince the interviewer that they are committed to consulting and know what they're getting into (i.e., type of work, lifestyle, travel).
2. They can demonstrate success-oriented behavior.
3. They exhibit good analytical skills when answering case questions. (That's where we come in.)
4. They are able to articulate their thoughts, create a positive presence and defend themselves without being defensive.

Now that you understand the structure of the interview for the first round, the subsequent rounds are not all that different. The second round is often held at a nearby hotel and usually consists of two interviews, both 60 minutes in length, each with a heavy focus on case questions. The third round is typically held in the firm's offices where there are five interviews, 60 minutes each, again with a heavy emphasis on case questions. During all the final rounds you can expect to analyze many charts. In addition, some firms give written cases requiring you to not only analyze the information but to design charts to back up your recommendations.

There are other kinds of first round interviews. Some firms conduct phone interviews while others conduct group case interviews.

First Round Telephone Interviews

There will be times when your first round interview will be conducted over the phone. Sometimes this is a screening interview; other times you'll get a case question as well. There are several things to remember. If possible, go to a quiet and private place. Turn off the television and lock the door so your roommate doesn't barge in and interrupt you.

Most importantly, **you are your voice**. That is the only thing the person on the other end of the line has to go on. Your voice should be upbeat and enthusiastic; speak clearly and with confidence, but not arrogance.

Finally, lose the calculator. I know that it is tempting to have it right there, but if you get the answer too quickly, or the interviewer can hear buttons being pushed in the background, you're sunk.

First Round Group Case Interviews

McKinsey and other firms have started holding group interviews for non-MBA graduate students as part of their first round interviews. During a group interview, consultants look more at the group dynamics than how the group answers the question. Does this candidate have the ability to build relationships, empathy, and teamwork? On one hand, you are a competitor to the other people in the group, but on the other hand, for this moment in time you are teammates. People who are aggressive and try to dominate the conversation are the ones that don't get called back. Remember, consultants work in teams, and if you're not willing to be a team player, then you're out.

In my Harvard Business School classes, the professor rarely called on anyone who had his hand raised while someone else was speaking. This indicated to the professor that the hand-raising student wasn't listening to his classmate and had his own agenda. Like a business school case class, you are expected to build on what others have said. You are expected to move the discussion forward, not take it off on a tangent, or move the discussion back because you had a point you wanted to make.

Remember, build on what other team members have said and don't interrupt a team member when she is speaking.

+ Stress Interviews

Well, they're back. Stress interviews. They usually come in one of two forms. The first type is the two-on-one (you're the one). The interviewers ask you question after question without giving you much of a chance to answer. They'll make unfavorable comments to each other about your answers, dismissing your answers as amateurish or ridiculous. They may even turn rude and snappish.

Why do the interviewers do this? They put you through this to see how you react. Can you defend yourself and your answers without getting defensive? Can you maintain your cool and your professionalism? Can you handle it if someone snaps at you or will you crumble and cry?

The second type is the silent treatment. The interviewer doesn't smile; he usually sits in silence waiting to see if you start talking. If you ask the interviewer a question, he'll usually shoot back a one-word answer. He might question many of your statements, making you explain even the simplest of answers.

Why do they do this? They'll tell you that silence leads to stupid statements, where interviewees will blurt out irrelevant conversation just to fill the silence, and it's important to know how you would react in a situation like this with a client.

Sometimes during a case you'll be asked to make a decision. You will be forced to choose between A and B. If you choose A, the interviewer will look you right in the eye and say, "Let me tell you why you are wrong." If you had chosen B, he would have looked you right in the eye and said, "Let me tell you why you are wrong." It doesn't matter which one you choose, He is going to tell you why you are wrong. Again, he does this to see how you react. Do you turn red? Does your jaw tighten or do your eyebrows shoot up? Clients are going to challenge your findings and ideas all the time. He wants to make sure you can handle criticism when someone gets in your face.

While he is telling you why you are wrong, if you don't find his answer very persuasive, then simply say, "That was an interesting argument, but I didn't find it compelling enough. I'm sticking with answer A." That's what he wants you to do: stick with your answer if you think you are right. Defend your answer without getting defensive.

If in his argument he brings up something that you didn't think about and now that you're thinking about it, it changes everything, admit that you were wrong. Simply say, "That was a very persuasive argument, and to be honest, I didn't think about the inventory issue. I think you're right; I think B is the right answer." There is no shame in changing your answer if you were wrong. It shows that you are still objective and open to reason. Remember, one of the main reasons corporations hire consulting firms is because of their objectivity. If you can remain objective about your answer, then you are one step closer to being a consultant. What the interviewer doesn't want you to do is change your answer just because he said you were wrong.

+ Confidence

To add to the fun, while all this is going on, you need to sound confident even if you don't feel it. If your confidence level is too low, they're going to question everything you say. There is an old saying about Harvard professors: they're often wrong, but never uncertain. You need to carry that same mindset into your interview. Even if you are uncertain, you need to remain confident.

Rules for stress interviews:

- Don't take it personally.
- Try not to get flustered.
- Roll with the punches .
- Watch what you say; make sure that it is relevant to the interview.
- Remain confident.

+ Advice for International Students

Having spent 18 years at Harvard, I've advised thousands of international students pursuing a career in consulting. Most of these students wanted to work initially in the United States before returning to their home countries. While many were successful, like their American classmates, the majority were not. Consulting jobs are very competitive and highly sought after. I offer three additional pieces of advice for international students.

1. Be honest about your communication skills.

Much of the interview process is driven by communication skills. Are you truly fluent in English? Do you have an accent? How pronounced is it? A couple of years ago, I worked with a brilliant Chinese student at Harvard. He did very well in the mock case interviews I gave him; however, his language skills, particularly his presentation skills, were poor. While his understanding of English was excellent, his verbal and written skills left much to be desired. Against my advice he applied to the Boston offices of all the top firms. While he received a number of first round interviews, he didn't get a single second round interview. He found himself competing against American Harvard students and he didn't stand a chance.

2. Think long-term and play to your strengths.

I met several times with a Russian student. Her English was excellent, she could articulate her thoughts and she even had a good command of "business English." While she had an Eastern European accent, she was easy to understand. Her grades, work experience and extracurricular activities were just okay, but nothing great, so she faced some pretty stiff competition from her American classmates. She wanted to work in New York. Her problem was getting the first round interview. We talked about thinking long-term. If she applied to the Moscow office of these firms, she would have a significantly better chance of getting hired than if she focused on New York. She knew the language, the culture, and the economics of the region, and she had a degree from a prestigious American university. She could work in Moscow for two years, then transfer back to the United States, which is exactly what she did.

3. Come back to campus in case-fighting form.

Summer internships are tough to get, so don't get discouraged if you don't land one. I have pockets full of stories about students who didn't get a summer internship but landed a full-time consulting job upon graduation. There are many more full-time opportunities than summer positions, but they are still very competitive. Don't waste your summer; use it to become a better candidate in the autumn. The first step is to secure a summer job where you will be developing some of the same skills you would if you worked in a consulting firm. The second is to practice your cases over the summer. I had a brilliant student from the Caribbean who had no business experience but plenty of great leadership experience. He received four first round summer internship interviews. He made it to the second round with two firms but didn't get an offer. He spent the summer working for a large international financial agency in Washington, DC, where he wanted to settle. He spent the summer contacting alumni who worked in the DC offices of the two major consulting firms and invited them out for lunch, coffee and beer. He learned about their firms, and he made great connections within those offices. Every time he sipped a coffee or drank a beer with them, he asked them to give him a case question. This went on all summer long. When he returned to campus in September, he was in case-fighting form and had many supporters within each firm. He ended up with fulltime offers from both McKinsey and BCG.

To summarize:

- Strengthen your communication skills.
- Think long-term and play to your strengths.
- Come back to campus in fighting form.

+ Advice for Industry Hires

If you are applying as an industry hire, there are a few things you need to know. While most of the hires done by the big consulting firms are university hires, the number of industry hires has been increasing, although it is still around an 80/20 breakdown, university over industry. Having years of experience in a particular industry isn't always a good thing. For example, if you have ten years' experience in the health-care industry, some firms might be reluctant to hire you for your industry experience because you come with certain prejudices or beliefs about an industry. The firms are worried that if you see a problem with a client, you are going to solve it the same way you solved it when you worked in health-care. They like people who can look at a problem objectively, with no preconceived notions. They will, however, draw on your industry knowledge when building industry files. So don't be surprised if you are assigned to new industries at first.

The interview process is somewhat the same. If applying to McKinsey you'll probably be asked to take the written exercise that most non-MBAs have to take. The first round might consist of three one-hour interviews, which will have both a personal experience component to it as well as a case. I'd be surprised if the cases you get touch on your old industry. They want to test your thought structure, not your industry knowledge.

They will expect you to be more confident than a university candidate, more professional in your demeanor. Another thing to remember is that you will enter the firm at the same level as a newly minted MBA (unless you bring a host of clients with you). You may be reporting to someone years younger. Keep in mind that these firms are meritocracies and you can move up as quickly as your talents allow. In fact, you want to enter at that level; it will give you time to get your sea legs and establish yourself.

One last note on preparation: Be familiar with business terms and trends. No firm is going to judge you on your business acumen, but if you can't define profit and loss, revenues, fixed and variable costs or cost benefit analysis, then start reading. (Please refer to the Consulting Buzzwords section, p. 216.) You should also read *The Wall Street Journal* every day to keep abreast of national and world news. In other words, climb out of that academic shell and join the rest of the world. Your familiarity with business terms and trends will make it easier for you to communicate with the interviewer and demonstrate your interest in business and consulting.

And now, at last, it's time for...

3 : Case Questions

A case question is a fun, intriguing and active interviewing tool used to evaluate the multi-dimensional aspects of a candidate.

+ Purpose of the Case Question

Interviewers don't ask case questions to embarrass and humiliate you. They don't ask case questions to see you sweat and squirm (although some might consider it a side perk). They do ask case questions...

- to probe your intellectual curiosity
- to test your analytical ability
- to test your ability to think logically and organize your answer
- to observe your thought process
- to probe your tolerance for ambiguity and data overload
- to assess your poise, self-confidence and communication skills under pressure
- to discover your personality
- to see if you're genuinely intrigued by problem-solving
- to determine if consulting is a good "fit" for you

+ Case Preparation

Case questions can be made simple through preparation and practice. I never like to equate an interview with a test, but they do have in common the fact that the more you prepare, the better you'll do. Maybe you've experienced the feeling of being so prepared for an exam that you can't wait for the professor to hand it out so you can rip right through it. Case questions are the same way. Firms look to see if you have that "rip right through it" look in your eyes. It's called confidence.

Some of my students, even after they got the job, would come into my office and ask me to give them a case. They loved doing cases. To them it was no different than working a crossword puzzle. They loved the intellectual challenge, and they learned something new every time they did one.

WHAT FIRMS LOOK FOR

Consultants spend a great deal of their time on the road at the client's site. They work in small teams and are sometimes put in charge of groups of the clients' employees. Often, consultants work under great pressure in turbulent environments while dealing with seemingly unmanageable problems. It takes a certain type of personality to remain cool under pressure, to influence the client without being condescending and to be both articulate and analytical at the same time.

As we said earlier, the business of consulting is really the renting of brains, packaged and delivered with an engaging and confident personality. So as you work through the case, the interviewer is asking herself: Is the candidate...

- relaxed, confident and mature?
- a good listener?
- engaging and enthusiastic?
- exhibiting strong social and presentation skills?
- asking insightful and probing questions?
- able to determine what's truly relevant?
- organizing the information effectively and developing a logical framework for analysis?
- stating assumptions clearly?
- comfortable discussing the multifunctional aspects of the case?
- trying to quantify his response at every opportunity?
- displaying both business sense & common sense?
- thinking creatively?
- rolling with the punches?
- defending himself without being defensive?

Before we look at some cases, it is best to understand The Case Commandments. Follow these rules and your case interviewing life will become much easier.

+ The Case Commandments

[1. Listen to the Question]

Listening is the most important skill a consultant has. The case isn't about you or the consultant; it's about the client. What are they really asking for? Pay particular attention to the last sentence — one word can change the entire case.

[2. Take Notes]

Taking notes during the case interview allows you to check back with the facts of the case. As someone once said, "The palest ink is stronger than the best memory." If you blank out, all the information is right in front of you.

[3. Summarize the Question]

After you are given the question, take a moment to summarize the highlights out loud:

- It shows the interviewer that you listened.
- It allows you to hear the information a second time.
- It keeps you from answering the wrong question.
- It fills that otherwise awkward pause when you're trying to think of something intelligent to say.

[4. Verify the Objectives]

Professional consultants always ask their clients to verify their objectives. Even if the objective seems obvious, there could be an additional, underlying objective. When the objective seems apparent, phrase the question differently: "One objective is to increase sales. Are there any other objectives I should know about?"

[5. Ask Clarifying Questions]

You ask questions for three main reasons:

- to get additional information that will help you identify and label the question
- to demonstrate to the interviewer that you are not shy about asking probing questions under difficult circumstances (something you'll be doing on a regular basis as a consultant)
- to turn the question into a conversation (nothing turns off an interviewer more quickly than a five-minute monologue)

In the beginning of the case, you have more latitude in your questioning. You should ask basic questions about the company, the industry, the competition, external market factors and the product. The further you get into the case, the more your questions should switch from open-ended questions to closed-ended questions. You start to get into trouble when you ask broad, sweeping questions that are hard for the interviewer to answer. These kinds of questions give the impression that you're trying to get the interviewer to answer the case for you. You'll know that you crossed that line when the interviewer says to you, "What do you think?" When this happens, substitute assumptions for questions.

[6. Organize Your Answer]

Identify and label your case, then lay out your structure. This is the hardest part of a case, and the most crucial. It drives your case and is often the major reason behind whether you get called back. We will spend more time on this in Chapter Four.

[7. Hold That Thought for “One Alligator”]

The interviewer wants you to think out loud, but also to think before you speak. If you make a statement that is way off base in an interview, the recruiter will wonder if he can trust you in front of a client. If he thinks he can't trust you, the interview is over.

[8. Manage Your Time]

Your answer should be as linear as possible. Don't get bogged down in the details. Answer from a macro level and move the answer forward. It's easy to lose your way by going off on a tangent. Stay focused on the original question asked. Finally, don't lose track of the question, the objective or the framework. Go back to the original question and objectives during the case to make sure you haven't lost your way.

[9. Work the Numbers]

If possible, try to work numbers into the problem. Demonstrate that you think quantitatively and that you are comfortable with numbers. When doing calculations, explain what you are thinking and how you are going to do it. Take your time. I'd rather have you get it right than rush and make a careless mistake.

[10. Be Coachable]

Listen to the interviewer's feedback. Is she trying to guide you back on track? Pay attention to her body language. Are you boring her? Is she about to nod off? Is she enthralled?

Being coachable also means asking for help when you need it. If you run into a wall, lose your train of thought or are just in over your head, ask for help. There is no shame in asking for help; it's a sign of maturity. Look at it from the interviewer's point of view. If you were working on an actual project and got stuck, she would much rather that you ask for help than waste time spinning your wheels.

[11. Be Creative and Brainstorm]

Some of the best experiences you'll have as a consultant will be brainstorming over Chinese food at 10 o'clock at night. *Brainstorming without commitment*, as consultants call it, allows you to toss out uninhibited suggestions without being married to them. It gives you the opportunity to review all the options and eliminate the inappropriate ones. Consulting firms like liberal arts candidates with intellectual curiosity who can "think outside the box" and offer up a new and interesting perspective.

[12. Exude Enthusiasm and a Positive Attitude]

Earlier we spoke about a “rip right through it” attitude. It’s not enough to do well on the case; you have to thrive on the challenge of the case. Recruiters want people who are excited by problem-solving and can carry that enthusiasm throughout the entire interview.

[13. Bring Closure and Summarize]

If you have done all of the above and you've made it through the analysis, the final action is to create a sense of closure by summarizing the case. Review your findings, restate your suggestions and make a recommendation. You don't need to sum up the whole answer; pick two or three key points and touch on those. Students are often afraid to make a recommendation, thinking that their analysis was faulty, so therefore their answers will be wrong. There are no wrong answers. Just make sure your answer makes good business sense and common sense.

+ Types of Case Questions

Case questions generally fall into one of four major categories: brainteasers, back-of-the-envelope questions (which are often called market-sizing questions), factor questions and business case questions. It's quite common to find a market-sizing question enclosed within a larger business case question. Whether fun or frustrating, all case questions are valuable learning experiences.

► Brainteasers

Brainteasers are scarce these days, but they still pop up in the occasional first round interview, so it's important to be aware of them. Brainteasers are basically the same riddles and conundrums that we've all been struggling to solve since fourth grade. Some brainteasers have a definite answer; others are more flexible in their solutions. Interviewers are looking to see not only if you can come up with a good answer, but also whether you can handle the pressure. Do you get frustrated, stressed and upset? The key is to keep your cool and try to break the problem down logically. Just give it your best shot and don't be afraid to laugh at your mistakes or be a bit self-deprecating. It makes you human and more fun to be with.

Below is an example of a brainteaser with a definite answer.

The Bags of Gold

Q:1 *There are three bags of gold. One of the bags contains fake gold. All the bags and all the coins look exactly alike. There is the same number of coins in each bag. The real gold coins weigh one ounce each, the fake coins weigh 1.1 oz. apiece. You have a one-pan penny scale and one penny, which means you can weigh something just once. (You load the scale, put the penny in, and the scale spits out a piece of paper with the weight.) How can you tell which bag has the fake gold?*

A:1 *You take one coin from the first bag of gold, two coins from the second bag and three coins from the third bag. Place them all on the scale. If the coins weigh 6.1 oz., then you know that the first bag held the fake gold. If they weigh 6.2 oz., then it is the second bag. If the coins weigh 6.3 oz., then the third bag held the fake gold.*

There are numerous puzzle and brainteaser books to be found in your local bookstore. If you are worried about these types of questions, you may want to pick up one of these books.

► Market-sizing Questions

Market-sizing questions surface all the time and can be found during any round of interviews and within many larger business case questions. The back-of-the-envelope question received its name because the questions used to start with, “You’re on an airplane with no books, phone or any other resources. On the back of an envelope, figure out...” You’ll find some of these questions intriguing; some will be fun, others preposterous. However, it’s important to have the “rip right through it” look in your eyes; at least pretend that you’re having fun.

Oftentimes during market-sizing questions, all you have to work with are logic and assumptions. There are going to be instances when your assumptions are wrong. Sometimes the interviewer will correct you; other times he will let it go. **The interviewer is more interested in your logic and thought process than whether your answer is correct.** If you are still concerned, you can always say, “I’m not that familiar with this market, so if my assumptions are off, please correct me.” Ninety percent of the time, the interviewer will tell you not to worry about it. Everything you say has the potential to be questioned — be ready to stand behind your assumptions. Your assumptions should be based in some sort of logic. If you just pull them out of the air, you’re risking the interviewer aggressively challenging your assumptions and your credibility.

MARKET-SIZING QUESTIONS

Your answer should be based on logic and assumptions.

Structure

- Listen to the question, then determine the type of case, population based, household, general population or preposterous.
- Ask clarifying questions only if you don’t understand the question or terminology.
- Lay out your structure first and the steps you’ll need to answer the question; then go back through it with the numbers.

Assumptions

- Don’t worry if your assumptions are off; the interviewer is more interested in your thought process

than whether your assumptions are correct.

- If your assumptions are way off, they will tell you; otherwise they'll let it go.
- Base your assumptions on some sort of logic; otherwise the interviewer might press you on how you drew that conclusion.
- You can group several assumptions into one number (i.e., the 20% takes into account X, Y and Z.)

Math

- Estimate or round off numbers to make calculation easier.
 - Write all numbers down.
-

Examples are:

- **How many gas stations are there in the US?**
- **How many garden hoses were sold in the US last year?**
- **How many pairs of boxers are sold in the US each year?**
- **How much does a 747 weigh?**

Although they seem similar, these are four very different questions. Here are some hints:

- First of all, there are no right answers. Even if you had just read a *Forbes* magazine article on the number of gas stations and could recite the exact total, the consultants wouldn't care. They want to see how logically you answer the question.
- All you really have to work with are logic and assumptions. If your assumptions are too far off, the interviewer will tell you; otherwise, guesstimate.
- Use easy numbers — round up or down.
- Write the numbers down. Half of your brain is trying to figure out how best to answer this question and the other half is trying to remember the sum you just figured. Write the numbers down so you can focus on the process, not the numbers.
- **Determine if this is a population-based question, a household question, an individual question or a “Who thinks this stuff up?” question. To determine whether it's a population, household or individual question, ask yourself if the item is used by a population, a household or an individual.**

How many gas stations are there in the US? (Population question)

I live in a town with a population of 30,000. There are six gas stations serving our town (not really, but six divides nicely into 30). Therefore, I'll assume that each gas station serves about 5,000 customers. If the population of the US is 300 million, I'll just divide 300 million by 5,000 and get 60,000 gas stations in the

US.

If you tried to answer this question based on households or individuals you would quickly find yourself mired in numerous and unnecessary calculations.

■ **How many garden hoses were sold in the US last year? (Household question)**

The population of the US is 300 million people. The average US household is made up of 3 people, so we are talking about 100 million households. (You always want to work with 100 million households in the US and 200 million in Europe.)

I'm going to estimate that 50 percent of the households are either suburban or rural. That makes 50 million households. I'll also assume that 20 percent of those homes are apartments or condos. That narrows us down to 40 million houses that most likely use a garden hose. Garden hoses are relatively inexpensive, so people are likely to have a hose in the front and a hose in the backyard. That makes 80 million hoses. I want to add in another 10 million hoses, which can be found in nurseries, zoos, and other outdoor facilities. Most of those businesses have at least two hoses.

We are now up to 90 million garden hoses. Hoses aren't replaced every year. I'd say that they are replaced every 3 years unless they are run over by a lawn mower or run into the business end of a dog's tooth. So we take 90 million hoses, divide that number by 3 and come up with 30 million garden hoses sold each year.

■ **How many pairs of boxers are sold in the US each year? (Individual question)**

I'm going to start by stating some assumptions. I'm going to assume that the population of the US is 320 million, that the life expectancy is 80 years, and that there are the same number of people in each age group (i.e., there is the exact same number of 3-year-olds as 73-year-olds). So, if you divide 320 million by 80, you get 4 million people per age group. I will also assume a 50/50 split between men and women.

Children ages 0 - 3 mostly wear diapers, and kids ages 4 - 9 mainly wear jockey style. So we'll focus on the ages between 10 and 80. That's 70 years to cover. I'm going to go out on a limb here and say that only 10% of females ages 10 - 30 own a pair of boxers and, of that group, each might buy one pair a year.

So:

$(2 \text{ million females} \times 20 \text{ years}) \times 10\% = \mathbf{4 \text{ million boxers.}}$

Males between the ages of 10 and 20 wear them as a fashion statement, so I'll assume that 75% of males wear boxers and that they buy 3 pairs a year (the economical 3-pack).

Add them all together: 4 million + 45 million + 360 million = 409 million pairs of boxer shorts sold in the US last year.

So:

$(2 \text{ million males} \times 10 \text{ years}) \times 75\% = 15 \text{ million boxers}$

$15 \text{ million boxers} \times 3 \text{ pairs} = \mathbf{45 \text{ million boxers.}}$

Of males between the ages of 21 and 80 (round off to 60 years), 50% wear boxers and buy or receive as birthday or holiday gifts 6 pairs (2 sets of 3-packs) a year.

So:

(2 million males x 60 years) x 50% = 60 million males wearing boxers. 60 million x 6 pairs = **360 million pairs of boxers.**

■ How much does a 747 weigh? (“Who thinks this stuff up?” question)

Your guess is as good as mine. Ask questions, then break down the elements and make assumptions. Are there passengers on board? No. Any baggage? No. Are the fuel tanks full or empty? Full. Any food or beverages on board? No.

Now, just go ahead and calculate the weight of each part of the plane.

- **8 full fuel tanks:** I'll assume the plane can fly 6,000 miles and uses 10 gallons to the mile. So that's 60,000 gallons at 2 pounds a gallon equals 120,000 pounds.
- **18 tires:** I'll assume that the tires weigh 200 pounds each — that's 3,600 pounds.
- **4 engines:** I'll assume 2,500 pounds each, which adds another 10,000 pounds.
- **2 wings:** 200 feet long by 30 feet wide is 6,000 square feet, times a square foot weight of 5 pounds times 2 wings equals 60,000 pounds.
- **Interior:** 75 rows of seats times 4 feet per row equals 300 feet. Add on the cockpit, bathrooms, etc. — let's say around 400 feet long. I assume that the average weight per foot is 10 pounds, which equals 4,000 pounds.
- **The seats:** They number, say, 500 and weigh 10 pounds each, so that's 5,000 pounds.
- **Air in the cabin:** It's captured air so we need to add one ton for the air in the cabin — 2,000 pounds.
- **The aluminum exterior:** It's pretty thin and lightweight. If the plane is 400 feet long by 25 feet high, then about 10,000 exterior square feet at 1 pound per foot equals 10,000 pounds.
- **Miscellaneous materials:** The tail, overhead bins, carpet, stairs, wiring, and bathroom fixtures add on, say, another 2,000 pounds.

Now you add up the pieces:

120,000 + 3,600 + 10,000 + 60,000 + 4,000 + 5,000 + 2,000 + 2,000 + 10,000 = 216,000, or round up to 220,000 pounds, or **110 tons**

► Factor Questions

Factor questions usually start with “What factors influence...” or “What factors would you consider...” Factor questions are gaining popularity when time is short and interviewers can't devote significant time to walking you through an entire case but want to see how you think in broad strokes. They may also pop up in place of stand-alone market-sizing questions during the first round interviews. Think in broad terms; try not to get too detailed.

■ What factors would you consider when marketing a theatrical film?

First, I'd want to know something about the film, particularly who its target market is. You would have a different marketing strategy for a Baby Boomer film than you would for a Millennial film. Since the majority of films are geared toward Millennials, I'll use that example.

Millennials spend a lot of time online. There are digital marketing agencies that develop social media

APIs called “widgets,” which often feature a sweepstakes or some call to action and are virally spread across Myspace, Facebook, and Meebo. Similarly a great trailer, sometimes “unauthorized” or seemingly user-generated on YouTube, is often seen by more people than the official trailer, which is placed on traditional TV and shown at theaters before current movies.

Second, I'd like to know, is this a studio film with big-name stars attached or an independent film? Is it a branded title, like *American Pie*, or a new indie film without any brand recognition? This is going to determine the number of screens on which it is shown. If it is a studio movie showing on 3,000 screens the first week, then most of the marketing budget will be spent in the two weeks prior to the film's release. Ads will be placed on network TV during shows like *American Idol*. Billboards will be displayed as well as signs on the side of a bus — the more traditional movie marketing efforts. If it is an indie film being shown on 50 screens, then the limited budget has to be allocated toward the more viral online environment. If the film does well and builds a buzz, then the distributor may kick in additional marketing funds as the number of screens increase - think *Slumdog Millionaire* or *The King's Speech*.

Pan-media “takeovers” are becoming more commonplace, as a film's stars and creative team blitz multiple outlets in hopes of achieving a massive opening weekend. In one day, for example, actress Olivia Wilde might appear on *Good Morning America*, cut a ribbon in a ceremony in Central Park with local TV crews, attend a charity luncheon (photographed for the tabloids) and hit *Letterman* and Jon Stewart's *The Daily Show* in the evening — all while the studio is running multiple display ads across Yahoo! and MSN's landing pages. The idea is that “media ubiquity” will grab the attention of an audience whose consumption habits are becoming increasingly fragmented.

In sum, like anything, you need to analyze the market as well as your product and figure where you'll get the best ROI (return on investment). And because technology is changing so quickly, you need to constantly research new ways to get the word out.

► Business Case Questions

Business case questions come in all shapes and sizes, but they usually fall into two categories: (1) number cases and (2) business strategy and operations cases.

■ **Number Cases:** There are pure number cases that are really just math problems you are expected to solve in your head. There are also “case-like” numbers cases, which seem like strategy cases but are not. Case-like number cases are about numbers. They sound simple, but most people get them wrong because they don't listen to the question and try to turn it into a strategy case.

• Pure number cases to do in your head

A) The total widget market is \$170 million and our sales are \$30 million. What percentage of the market share do we hold?

B) Our total manufacturing costs are \$20 million. With that we can make 39,379 units. What is our approximate cost per unit?

C) Our total costs are \$75,000. Labor costs make up 25% of the total costs. How much are our labor costs?

D) You bought a stock for \$36 a share. Today it jumped 6%. How much is your stock worth?

E) You raised \$3.5 million for a start-up. Your commission is 2.5%. What's your commission in dollars?

F) What's 7×45 ?

G) The number of current outstanding shares for UKL Inc. was 41,084,000. Institutional investors hold 25,171,000 shares. What is the approximate percentage of shares held by institutions?

	Price	Change	Percentage change
H)	\$27.00	\$0.54	
I)	\$31.00	\$0.62	
J)	\$40.00	\$1.00	
K)	\$75.00	%3.00	
L)	\$10.00	\$1.70	
M)	\$50.00	\$2.50	

N) Banana Republic® makes 14% of Gap®’s estimated \$16 billion in sales. What are BR’s sales?

O) Europe’s population is approximately 480 million. By 2014, the European Union population is expected to drop to 450 million. What percentage change is that?

Go figure: Try to estimate some of the percentages in your head, and then work out the others without a calculator. Round off the answers as you would during a case question. (Worth noting, These are from a fifth-grade math test.)

P) 60% of 70 =	Q) 25% of 124 =	R) 68% of 68 =	S) 12% of 83 =
T) 23% of 60 =	U) 27% of 54 =	V) 13% of 19 =	W) 65% of 80 =
X) 78% of 45 =	Y) 78% of 90 =		

Answers:

A) about 18% B) about \$500 C) \$18,750 D) \$38.16 E) \$87,500 F) 315 G) 60% H) 2% I) 2% J) 2.5% K) 4% L) 17% M) 5%

N) approximately \$2.3 billion O) Europe’s population drops by around -6 percent P) 42 Q) 31
R)46 S)10 T) 14 U) 15 V) 2 W) 52 X) 35 Y) 70

• **Case-like number cases:**

Every three minutes an American woman is diagnosed with breast cancer. How many American women will be diagnosed this year?

One woman every three minutes equals 20 women an hour. Twenty women diagnosed an hour times 24 hours in a day equals 480 women a day. 480 women a day times 365 days equals 175,200 American women diagnosed with breast cancer each year.

In Brazil, each airline is allocated a certain number of landing spots: Airline A, 2,000; Airline B, 1,000; Airline C, 500 and Airline D, 100. Airline C goes out of business and its landing spots are distributed proportionally to the other airlines. How many spots does each airline get?

You find the percentage of landing spots each airline has without C. Airline A has 65% of 3,100 spots, B has 32% and Airline D has 3%. Next you figure out what percentage of the 500 spots C used to have. Thus A has 65% of 500, which equals 325; B has 32% of 500, which equals 160; and C has 3%, which equals 15. Add them up and they total 500.

American Express® is facing stiff competition from a host of new credit cards that have no annual fee and low interest rates. In response, American Express is considering dropping its \$50 annual fee. What are the economics of dropping the \$50 fee? (This is a popular case and one that has repeatedly turned up in interviews.)

Nine out of 10 students think this case is about competition. They focus their answer on strategy and alternatives to dropping the fee. The first part of this question is not relevant. The real question is “**What are the economics of dropping the \$50 fee?**” In order to answer this question, you need to ask three questions:

- How many card members does Amex have?
- What is the average amount that each card member spends annually?
- What are Amex's revenue streams?

Amex has 10 million card members. Amex card members average \$2,000 a year in purchases. Amex makes 2% from each purchase.

Amex Revenues:

10 million customers paying a \$50 annual fee equals \$500 million. Each member spends $\$2,000 \times 2\% = \40 a year $\times 10$ million customers = \$400 million. Total revenues then = \$900 million, with 55% of that figure coming from fees.

Would card members spend more money if they didn't have to pay the annual fee? Amex card members would have to more than double their purchases to make up for the loss in fee revenues. It seems unlikely that they would go from spending \$2,000 a year to spending \$4,000 a year because of a dropped \$50 fee. Even a modest bump in new members couldn't make up the difference.

How many new customers would Amex have to secure in order to make up the \$500 million difference? Amex would have to more than double its card members from 10 million to about 25 million in a short period — say, two years. Is that feasible? It took Amex 25 years to reach the 10 million customer base it currently has. So doubling it in two years seems unrealistic.

My advice to Amex is to keep its fee in place.

That's it. That's the answer. The interviewer doesn't want to hear about reducing the fee to \$25 or turning Amex into a credit card. This is a straightforward question. [Listen to the question.](#)

❑ **Business Strategy and Operations Cases:** Some business strategy and operations cases should be answered in less than 15 minutes. These are referred to as mini-cases. An example:

- *GE has invented a new light bulb that never burns out. It could burn for more than 500 years and never blink. The director of marketing calls you into her office and asks, "How would you price this?" What do you tell her? (See answer on [page 84.](#))*

A regular case question, like the DuPont case below, could take anywhere from 25 to 35 minutes to answer. It could be a market-sizing question and a strategy question all rolled into one, such as:

- *DuPont has just invented a lightweight, super-absorbent, biodegradable material that would be perfect for disposable diapers. Estimate the size of the diaper market and tell me if Dupont should enter this market and if so, how? (See answer on [page 86](#).)*

+ Written Case Questions and Tests

Over the last couple of years, we have seen more and more firms turn to written cases, particularly in the second and third rounds. Monitor was the first to pioneer the written case. Since then they have added a few new twists to the process. The interview can go something like this:

You arrive for the interview and are handed a written case (usually about five pages: three pages of text and two pages of charts and graphs). You are given 20 to 30 minutes to read and take notes. When the time is up, a consultant comes in and you are expected to “present” the case, much as you would in a business school class. More often than not a discussion ensues. Chances are you will be touching on the same points you would if given a verbal case.

Here’s where it gets really interesting. Sometimes when you have finished reading the case, you are taken into a room where you’ll meet two to three other candidates (you all have read the same case and are applying for the same position). Again, you are expected to “present” the case. The consultants watch closely to see how you interact with the other candidates. Are you dominating the discussion? Are you sitting back and being dominated by others? Or are you building on what the other candidates say, in a positive and civil manner? The Monitor consultants look to see how you interact with your peers. Are you a team player? Do you play well with others? Can you hold your own? It all boils down to fit, communication skills, respect for others, empathy and teamwork.

This is taking the brilliance of case questions as an interviewing tool one step further.

There could be one last twist. Sometimes when you arrive, you are joined by two or three other candidates in a small conference room. You are all given the same case and asked to present it in 20 minutes. A Monitor consultant stays in the conference room with you to monitor the group’s interaction and dynamics while assessing the leadership skills of all the candidates. When your team is ready to present, two other consultants join in and your “team” presents the case.

Now, one, two or all three of the candidates might be called back for the next round. While you act as part of a team during presentation of the case, you are all judged individually.

Besides the Monitor format, we have seen other firms develop their own version of a written case. The most common one is similar to a Monitor case. The interviewer will give you two to three pages of written text and tell you to read it, then be prepared to present the case. They will also want you to prepare three PowerPoint® slides to go along with your presentations. Keep in mind that you have no calculator or computer, which means no PowerPoint® or Chart Wizard®.

The other type of written case occurs when a consultant gives you a 120 - page document and tells you to read it and present it to him in 30 minutes. In a case like this, what you want to do (besides climb out the window) is to read the executive summary upfront and then spend the rest of the time in the back of the document analyzing the exhibits. You can learn much more by studying the exhibits than by reading as far as you can in the document.

McKinsey now requires that some candidates take a written exercise. “The test is testing problem-solving in a written format; folks will be surprised that the straight ‘quant’ questions are the minority. It’s not like a GRE quant test,” explains a senior McKinsey recruiter.

“The bulk of it involves making judgment calls/recommendations based on information available to you at that point,” the recruiter adds. “The exercise is supposed to feel like a case interview, but with multiple-choice responses.”

Last year the McKinsey Problem Solving Test (McKPST) contained 26 questions and you had an hour to complete it. Candidates received a bit more information about the business, the environment and the

problem with each question.

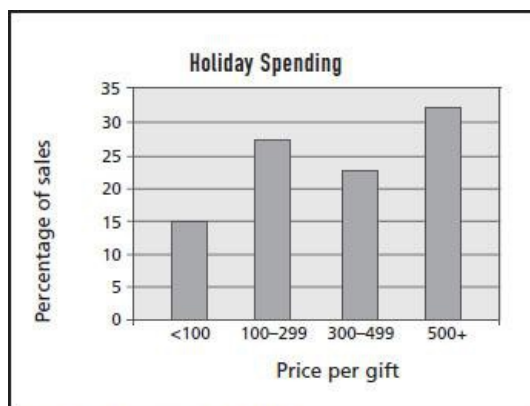
Students can't bring in calculators or scratch paper. The test was developed internally by McKinsey and validated by Applied Psychological Techniques Inc. (APT). "It was fun, now that it's over," recounts a non-MBA Harvard graduate student. "There are some ratios and percentages, a couple of formulas, but nothing too overwhelming. Also, a few charts are used to present some of the information, but again fairly basic, in my opinion."

A McKinsey recruiter states, "You need to be comfortable with calculating some percentages, basic equations, understanding relationships among data, but nothing terribly advanced."

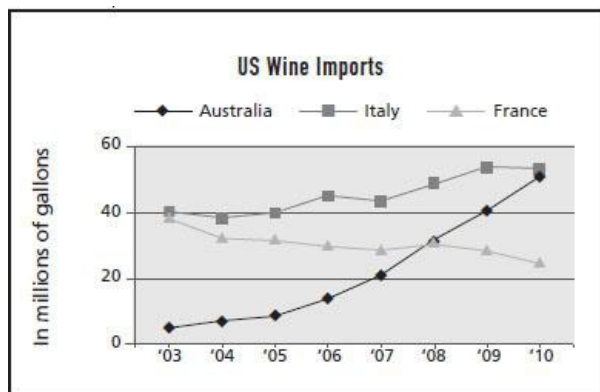
Some international offices have a math section that one student says is more like the GMAT than the GRE. You have 18 questions and 30 minutes to complete them. "You start with probability and it gets harder from there," recounts a Harvard graduate student.

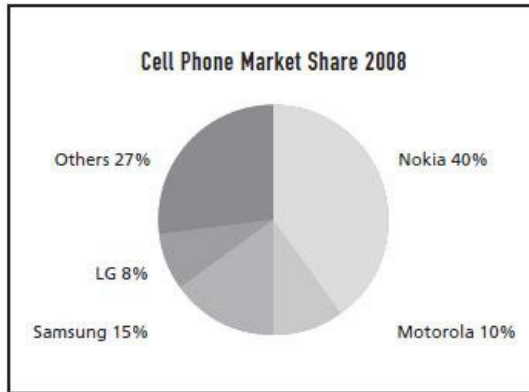
The McKinsey recruiter explains, "The resulting score is used as one more 'data point' on problem-solving for the interviewers to refer to if they have concerns or opposing reads. There is no magic or required score, and performance in face-to-face interviews is of greater importance to us."

Reading Charts and Graphs One of the best ways to shake the dust off your chart and graph reading is to look at the charts and graphs printed in *The Wall Street Journal* and *The Economist* and draw some conclusions. Then read the article and compare your thoughts to the main points of the article.



Source: The Conference Board 2005





Making Slides and Graphs There is another twist: making slides and graphs. The recruiter hands you a few pages of data and asks that you create (on paper) three or four PowerPoint® slides. You are then expected to present them during the case as you would during a presentation to a client.

You will be given charts, sometimes at the outset of the case. Sometimes they slip them into the middle of the case, changing the dynamics of the question. You are expected to quickly analyze the charts, extract the most important information and then apply it to your answer. It is easy to get overwhelmed.

Candidates tend to get beleaguered by the pressure to perform and don't always see the elegance of the chart or the simplicity of the message.

Therefore, as you look at each chart, I recommend that you eyeball the numbers, round them off and then determine how they are related to one another, what trends you see and what message you derive from what you see.

As you review the charts, there are three easy steps that will help you get your bearings:

1. identify the chart form — is it a bar graph, a line chart or pie chart?
2. determine what comparison each chart calls for
3. summarize the message

Chances are you will only need to use one of the three basic graph forms: the bar graph, the line graph or the pie chart (BCG doesn't like pie charts). Be sure to give your charts and graphs an appropriate title that explains what the data measure.

Use the bar graph when you want to show relationships between groups. The two items being compared don't need to affect each other. The top chart shows what percentage of holiday sales fall into what price category.

Trends over time are generally shown in line graphs. The line graph plots the rise and fall of one data set or multiple data sets. The line graph is needed when you want to show the effect of an independent variable on a dependent variable. The second chart follows US wine import levels from Australia, Italy and France over an eight-year period.

A pie chart is used to show how something relates to the whole. It usually deals with percentages. This last chart shows the market share of the US cell phone market in 2008.

+ Irking the Interviewer

Interviewers get easily bored and irked. Let's face it, these guys and gals spend most of their days telling the CEOs of Fortune 1,000,000 companies what to do. Now they've been yanked out of a really important assignment to interview you and a dozen of your closest friends. Yawn..."I postponed my meeting with Mark Zuckerberg for this? Dazzle me!"

The first step toward Case Interview Dazzlement (CID) is to avoid costly and obvious mistakes. Listed below are the most common mistakes that past interviewees (some still unemployed) have made.

❑ The Leno / Letterman syndrome

A five-minute monologue will do more to hurt your career than any of the other mistakes. Remember, you ask questions not only to get additional information but to draw the interviewer into the case with you. Make the interviewer feel that he is a stakeholder in your candidacy. Turn the question into a conversation.

❑ What was the question again?

Listen to the question, write it down, then repeat it to the interviewer. Candidates are always answering the wrong question because they don't take the time to identify what the interviewer is really asking.

❑ Explosion of the mouth

I see it all the time: People can't give me the answer fast enough. Slow down. Don't jump off the mark and give the first answer that pops into your head. Take your time and analyze the information. The interviewer is there to observe the logic and thought process behind your answer.

❑ Digression city

You go off on a tangent because it's easy, you're on a roll and it provides you with a false sense of security. You think it hides the fact that you can't move forward in your answer, but it doesn't. Tangents take you off the path and it becomes extremely difficult to get back on the straight and narrow.

A case question is like a long corridor with numerous side doors. Suppose the question was, "How do we increase sales for the local 7-Eleven convenience store?" You start walking down the corridor and you open the first door on the right and yell, "We can raise our prices." Close the door and move on to the next door. Open that door and yell, "We need to get more people in the store." Close the door and move on.

The problem arises when you open the door and yell, "We need to get more people in the store." Then you start walking down the side hall trying to come up with creative ways to get more people in the door. You come up with all sorts of promotions involving your favorite late-night snack food. Hey, this is easy! But that's NOT the question.

❑ The bull in the consulting china shop

Don't use terms that you don't fully understand. Throwing out a buzzword or business term in the wrong context highlights the fact that you have a nasty habit of discussing things you know little about. You may be able to get away with that in class, but it doesn't fly in a case interview. If you do that in an interview, will the firm be able to trust you in front of a client?

❑ Asking open-ended questions

Open-ended questions that try to get the interviewer to answer the case for you will irk the interviewer, big time. It is far better to make assumptions than to ask the interviewer for the answer. Consider a scenario where you were reviewing labor costs:

Right: Because the economy is strong and there are plenty of jobs, I'll assume that our labor costs have gone up.

Wrong: What has been going on with our labor costs?

❏ **Silence**

One of the questions I get asked most often is about silence. Is it ever okay to be silent? Yes and no. The simple rule to remember is that silence is okay when you are doing something like calculating, writing down your thoughts or drawing a graph or decision tree. You can get up to 40 seconds of silence before the “awkward” clock starts ticking and the interviewer gets restless. It is not okay when you are just thinking while staring out the window or looking down at your shoes, particularly in the beginning of the case. If the interviewer gives you the case and you just sit there thinking, you’ve lost your momentum, you’re sitting dead in the water. (See The First Four Steps and read Summarize the Question on [page 32](#).)

+ If You Get Stuck

If you get stuck during a case and the interviewer doesn't ask you a question to help you along, then there are a few things you can do. First, take a moment to recap where you've been. Chances are you've either gone into too much detail and are now stuck in the mud or you went off on a tangent. Recapping pulls you out of the mud and back above the trees. Remember, for the most part, you want to view the case from a macro point of view. Many times, as you recap, you can see where you got off track. The second thing to do is to go back and look at the information that the interviewer gave you. Information that was originally irrelevant often becomes relevant as you work through the case. Third, quickly run through the Five C's... (see [page 49](#)) in your head to see if there is something obvious that you missed. Finally, if you are still stuck, ask for help. There is no shame in asking for help. If we were working on a project together, I would much rather have you ask me for help than have you waste a lot of time banging your head against a wall. That being said, I wouldn't ask for help more than once.

+ The Trouble with Math

Do you have trouble doing math in your head? Are you often off by a zero? When I do case interviews with students, the most common problem is basic math. It's the zeros that students have trouble with. From Ph.D.s to undergraduates, it's the zeros. Take a look at the table below, and get to know it very well.

Number Table*

	10	100	1,000	10,000	100,000
10	100	1,000	10,000	100,000	1,000,000
100	1,000	10,000	100,000	1,000,000	10,000,000
1,000	10,000	100,000	1,000,000	10,000,000	100,000,000
10,000	100,000	1,000,000	10,000,000	100,000,000	1,000,000,000
100,000	1,000,000	10,000,000	100,000,000	1,000,000,000	10,000,000,000

* Number Table produced and designed by Maria Teresa Petersen, Harvard MPP '01.

+ Notes Design

While there is no standard for note taking, the landscape format is becoming the norm. The first page of notes is divided into two sections.

Case Notes. In this section write down all the information that the interviewer gives you. Be sure to verify the objective.	Write the objective(s) across the top of this section. Write the answers to questions that you asked about the case. Draw or lay out your structure. $E(P = R - C)M$
--	---

Many consulting firms favor the use of graph paper. There are several reasons why.

- Graph paper makes it easier to draw your notes.
 - Be visual with your notes. Draw boxes, graphs, arrows, decision trees, value chains and flow charts.
 - When appropriate, turn your notes toward the interviewer to explain your thought process. It makes him feel more like a team member and less like an interviewer.
- Graph paper lines up your zeros. There is a lot of math in these questions and you can't use a calculator. It is not always easy to tell when you are off by a zero when your answer has eight zeros at the end of it.
- Graph paper organizes your notes. Well-organized notes make it easier for the interviewer to follow. When he isn't looking into your eyes, he's looking at your notes to see what you wrote down because he knows what you should be writing down. In addition, there is a good chance that the interviewer will collect your notes at the end of the interview. He uses your notes as one more data point — what did you write down? How did you write it? How did you do your math? And, can he read your handwriting?

When it comes time for the case portion of your interview, rip out five pages of graph paper and number them (you can do this before the interview to save time and look well-organized). Remember to just write on one side of the page. Flipping pages back and forth can be disruptive and make it hard to find important data at a glance. Using bullet points will make your notes seem better organized and make it easier to go back to find information. Star or highlight important points that you think will make the summary. This way those points will jump out at you when it comes time to summarize the case.

As you fill up the pages (while leaving plenty of white space on your notes), spread your notes out in front of you. That way you can see the whole case at a glance. You'll want to check the first page of notes from time to time. There is a lot of important information on that first page. Some of it is immediately relevant; some is smoke put there to throw you off track. Other information will become relevant as you move through the case.

Some students use a separate sheet for their math. That way your main notes stay clean and linear. If you do use a separate sheet, make sure that you label each calculation so you can tie it back into the case and not be left looking at a page full of random calculations.

Oftentimes the interviewer will hand you a chart. Always ask for permission before you write on the chart. As strange as it may seem, sometimes interviewers only show up with one copy of a chart.

+ The Summary and The Final Slide

In most case interviews you will be asked to summarize the case. You need to jump right into this without any down time to collect your thoughts. A good summary is about a minute, a minute-and-a-half at the most. It is not a rehash of everything you spoke about; it is a short recap of the problem and two or main points or recommendations that you want to remember.

In some cases — particularly those that ask for a list of numbers the interviewer wants you to figure out, i.e., market-size, price, break-even, and profit, or those that compare two or more strategies, ideas or options using the same criteria — you can create the “final slide” right at the beginning of the case. No one ever remembers to do this, so if you can think of it, you’ll score big points with the interviewer.

On a separate sheet of paper, draw a chart listing the product or markets (whatever it is that you are comparing) and below that, the criteria. As you calculate the numbers, fill them in on the final slide; this keeps all relevant information in one place and makes it easier for the interviewer to follow (think of it as a scorecard). Once all the information is filled out, the student turns the final slide towards the interviewer and walks him through it. This is the best summary. It is similar to the final slide of a deck that a consultant would present to a client. In the Partner Cases section of the book ([page 159](#)), there are three great examples of the final slide.

Market-size	
Price	
Breakeven	
Est. Profits	

	Y1	Y2	Y3	Y4	Y5
Option One					
Option Two					

+ Case Journal

I had a student that had graduated Phi Beta Kappa from an Ivy League school. She had spent her time between undergrad and graduate school working for a non-profit. While at Harvard's Kennedy School, she decided that she wanted to do consulting, but she had no business background. Her first attempt at a mock case interview with me was a disaster. That day she started a journal. For every live case she did with me, her classmates and alumni (she did around 30 live cases) and with every case that she read (about 80 cases), she wrote down the problem, the solution and most importantly what she hadn't thought of. The student constantly reviewed it, so that what she didn't think of naturally soon became second nature to her. She also recorded structures, concepts, ideas and strategies. When she had spare moments between classes or bus rides, she would flip through her journal. When she read articles in *The Wall Street Journal*, *Business Week* or *McKinsey Quarterly*, she would add to her journal. It never left her side.

She ended up at a top firm and took the journal with her. With every engagement she learned something new and added it to her journal. When she and her co-workers sat around brainstorming problems, she would flip through her journal and throw out ideas, which often sparked discussions and occasionally led to a solution.

I saw her five years after she had graduated and she still had her journal. Although it was as beaten up as Indiana Jones's journal, it held just as many treasures. She was headed to a new job and the journal was the first thing she packed.

Since then, I have recommended creating a journal whenever I speak at schools. Besides keeping all your notes in one place, it becomes a single source for case material that is also extremely helpful for your classes. If you are truly serious about case interviewing, then you will continue to read and practice all summer long. Recruiting events start as soon as you get back to campus, so if you take the time over the summer to practice, life is going to be easier in the fall.

4 : The Ivy Case System©

+ Best Case Thinking

In my years of training Harvard students to answer case questions, I've realized that the major problem many of my students have is simply getting started. Sometimes they're overwhelmed, sometimes they're nervous and sometimes they just don't have a clue. So in 1996, with the help of a student, I developed the Tomensen/Cosentino Case Framework. Over the years it has been successfully tested in thousands of case interviews. After hundreds of debriefings, I have refined it, simplified it and renamed it. But the biggest change is that I turned it from a framework into a system, The Ivy Case System©.

A framework is a structure that helps you organize your thoughts and analyze the case in a logical manner. Often, however, you have to cut and paste from a number of frameworks in order to answer any single case question. As I've mentioned, the difference between a framework and a system is that a framework is really a tool, while a system is a process. Instead of memorizing seven individual frameworks and then trying to decide which one(s) to apply, you learn the system, which I already has the tools built in.

The Ivy Case System© is a two-part system made up of four easy steps to get you going and 12 popular case scenarios (see sidebar), each equipped with a collection of ideas and questions that will help you structure the remainder of your response. If you follow through the outline I've given for each scenario, you can be confident that your response will be logical and cohesive. You will find that there is much overlap between the 12 scenarios, so you're not learning 12 different ideas, you're learning maybe five. And because it is all based on business sense and common sense, you'll find that there is nothing in there that you don't already know... it is just organized a little differently.

These first four steps will provide you with a quick start (no long, awkward pause between question and answer). They'll get you five minutes into the question, give you momentum and provide you with enough information to decide which of the 12 case scenarios (or whatever combination thereof) is most appropriate to the case question at hand. You will recognize the four steps from the "Key Guidelines" section.

THE TWELVE CASE SCENARIOS

Business cases have traditionally focused on either business strategy or business operations. However, with today's more complex cases, candidates are getting case questions that cover both categories and multiple scenarios.

Strategy Scenarios:

1. Entering a new market
2. Industry analysis
3. Mergers and acquisitions
4. Developing a new product
5. Pricing strategies
6. Growth strategies
7. Starting a new business
8. Competitive response

Operations Scenarios:

9. Increasing sales
10. Reducing costs
11. Improving the bottom line
12. Turnarounds

You may want to read through the following explanation of the Ivy Case System© and then check out a practice case or two to see how the system can be applied. Then it will be time to revisit the system and learn it.

The interviewer has just finished giving you the case. Here's what you do!

+ The First Four Steps

[1. Summarize the Question]

This shows the interviewer that you listened. It allows you to hear the information again. It keeps you from answering the wrong question. And it fills the gap of silence between the interviewer's question and your answer. When listening to the question, try to weed out the irrelevant information to hear what the interviewer is asking; one word in the question could make a big difference in your answer.

[2. Verify the Objectives]

You can bet that when a consultant has her first meeting with a client, she always asks about objectives and goals. What are the client's expectations, and are those expectations realistic? Even if the objective to your case seems obvious, there is always a possibility of an additional, underlying objective. So ask, "One objective is to raise profits. Are there any other objectives that I should know about?" If the interviewer says, "No. Higher profits is the only objective," then we can determine that the choice of case scenario comes directly from the objective. If there are two objectives, you will probably need to break the case in half and tackle one objective at a time.

At this point you should be able to determine whether this is a number case and should proceed accordingly. (Look back to [page 21](#) for more information on number cases.)

[3. Ask Clarifying Questions]

As we've said, you ask questions for three reasons: to get additional information, to show the interviewer that you are not shy about asking questions and to turn the case into a conversation. The key is to ask broad, open-ended questions that help you narrow the information at the start, because as the case progresses, you'll lose your "right" to ask these sweeping questions. (It may give the impression that you're trying to get the interviewer to answer the case for you.) The 12 case scenarios will guide you in asking these questions.

However, if you still don't know which scenario to use — for example, whether this case is about increasing sales or increasing profits (or entering a new market, producing a new product, growing a company...) — you can choose the appropriate case scenario by asking broad, generic questions about:

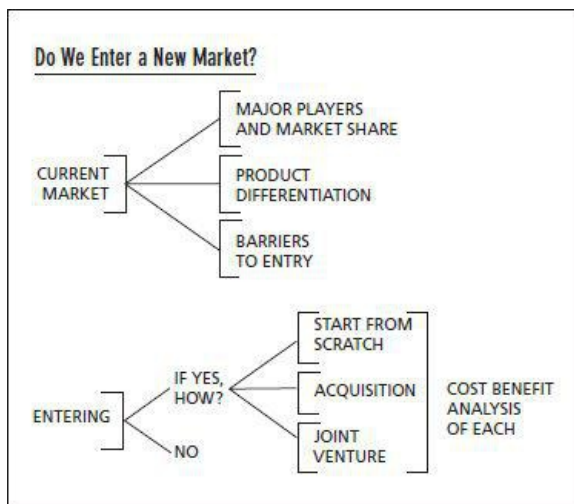
- the company: Is it public or private? How big is it? Is it growing?
- the industry: Where is the industry in its life cycle?
- competition: Include both internal (Who are the major players? What is our market share?) and external market factors (i.e., substitutions, the economy, interest rates, unemployment rate, price-cutting by competitors, rising material costs).
- the product: If it's a new product, ask about both the advantages and the disadvantages. (Everyone forgets to ask about the disadvantages, but oftentimes disadvantages can drive your answer more than the advantages.)

**** Note: Keep in mind how the economy, the Internet and other new technologies affect each question.***

[4. Lay Out Your Structure]

This is by far the toughest part of the process and you may want to “take a moment” to think about structure at this point. Thirty seconds of silence now may save wasted time later in the interview. You’ve decided which case scenario(s) to work with, and you have asked a few broad questions that have given you the information you need to form a logical response. Because you have studied the scenarios, you can quickly go through the bullet points in your mind and decide which are most relevant to this particular question. You then just need to tell the interviewer how you plan to proceed.

With some cases, laying out your structure is the answer to the case itself — you tell the interviewer how you would go about fulfilling the company’s objective, and voilà, you’re done. With other cases, you’ll actually need to walk through some of your proposed steps. It should be obvious (by the nature of the question and the interviewer’s feedback) which path a specific case calls for.



Most consultants think graphically. They communicate to clients through PowerPoint® slides, graphs and charts. Many students find that it helps to draw a decision tree. A decision tree is a map of the reasoning process — visually breaking the case down into components and laying out your structure. It allows you to review your options and investigate the possible outcomes, while weighing the risks and rewards of each course of action.

*** Note: The more cases you practice, the more you’ll be able to draw on those practice cases during the interview. For example, if you know you’re working with an entering-a-new-market case, you can think back to that Yellow Stuff Chemical Company case ([page 77](#)) and use it as a guide.**

+ The 12 Case Scenarios

[1. Entering a New Market]

► **Question: Your client manufactures hair products. The company is thinking about entering the sunscreen market. Is this a good idea?**

Step 1: Determine why. What's our goal? What's our objective? Does it fit into our overall strategy?

Step 2: Determine the state of the current and future market.

- What is the size of the market?
- What is the growth rate?
- Where is the company in its life cycle? (Stage of development: Emerging? Mature? Declining?)
- Who are the customers and how are they segmented?
- What role does technology play in the industry and how quickly does it change?
- How will the competition respond?

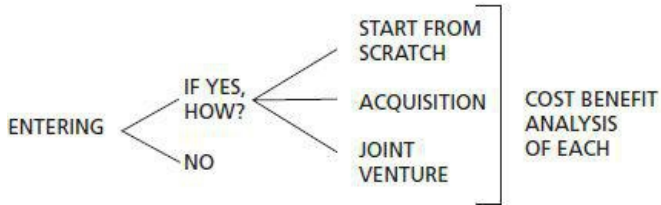
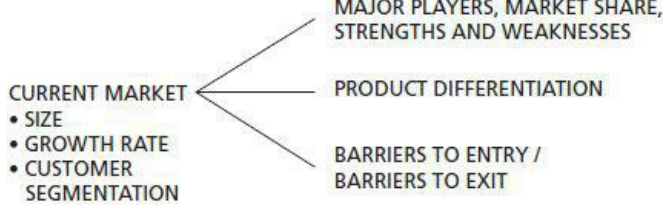
Step 3: Investigate the market to determine whether entry it would make good business sense.

- Who is our competition and what size market share does each competitor have?
- How do their products and services differ from ours?
- How will we price our products or services?
- Are there substitutions available?
- Are there any barriers to entry? Examples are: capital requirements, access to distribution channels, proprietary product technology, government policy.
- Are there any barriers to exit? How do we exit if this market sours?
- What are the risks? For example, market regulation or technology.

Step 4: If we decide to enter the market, we need to figure out the best way to become a player. There are three major ways to enter a market:

- Start from scratch (see Starting a New Business).
- Acquire an existing player within the desired industry.
- Form a joint venture/strategic alliance with another player with similar interests.

Analyze the pros and cons of each. This is sometimes called a cost benefit analysis. You can use this whenever you are trying to decide whether to proceed with a decision.



[2. Industry Analysis]

► **Question:** Our client is thinking of acquiring a diversified company that has holdings in three different industries. One of those industries is entertainment. Our client knows nothing about the entertainment industry and has asked us to do an analysis. What do we analyze?

Step 1: Investigate the industry overall.

- Where is it in its life cycle? (Emerging? Mature? Declining?)
- How has the industry been performing (growing or declining) over the last one, two, five and 10 years?
- How have we been doing compared to the industry?
- Who are the major players and what kind of market share does each have? Who has the rest?
- Has the industry seen any major changes lately? These include new players, new technology and increased regulation.
- What drives the industry? Brand, products, size or technology?
- Profitability. What are the margins?

Step 2: Suppliers

- Have the suppliers been consistent? What is going on in their industries? Will they continue to supply us?



Step 3: What is the future outlook for the industry?

- Are players coming into or leaving the industry?
- Have there been many mergers or acquisitions lately?
- What are the barriers to entry and/or to exit?
- Will substitutes be introduced?

[3. Mergers and Acquisitions]

► **Question: Ben & Jerry's® is buying a mid-size cream cheese manufacturer. Does this make sense? What should the company be thinking about?**

Step 1: Determine the goals and objectives. Why are they buying it? Does it make good business sense, or are there better alternatives? Is it a good strategic move? Other reasons could be to:

- increase market access.
- diversify their holdings.
- pre-empt the competition.
- gain tax advantages.
- incorporate synergies: marketing, financial, operations.
- create shareholder value.

Step 2: Due diligence. Research the company and industry.

- What kind of shape is the company in?
- How secure are its markets, customers and suppliers?
- How is the industry doing overall? And how is this company doing compared to the industry? Are they a leader in the field?
- What are the margins like? Are they high-volume, low-margin, or low-volume, high-margin?
- How will our competitors respond to this acquisition?
- Are there any legal reasons why we can't, or shouldn't, acquire it?

Step 3: How much are they paying?

- Is the price fair?
- How are they going to pay for it?
- Can they afford it?
- If the economy sours, can they still make their debt payments?

Step 4: Exit strategies, looking for a way out.

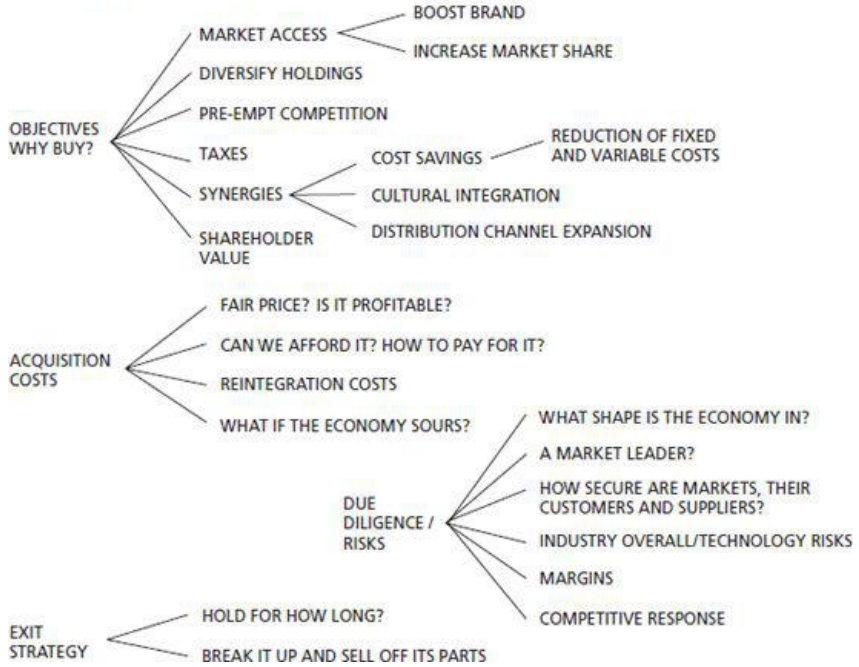
- How long are they planning to keep it?
- Did they buy it to break it up and sell off parts of it?

Mergers and Acquisitions

Objectives, costs, due diligence, exit strategies

Mergers and Acquisitions

Objectives, costs, due diligence, exit strategies



[4. Developing a New Product]

► **Question:** Our client has developed a new biodegradable product, which is both a soft drink and a car wax. What should the company be thinking about?

You can approach the next four steps in any order you like.

Step 1: Think about the product.

- What's special or proprietary about our product?
- Is the product patented?
- Are there similar products out there? Are there substitutions?
- What are the advantages and disadvantages of this new product?
- How does the new product fit in with the rest of our product line?

Step 2: Think about our market strategy.

- How does this affect our existing product line?
- Are we cannibalizing one of our existing products?
- Are we replacing an existing product?
- How will this expand our customer base and increase our sales?
- What will the competitive response be?
- If it's a new market, what are the barriers to entering this market?
- Who are the major players and how much market share does each firm have?

Step 3: Think about our customers.

- Who are our customers?
- How can we best reach them?
- Can we reach them through the Internet?
- How can we ensure that we retain them?

Step 4: Think about financing.

- How is the project being funded?
- What is the best allocation of funds?
- Can we support the debt? (What if interest rates change? What if the economy sours?)

COST-DRIVEN PRICING (The Deadly Business Sin)

Before there was Michael Porter and all the other modern-day business gurus, there was Peter Drucker (1909-2005). The following is from Peter Drucker's *Wall Street Journal* article "The Five Deadly Business Sins."

The third deadly sin is cost-driven pricing. The only thing that works is price-driven costing. Most American and practically all European companies arrive at their prices by adding up costs and then putting a profit margin on top. And then as soon as they have introduced the product, they have to start cutting the price, have to redesign the product at enormous expense, have to take losses - and often, have to drop a perfectly good product because it is priced incorrectly. Their argument? "We have to recover our costs and make a profit."

This is true but irrelevant: Customers do not see it as their job to ensure manufacturers a profit. The only sound way to price is to start out with what the market is willing to pay - and thus, it must be assumed, what the competition will charge - and design to that price specification.

Cost-driven pricing is the reason there is no American consumer-electronics industry anymore. It had the technology and the products. But it operated on cost-led pricing - and the Japanese practiced price-led costing.*

[5. Pricing Strategies]

► **Question:** Our client has developed a new Hollywood screenwriting software package. How are we going to price it? What's our strategy and why?

Step 1: Investigate the product.

- What's special or proprietary about our product?
- Are there similar products out there, and how are they priced?
- Where are we in the growth cycle of this industry? (Growth phase? Transition phase? Maturity phase?)
- How big is the market?
- What were our R&D costs?

Step 2: Choose a pricing strategy.

Is the company in control of its own pricing strategies, or is it reacting to suppliers, the market and its competitors?

- Cost-based pricing vs. price-based costing (i.e., do you decide pricing based on how much the product costs to produce or on how much people will pay?)
- How much does it cost to make or deliver/provide?
- What does the market expect to pay?
- Is it a "must have" product?
- Do we need to spend money to educate the consumer?

Step 3: Supply and demand. (You'll win big points for graphing your answer.)

- What's the supply? How's the demand?
- How will pricing have an effect on the market equilibrium?
- Matching competition: What are similar products selling for?
- Are there substitutions (in this case, Microsoft® Word, typewriters, etc.)?

Basically, there are four main ways to price the product: competitive analysis, cost-based pricing, price-based costing and company objective.

Competitive Analysis: Are there similar products out there? How does our product compare to the competition? Do we know their costs? How are they priced? Are there substitutions available?

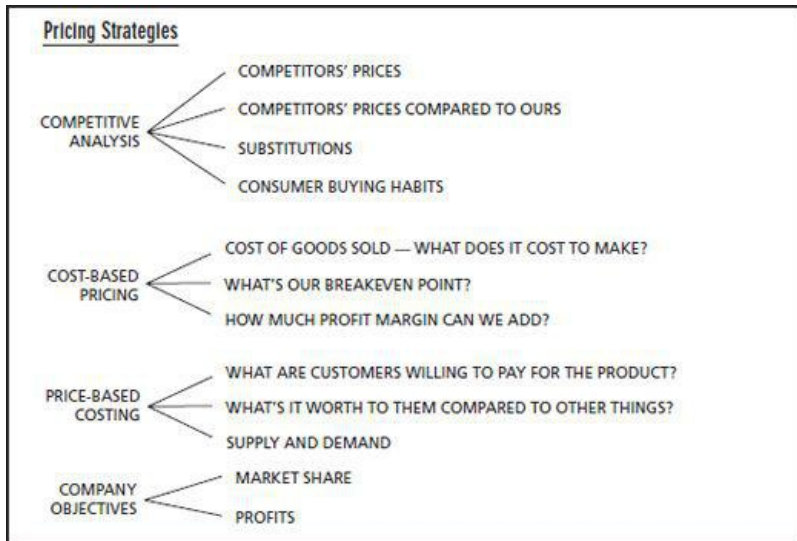
Cost-based Pricing: Take all our costs, add them up and add a profit to it. This way you'll know your break-even point.

Price-based Costing: What are people willing to pay for this product? If they're not willing to pay more than what it costs you to make, then it might not be worth making. On the other hand, they may be willing to pay much more than what you would get by just adding a profit margin. Profit margins vary greatly by industry. Grocery stores have a very thin profit margin, while drug companies traditionally have a large profit margin.

Company Objective: What is the motivation behind the pricing? Is the company interested in profits

(usually priced higher) or market-share (usually priced lower)? This can often be the deciding factor when picking a price.

However, when solving a pricing problem, you need to look at all four of these strategies and see where, or if, they intersect.



[6. Growth Strategies]

► **Question: XYB Corporation has a high cash reserve (lots of cash on hand). How can we best use that money to grow the company?**

Step 1: Ask your feeler questions. Growth strategies could mean focusing on a certain product, division or the company overall. This is a true strategic planning question, and you must determine the direction of questioning.

- Is the industry growing?
- How are we growing relative to the industry?
- Are our prices in line with our competitors?
- What have our competitors done in marketing and product development?
- Which segments of our business have the highest future potential?
- Do we have funding to support higher growth?

Step 2: Choose a growth strategy. Increasing sales is one of the ways you grow, though not the only one. You need to determine if all or some of the following strategies for growth fit the question.

- Increase distribution channels.
- Increase product line.
- Invest in a major marketing campaign.
- Diversify products or services offered.
- Acquire competitors or a company in a different industry.



[7. Starting a New Business]

► **Question: Two brothers from Ireland want to start a travel magazine. They've come to us for strategic advice and help developing a business plan to get started. What do you tell them?**

Step 1: Starting a new business encompasses entering a new market as well — the first step is the same. Investigate the market to determine whether entering the market makes good business sense.

- Who is our competition?
- What size market share does each competitor have?
- How do their products/services compare to ours?
- Are there any barriers to entry? These include: capital requirements, access to distribution channels, proprietary product technology or government policy.

Step 2: Once we determine that there are no significant barriers to entry, then we should look at the company from a venture capitalist point of view. Would you, as an outsider, invest in this start-up? Would you risk your own money? Venture capitalists don't simply buy into an idea or product, they invest in:

- Management
 - What is the management team like?
 - What are its core competencies?
 - Have they worked together before?
 - Is there an advisory board?
- Market and Strategic Plans
 - What are the barriers to entering this market?
 - Who are the major players and what kind of market share does each company have?
 - What will the competitive response be?
- Distribution Channels
 - What are our distribution channels?
- Products
 - What is the product or technology?
 - What is the competitive edge?
 - What are the disadvantages of this product?
 - Is the technology proprietary?

- Customers

- Who are our customers?
- How can we best reach them? Can we reach them on the Internet?
- How can we ensure that we retain them?

- Finance

- How is the project being funded?
- What is the best allocation of funds?
- Can we support the debt? (What if interest rates change? What if the economy sours?)

[8. Competitive Response]

► **Question:** Sperry Topsider® has developed a new non-slip sailing shoe that has been eating into the sales of our bestseller, The Commodore 2000. How can we respond?

Step 1: If a competitor introduces a new product or picks up market share, we want to first ask such questions as:

- What is the competitor's new product and how does it differ from what we offer?
- What has the competitor done differently? What's changed?
- Have any other competitors picked up market share?

Step 2: Choose one of the following response actions:

- Acquire the competitor or another player in the same market.
- Merge with a competitor to create a strategic advantage and make us more powerful.
- Copy the competitor (e.g., Amazon.com vs. barnesandnoble.com).
- Hire the competitor's top management.
- Increase our profile with a marketing and public relations campaign.



[9. Increasing Sales]

► **Question:** BBB Electronics wants to increase its sales so it can claim that it is the largest distributor of the K6 double prong lightning rod. How can BBB Electronics reach its goal?

Step 1: Increasing sales doesn't necessarily mean increasing profits. Think about the relationship. What can be done? What do we need to know?

- How are we growing relative to the industry?
- What has our market share done lately?
- Have we gone out and asked customers what they want from us?
- Are our prices in line with our competitors'?
- What have our competitors done in marketing and product development?

Step 2: There are four easy ways to increase sales. Determine which action (or combination thereof) is your best strategy:

- **Increase volume.** Get more buyers, increase distribution channels, intensify marketing.
- **Increase amount of each sale.** Get each buyer to spend more.
- **Increase prices.**
- **Create seasonal balance.** Increase sales in every quarter — if you own a nursery, sell flowers in the spring, herbs in the summer, pumpkins in the fall, and trees and garlands in the winter.



[10. Reducing Costs]

► **Question a: A publishing company is having a cash flow problem and needs to reduce its costs; otherwise it will have to lay off staff. How should the company proceed?**

This is a straightforward reducing-costs question. In such a scenario, you need to:

- Step 1: Ask for a breakdown of costs.
- Step 2: If any cost seems out of line, investigate why.
- Step 3: Benchmark the competitors.
- Step 4: Determine whether there are any labor-saving technologies that would help reduce costs.

► **Question b: EEC's sales are flat and profits are taking a header. How can we fix things?**

If there has been a surge in costs, you need to approach this question by focusing on the internal and external costs that could account for the rise. For example, if labor costs have skyrocketed, is it because of the good economy and because good workers are hard to find? Or is it because your workforce has unionized? Some examples of:

- Internal costs: union wages, suppliers, materials, economies of scale, increased support systems
- External costs: economy, interest rates, government regulations, transportation/shipping strikes

** Note: See a list of 21 ways to cut costs starting on [page 55](#)*

[11. Improving the Bottom Line: Profits]

► **Question:** Our client manufactures high-end athletic footwear. Sales are up but profits are flat. What do we need to look at?

Whenever you hear the words “bottom line” or “profits” you should immediately think: Profits = (Revenues - Costs). However, I’m going to change this formula to a framework: $E(P=R-C)M$. The E represents the economy and M represents the market or industry. You always want to look at external factors first. You want to know whether this is an industrywide problem or a company problem. Start with the economy. Spell out your take on the current economy, just the parts that would directly affect the company or industry overall. This shows the interviewer that you know what’s going on outside the classroom. More importantly it allows you to define the economic environment in which this case is taking place. This is a huge advantage because it reduces the number of surprises that the interviewer can throw at you. Information about the overall market will help you decide whether the rest of the industry is having similar problems.

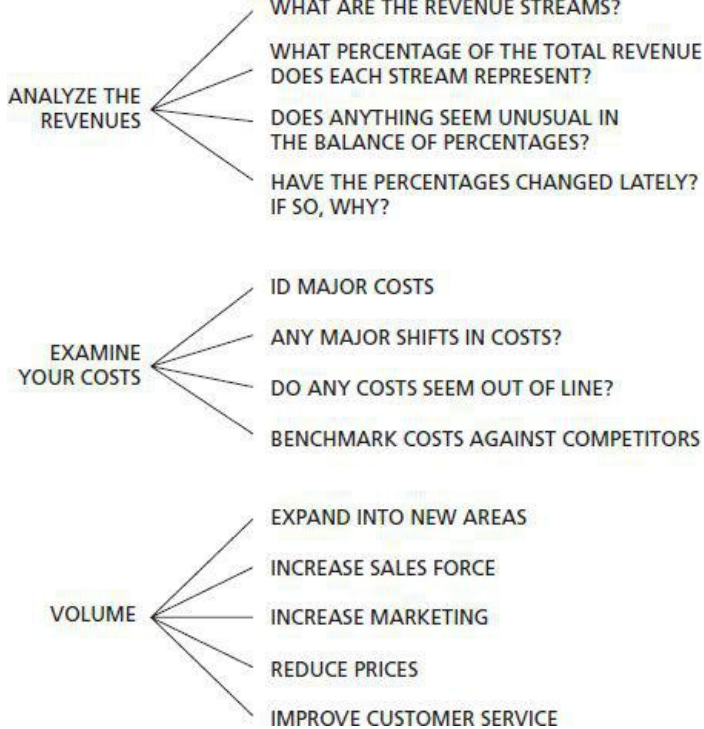
Going inside the parentheses is the same as going inside the company. Start by reviewing the revenue streams. Ask, “What are the major revenue streams and how have they changed over time?” And when you get to the costs: “What are the major costs, both fixed and variable, and how have they changed over time?” **It is always good to know trends.**

Because profits are an underlying theme in many cases, you need to make sure that profit is the main subject of the question before choosing to focus exclusively on this case scenario. (Asking feeler questions can help determine this: “How have we been doing compared to the rest of the industry? How is the overall economy performing?”) Price, costs and volume are all interdependent. You need to find the best mix, because changing one isn’t always the best answer. If you cut prices to drive up volume, what happens to profit? Do profits increase or decrease? There needs to be a balance. The reason behind the decision needs to make sense.

Step 1: Use the $E(P=R-C)M$ framework. Start with the external factors first. Try to determine whether this is an industrywide problem or just a company problem.

Step 2: Once inside the parentheses, ask what the major revenue streams are and how they have changed over time.

- Always look at the revenue (“price” is sometimes substituted) side first. Until you have identified your revenue streams, you can’t know where best to cut costs.
- What are the revenue streams? Where does the money come from?
- What percentage of the total revenue does each stream represent?
- Does anything seem unusual in the balance of percentages?
- Have those percentages changed lately? If so, why?



Step 3: Examine your costs. Ask what are the major costs, both fixed and variable, and how they have changed over time.

- Identify the major variable and fixed costs.
- Have there been any major shifts in costs (e.g., labor or raw material costs)?
- Do any of these costs seem out of line?
- How can we reduce costs without damaging the revenue streams?
- Benchmark costs against our competitors.

Step 4: Determine whether you want to pump up the volume. If so, you can:

- Expand into new areas.
- Increase sales force.
- Increase marketing.
- Reduce prices.
- Improve customer service.

To learn more about a typical Profit and Loss question go to *Anatomy of a Profit and Loss Case* on [page 60](#).

[12. Turnarounds]

Question: AAS Company is in trouble and you’ve been brought in to save it. What do you do?

Step 1: Gather information.

- Tell me about the company.
- Why is it failing? Bad products, bad management, bad economy?
- Tell me about the industry.
- Are our competitors facing the same problems?
- Do we have access to capital?
- Is it a public or privately-held company?

Step 2: Choose the appropriate actions from the following list. While this isn't a quick fix for all troubled companies, these are the main actions you should be thinking about.

- Learn as much as possible about the business and its operations.
- Review services, products and finances. (Are products out of date? Do we have a high debt load?)
- Secure sufficient financing so your plan has a chance.
- Review talent and temperament of all employees, and get rid of the deadwood.
- Determine short-term and long-term company goals.
- Devise a business plan.
- Visit clients, suppliers and distributors, and reassure them.
- Prioritize goals and get some small successes under your belt ASAP to build confidence.

+ Ivy Case System at a Glance		
Type	Approach	Elements
Entering a New Market	Market	Competition Market share Comparative products and services Barriers to entry
	Entry	Start from scratch Acquire an existing player Form a joint venture/strategic alliance with existing player
Industry Analysis	Current Industry Structure	Life cycle (growth, transition, maturity) Performance, margins Major players and market share Industry changes (new players, new technology) Drivers (brand, size, technology)
	Suppliers	How many? Product availability? What's going on in their market?
	Future	Expanding or shrinking? Mergers and acquisitions? Barriers to entry or exit?
Mergers & Acquisitions	Objectives	Increase market access Diversify holdings Pre-empt the competition Enjoy tax advantages Incorporate synergies Increase shareholder value
		Fair? Affordable?

	Price	How to pay? If the economy sours...?
	Due Diligence	What shape is the company in? The industry? How secure are its markets and customers? What are the margins? What is the best competitive response to acquisition? What are the legal issues
	Exit Strategies	How long to keep it? Divest parts of the organization?
New Product	Product	Special or proprietary? Financing? Patented? Substitutions? Advantages and disadvantages? Place in product line? Cannibalizing our own products? Replacing existing product?

Type	Approach	Elements
	Market Strategy	Expansion of customer base Prompts to competitive response Barriers to entry Major players and market share
	Customers	Who? How to reach them? Retention — how to hold them?
	Financing	How funded? Best allocation of funds? Debt viable?
Pricing Strategies	Pricing	Competitive pricing Cost-based pricing Price-based costing Company objective
Growth Strategies	Assessment	Is the industry growing? How are we growing compared to the industry? Are our prices relative to competitors'? What are our competitors marketing and development strategies? Which segments have the most potential? Funding for higher growth
	Strategies	Increase distribution channels Increase product line Invest in major marketing campaign Diversify products or services offered
New Business	Market	Who is the competition? What is their market share? Products comparison Barriers to entry
	Cost Benefit Analysis	Management Marketing and strategic plan Distribution channels Product Customers Finance
Competitive Response	Why?	New product? Competitor's strategy changed? Other competitors' increased market share
	Strategy	Acquire a competitor Merge with competition Copy competitor Hire the competitor's management

Type	Approach	Elements
Increasing Sales	Assessment (increasing sales doesn't necessarily mean increasing profits)	Growth relative to market share Changes in market share Customer polls Prices competitive? Competitor's strategies (marketing and product development)
	How?	Increase volume Increase amount of each sale Increase prices Create seasonal balance
Reducing Costs	Assessment	Get cost breakdown Investigate for irregularities Benchmark competitors Consider labor-saving technologies
	Cost analysis — Internal	Union wages, suppliers, materials, economies of scale, increased support system
	Cost analysis — External	Economy, interest rates, government regulations, transportation/shipping strikes
Increasing Profits	Revenue $E (P = R - C) M$ Always look at external factors first.	Identification of revenue streams? Percentage of total revenue of each? Unusual balance? Have percentages changed?
	Costs	ID fixed costs ID variable costs Shifts in costs Unusual costs Benchmark competitors Reduce costs without damaging revenue streams
	Volume	Expand into new areas Increase sales (volume and force) Increase marketing Reduce prices Improve customer service
Turnaround	Strategy	Learn about company Review services, products, finances Secure funding Review talent and culture Determine short term / long term goals Write a business plan Reassure clients, suppliers, distributors Prioritize goals and develop some small successes for momentum

* Peter Drucker. "The Five Deadly Business Sins." *The Wall Street Journal* (October 21, 1993).

5 : Additional Tools and Frameworks

In this section, we will explore some supplements to the Ivy Case System. These include both other frameworks and additional tools so that you have an understanding of what else is out there. I've purposely limited the number of alternatives, because I've learned from experience that too many options can become a burden. Keep in mind that none of these frameworks or tools was specifically designed to answer case questions. It is far better to understand the underlying problems of the case and logically address those problems than to try to apply a "fix-all" framework. That being said. . .

+ Five C's and Four P's

These are two elementary frameworks that can do the job. You're not going to blow anyone away with these, but you won't drown either. They will allow you to touch on all the main points and appear fairly well organized.

There are two secrets to using these frameworks. First, since every case is different, the C's or the P's have to be rearranged to fit the case. If you treat these frameworks like a laundry list, your answer will seem nonlinear and possibly disorganized. Second, you need to kick up some dust to conceal the fact that you're using these frameworks. If your interviewer discovers you're using the Five C's or Four P's, you might lose some points; neither of these frameworks is particularly impressive.

[Five C's]

- ▶ **Company:** What do you know about the company? How big is it? Is it a public or private company? What kinds of products or services does it offer to its clients?
- ▶ **Costs:** What are the major costs? How have its costs changed in the past year? How do its costs compare to those of others in the industry? How can we reduce costs?
- ▶ **Competition:** Who are the biggest competitors? What market share does each player hold? Has market share changed in the last year? How do our services or products differ from the competition? Do we hold any strategic advantage over our competitors?
- ▶ **Consumers/clients:** Who are they? What do they want? Are we fulfilling their needs? How can we get more? Are we keeping the ones we have?
- ▶ **Channels:** Distribution channels. How do we get our product into the hands of the end users? How can we increase our distribution channels? Are there areas of our market that we are not reaching? How do we reach them?

[Four P's]

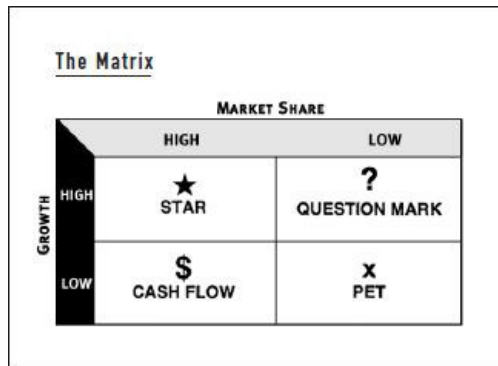
- ▶ **Product:** What are our products and services? What is the company's niche?
- ▶ **Price:** How does our price compare to the competition's? How was our price determined? Are we priced right? If we change our price, what will that do to our sales volume?
- ▶ **Place:** How do we get our products to the end user? How can we increase our distribution channels? Do our competitors have products in places that we don't? Do they serve markets that we can't reach? If so, why? And how can we reach them?
- ▶ **Promotions:** How can we best market our products? Are we reaching the right market? What kind of marketing campaigns has the company conducted in the past? Were they effective? Can we afford to increase our marketing campaign?

+ BCG Matrix

In 1998, Wiley Press published *Perspectives on Strategy*. The book is a collection of articles and essays written by senior members of The Boston Consulting Group. One popular and useful framework is the BCG “Product Portfolio Matrix.” This matrix is designed to place a product or group of products into one of four categories while taking into account a company’s relative market share. BCG has been kind enough to let us reprint Chapter Three.

The Product Portfolio (Bruce D. Henderson, 1970)*

To be successful, a company should have a portfolio of products with different growth rates and different market shares. The portfolio composition is a function of the balance among cash flows. High-growth products require cash inputs to grow. Low-growth products should generate excess cash. Both kinds are needed simultaneously.



Four rules determine the cash flow of a product.

- Margins and cash generated are a function of market share. High margins and high market share go together. This is a matter of common observation, explained by the experience curve effect.
- Growth requires cash input to finance added assets. The added cash required to hold market share is a function of growth rates.
- High market share must be earned or bought. Buying market share requires an additional increment of investment.
- No product market can grow indefinitely. The payoff from growth must come when the growth slows, or it never will. The payoff is cash that cannot be reinvested in that product.

Products with high market share and slow growth are cash cows. Characteristically, they generate large amounts of cash, in excess of the reinvestment required to maintain share. This excess need not, and should not, be reinvested in those products. In fact, if the rate of return exceeds the growth rate, the cash cannot be reinvested indefinitely, except by depressing returns.

Optimum Cash Flow

		MARKET SHARE	
		HIGH	LOW
GROWTH	HIGH	★ + OR - (cash flow modest)	? NEGATIVE (cash flow large)
	LOW	\$ POSITIVE (cash flow large)	x + OR - (cash flow modest)

Products with low market share and low growth are pets. They may show an accounting profit, but the profit must be reinvested to maintain share, leaving no cash throw-off. The product is essentially worthless, except in liquidation.

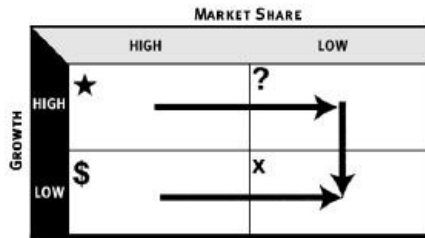
All products eventually become either cash cows or pets. The value of a product is completely dependent upon obtaining a leading share of its market before the growth slows.

Success Sequence

		MARKET SHARE	
		HIGH	LOW
GROWTH	HIGH	★	?
	LOW	\$	x

Low-market-share, high-growth products are the question marks. They almost always require far more cash than they can generate. If cash is not supplied, they fall behind and die. Even when the cash is supplied, if they only hold their share, they are still pets when the growth stops. The question marks require large added cash investments for market share to be purchased. The low-market-share, high-growth product is a liability unless it becomes a leader. It requires very large cash inputs that it cannot generate itself.

Disaster Sequence



The high-share, high-growth product is the star. It nearly always shows reported profits, but it may or may not generate all of its own cash. If it stays a leader, however, it will become a large cash generator when growth slows and its reinvestment requirements diminish. The star eventually becomes the cash cow, providing high volume, high margin, high stability, security and cash throw-off for reinvestment elsewhere.

The payoff for leadership is very high indeed if it is achieved early and maintained until growth slows. Investment in market share during the growth phase can be very attractive if you have the cash. Growth in market is compounded by growth in share. Increases in share increase the margin. High margin permits higher leverage with equal safety. The resulting profitability permits higher payment of earnings after financing normal growth. The return on investment is enormous.

The need for a portfolio of businesses becomes obvious. Every company needs products in which to invest cash. Every company needs products that generate cash. And every product should eventually be a cash generator; otherwise, it is worthless.

Only a diversified company with a balanced portfolio can use its strengths to truly capitalize on its growth opportunities. The balanced portfolio has:

- stars whose high share and high growth assure the future
- cash cows that supply funds for that high growth
- question marks to be converted into stars with the added funds

Pets are not necessary. They are evidence of failure either to obtain a leadership position during the growth phase or to get out and cut the losses.

+ Michael Porter's "Five Forces" / The Structural Analysis of Industries

Michael Porter didn't develop his "Five Forces" as a case framework. However, when you are given a case dealing with developing a new product, entering a new market or starting a new business, this framework works quite well. (e.g., A regional food manufacturer is thinking of entering the gourmet toothpaste business. Should the company take the plunge?)

Please refer to Michael Porter's bestseller *Competitive Strategy* for a more in-depth explanation of his "Five Forces" model.

Porter writes that the state of competition in an industry depends on five basic competitive forces:

1. The threat of new or potential entrants. This includes new companies or acquisitions of established companies by a new player. If barriers are high or if newcomers can expect entrenchment or retaliatory measures (such as a price war) from existing competitors, then the threat of entry is low. According to Porter, barriers of entry include:

- economies of scale
- capital requirements
- government policy
- switching costs
- access to distribution channels
- product differentiation
- proprietary product technology

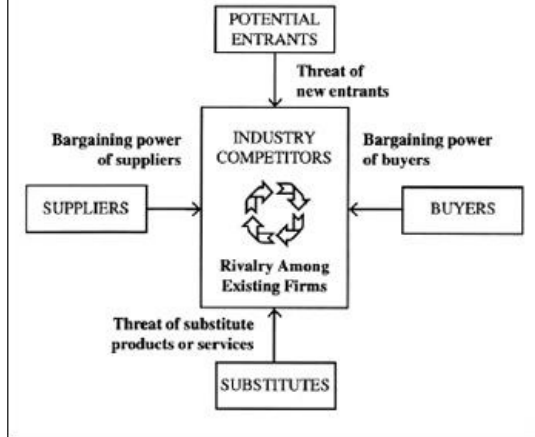
2. Intensity of rivalry among existing competitors.

3. Pressure from substitution products, for example, sugar vs. high-fructose corn syrup and artificial sweeteners

4. Bargaining power of buyers. Buyers compete with the industry by forcing down prices, bargaining for higher quality or more services, and playing competitors against each other — all at the expense of industry profitability.

5. Bargaining power of suppliers. Forces 4 and 5 have to do with supply and demand. When there are many suppliers but few buyers, the buyers have the upper hand. When there are many buyers, but few suppliers, the suppliers have the advantage.

**Michael Porter's Five Forces:
Forces Driving Industry Competition**



+ The Value Chain

In his 1985 book *Competitive Advantage*, Michael Porter introduced the value chain. It's a framework that follows the company's internal product processes starting with raw materials and ending with customer purchase and service. Questioning the effectiveness and efficiencies of these steps during a case question not only shows an understanding of product flow, but can lead to relevant information to help you solve the case.



Raw materials and inbound logistics: receiving materials into the warehouse, relationships with suppliers, “just in time” (JIT) delivery, etc.

Operations: processing raw materials into product through the use of capital equipment and labor

Delivery: warehousing and distribution channels

Marketing and Sales: marketing strategy, identification of customer base and the cost of customer acquisition, sales force issues (e.g., commission, company car, etc.)

Service: customers support, customer retention (It's cheaper to retain a customer than to go out and bring in a new one.)

+ Income Statement

While you may never have to draw up an income statement, you may be handed one in an interview and asked to analyze it. Understanding the basics of an income statement is essential for answering product and company profitability questions. How do the costs stack up? Do any numbers seem out of line or a bit high? For example, if Joe's Shoe Company's labor costs were \$50,000 instead of \$15,000, that should send off warning bells that something is wrong. Why are labor costs \$50,000, or 50% of gross revenues?

Joe's Shoe Company Income Statement		
	Gross Revenues (units x price)	100,000
(-)	Returns and discounts (5,000)	
	Net Sales	95,000
(-)	Cost of goods sold	
	Direct labor (15,000)	
	Direct material costs (10,000)	
	Overhead (5,000)	
	Delivery costs (5,000)	
	(35,000)	
	Gross Margin	60,000
(-)	Selling, general and admin. (20,000)	
(-)	Depreciation (5,000)	
	(25,000)	
	Operating Profits	35,000
(-)	Interest expense (3,000)	
	Profit before Taxes	32,000

+ An Aristotelian Framework

Aristotle's book *The Rhetoric and the Poetics of Aristotle* was really the first case question interview prep book. His book is about persuasion and, after all, that's what we're trying to do — persuade the interviewer that we have what it takes. Aristotle lays out a tripod (a framework) and argues that persuasion relies on the relationship between logos, ethos and pathos. As you probably remember from Philosophy 101, logos is a logical, well-reasoned argument based on facts and figures, charts and graphs. Ethos deals with the speaker's (that's you) personal voice and character. How likable and believable are you? In other words, fit. How would I feel if we were snowed in for nine hours at the Macedonian Chariot Station? Would you be an interesting companion? Finally there is pathos, your audience's frame of mind. This is often tough to determine or control, but it can be massaged by incorporating logos and ethos into your answer. The point is that you need the tripod: the combination of logos, ethos and pathos to do well in a case interview. Too much logic and not enough personality results in a tipped tripod. As you prepare for your interviews, remember to concentrate on all three. It is as much about the presentation as it is about the logic.

+ Ways to Cut Costs

Many case questions will ask you to come up with ways to cut costs, and it has been my experience that students tend to struggle with this request. Below are numerous ways to cut costs in the areas of labor, production and finance. Memorize them and when they ask you, rattle off two or three in each area.

Before you answer, the *McKinsey Quarterly*^{*} reminds us to consider the company's strategic needs and to think about the long-term consequences under a range of various economic scenarios. Do these areas "drive value" and do they help make the company "competitively distinctive"? Don't just cut equally across the board.

► Labor

1. Cross-train workers.
2. Cut overtime.
3. Reduce employer 401(k) or 403(b) match.
4. Raise employee contribution to health-care premium.
5. Institute four 10-hour days instead of five eight-hour days.
6. Convert workers into owners (if they have a stake in the company they will work longer, and harder and constantly think of ways to cut costs in a way that they might not have done before).
7. Contemplate layoffs.
8. Institute across-the-board pay decreases.

► Production

1. Invest in technology.
2. Consolidate production space to gain scale and create accountability.
3. Create flexible production lines.
4. Reduce inventories (JIT).
5. Outsource.
6. Renegotiate with suppliers.
7. Consolidate suppliers.
8. Import parts.

► Finance

1. Have customers pay sooner.
2. Refinance your debt.
3. Sell nonessential assets.
4. Hedge currency rates.
5. Redesign health insurance.

+ “If” Scenarios to Remember

► Sales Scenarios

- If sales are flat and profits are taking a header, you need to examine both revenues and costs. Always start with the revenue side first. Until you identify and understand the revenue streams, you can't make educated decisions on the cost side.
- If sales are flat but market share remains relatively constant, that scenario could indicate that industry sales are flat and that your competitors are experiencing similar problems.
- If your case includes a decline-in-sales problem, analyze these three things:
 - overall declining market demand (e.g., soda sales have dropped as bottled water becomes the drink of choice)
 - the possibility that the current marketplace is mature or your product obsolete (e.g., vinyl records give way to CDs, which give way to digital)
 - loss of market share due to substitutions (e.g., video rentals have declined because there are numerous substitutions vying for the leisure dollar, such as dining out, movie attendance, pay-per-view, Direct TV and the Internet)
- If sales and market share are increasing but profits are declining, then you need to investigate whether prices are dropping and/or costs are climbing. However, if costs aren't the issue, then investigate product mix and check to see if the margins have changed.

► Profit Scenarios

- If profits are declining because of a drop in revenues, concentrate on marketing and distribution issues.
- If profits are declining because of rising expenses, concentrate on operational and financial issues — i.e., COGS (cost of goods sold), labor, rent and marketing costs.
- If profits are declining, yet revenues have gone up, review:
 - changes in costs
 - any additional expenses
 - changes in prices
 - the product mix
 - changes in customers' needs

► Product Scenarios

- If a product is in its emerging growth stage, concentrate on R&D, competition and pricing.
- If a product is in its growth stage, emphasize marketing and competition.
- If a product is in its mature stage, focus on manufacturing, costs and competition.
- If a product is in its declining stage, define niche market, analyze the competition's play or think exit strategy.

► Pricing Scenarios

If you lower prices and volume rises, and then you are pushed beyond full capacity, your costs will shoot up as your employees work overtime, and consequently your profits will suffer.

Prices are stable only when three conditions are met:*

- The growth rate for all competitors is approximately the same.
- The prices are paralleling costs.
- The prices of all competitors are roughly of equal value.

The volume (the amount that you produce) and the costs are easier to change than the industry price levels, unless all parties change their prices together (e.g., airline tickets or gas prices).

The perfect strategy for the high-cost producer is one that convinces competitors that market shares cannot be shifted, except over long periods of time. Therefore, the highest practical industry prices are to everyone's advantage** — meaning that price wars are detrimental and everyone will profit more by keeping prices high.

► General tips

- How the Internet affects the company should be in the back of your mind in every case.
- How the economy affects the company should be in the back of your mind in every case.
- How the competition — both internal to the industry and external (substitutions) — affects the company should be in the back of your mind in every case.

+ Business Case Tips

- If you ever get a case that you have already heard, as tempting as it might be to answer it, your best strategy is to tell the interviewer. Interviewers usually know when someone has heard a case. You tend to do things too quickly and your thought process is different. It is hard to reenact discovery.
- Take graph paper into the interview. It helps you organize your thoughts, keeps the numbers lined up when you multiply and add and reminds you to try to graph part of your answer.
- Ask for numbers. If the numbers aren't an important part of the case, the interviewer will more than likely tell you not to focus on them.
- Practice your math, particularly multiplication and percentages. Almost all recruiters **will not** let you take a calculator into the interview. Most students make math mistakes. They are usually off by a zero or two (see p. 27).
- Interact with the interviewer as much as possible. Remember, it should be a conversation. A final word before you tackle the cases.

Peer Advice. Here's advice from some students who had just gone through the process. They all received offers from BCG, McKinsey or both.

"As you go through the math portion of the case, think out loud. Let the interviewer know what is going through your mind. If you are unsure of what to say, pretend the interviewer is on the telephone and you are explaining it to her over the phone."

"For me, one of the unexpected challenges of final round interviews was their sheer length. After five hours of intense interviews, I felt like a slouching, mumbling mess with any spark of creativity long since extinguished, and I was far more likely to make simple mistakes. Before the last couple of interviews on any given day, take a few minutes, and pause to reenergize. Splash water on your face, grab another cup of coffee, take a brisk walk up and down the hallway. Do anything that keeps your brain awake and your personality alive during that final stretch."

"Motivation. Students in non-business disciplines who are looking to land a job in consulting must be able to justify their motivation for the transition. The interview process is expensive and time-consuming for firms, and interviewers are looking for clear, logical answers that will convince them of a candidate's seriousness. Additionally, candidates must be prepared to discuss how consulting fits into their long-term professional goals. Because firms recruiting outside business schools could easily fill their incoming classes entirely with business school students, the burden is greater for non-MBAs."

"Preparation. Preparing for interviews in consulting should not be limited to practicing cases. Interviews also include discussions of experiences in various environments, such as ambiguity and rancor, as well as questions related to leadership and teamwork. The candidate must be prepared not only to discuss these subjects, but also to answer subsequent questions which interviewers will ask to uncover various layers of the topic in addition to the candidate's personality. For preparation, one should practice with a group of friends. This setting, along with the resulting constructive feedback, will help one anticipate the string of questions that will inevitably be asked and improve one's communication skills. Sound preparation will give one the confidence needed during the actual interview — confidence that will create a positive impression with the interviewer. After all, while the interviewer is there to assess whether the candidate is able to structure a problem well, he or she is also judging whether or not the candidate can be put before a client."

"In preparing stories for various settings, candidates must identify and select the most appropriate anecdotes. It is unnecessary for every story to portray the candidate as a hero. A failure through which

one learned about one's weaknesses can be just as effective, if not more. Conversely, an experience through which one strengthened a skill or developed a new skill through perseverance will score well. Fabricating an event, however, will result in certain doom, as interviewers are adept at digging deeper into an issue and determining gaps or untruths. Therefore, a successful candidate must select and prepare honest stories that provide insight into one's personality."

"The Ivy Case System was like a roadmap. As soon as I got a question, I was immediately able to identify what type of question it was and what types of questions to ask to tease further information out of the interviewer. This is the advantage the Ivy Case System gives you. Then, having Porter's Five Forces and the Five Cs is also useful in your toolkit."

With regards to interviewing abroad: "Make sure you know what types of projects the country office is involved in. For example, offices in China are doing many 'market entry' projects. So it is important to understand the varieties and complexities surrounding 'entering a new market' and to practice those types of cases."

"Go through the interview process without second guessing how you're doing. It only handicaps your performance. Prepare and then let the cards fall. Be confident. It's impossible to know what the interviewer is thinking. They may do things intentionally to throw you off. Don't let the little things, like screwing up a math problem, upset you."

Practice, practice, practice!

Practice online interactive cases at:

- www.apd.mckinsey.com: click on "Interview Prep."
- www.bcg.com/careers/careers_splash.jsp: click on "Interview Prep."
- www.bain.com/bainweb/join_bain/join_bain_overview.asp: click on "Case Interview."

* Used with permission of The Boston Consulting Group. Bruce D. Henderson, "The Product Portfolio," *Perspectives on Strategy*, from The Boston Consulting Group, ed. Carl W. Stern and George Stalk, Jr. (New York: John Wiley & Sons, Inc., 1998), pp. 35-37.

* Heywood, Layton and Penttinen. "A better way to cut costs," *McKinsey Quarterly* (2010). No. 1.

* Henderson, Bruce D. "The Product Portfolio," *Perspectives on Strategy from the Boston Consulting Group*, eds. Carl W. Stern and George Stalk, Jr. (New York: John Wiley & Sons, Inc., 1998), 21.

** Ibid., p.27.

6 : Practice Cases

+ Anatomy of a Profit and Loss Case

As with all case questions, we assume facts not in evidence, as well as generous assumptions. Familiar companies are used for examples because of the power of their brand and their familiarity to the general public. Information concerning Harley-Davidson below may not be accurate and should not be used as reliable up-to-date data.

This is a transcript of a profit and loss interview, along with my analysis throughout the case.

+ Harley-Davidson®

Interviewer: Our client is Harley-Davidson Motor Company. Their stock fell from \$54 a share to \$49 a share on news of declining profits. What's going on and how can we turn this around?

Student: Our client is Harley-Davidson. Their stock fell from \$54 to \$49 a share on news of declining profits. We need to figure out what's going on and how to fix it. Are there any other objectives I should be aware of?

Interviewer: Yes, maintaining market share.

Analysis: The student was right to summarize the case; however, she would have made a better impression if she had tried to quantify the case. Instead of saying the stock price dropped from \$54 to \$49 a share, she should have said that the stock dropped about 10%. Remember, so much of this is how you think — what goes through your mind when you hear some numbers.

She was also right to verify the objective and to ask if there were any other objectives she should be concerned with. Without asking, she never would have known that maintaining market share was an issue.

Student: I just want to take a moment to jot down some notes.

Interviewer: That's fine.

The student writes on her paper $E(P=R-C)M$.

Analysis: This is the framework you want to use for a P&L case. Inside the parentheses is the classic "profits equal revenues minus costs." That tells us what's going on inside the company. But you want to look at external factors first. Is this a Harley problem or an industrywide problem? She starts with the E.

Student: I'd like to start with external factors first. Can you tell me what's going on with the economy?

Analysis: The student would have made a much greater impression if she had told the interviewer about the economy. If you are applying for a job in business, you should know what's going on outside the classroom, particularly with the economy. The other reason to tell the interviewer what's happening with the economy is that it gives you more control over the interview. It allows you to frame the economic environment in which this case takes place. So many of these cases take place in a vacuum and you don't know what the economy is like. When you frame it yourself, there are fewer surprises. When you talk about the economy, pick out the main factors that will affect Harley's business. Let's try it again...

Student: I'd like to start with some external factors first. I'd like to start with the economy. I know that the US is in the tail-end of a recession; it is in the middle of a mortgage crisis and unemployment remains high, so people have less disposable income. Gas prices have topped \$4 a gallon. I know that the US dollar has been gaining strength against the euro and pound, but is still fairly weak against Asian currencies, particularly the yen. And I know that interest rates have fallen dramatically and are now close to a 30-year low. (*Note: US economy in 2011*)

Analysis: Much better. Do you need to go into this much detail? Yes. You'll see how everything she brought up will tie into her answer later on. Make sure that you write everything down; it will give you some place to go if you get stuck.

Interviewer: Good. What's next?

Student: I'd like to know about the motorcycle industry. Can you tell me what's been going on?

Analysis: No one expects you to know what is going on in the motorcycle industry. The interviewer has a lot of information that he wants to give the student. Sometimes it takes a series of questions from the student to extract the information. Sometimes it only takes one, and the interviewer does a data dump. It is then up to the student to sort through what's relevant now, what's smoke and what might become relevant later.

In this case the interviewer is going to do a data dump.

Interviewer: I have some industry information. Last year the industry grew by 5%; Harley grew by 2%; the small, less expensive motorcycles and scooters grew by 8%. Female riders were up 12% and now make up 10% of all motorcycle riders, but they only make up 2% of Harley riders.

I have some market share for you, but I want you to assume that each of these companies only makes one model. For Harley it is the big Harley Hog.

Student: Okay.

Interviewer: The market leader is Honda, with 27%; Harley, with 24%; Yamaha, 17%; Suzuki, 10%; Kawasaki, 8%; BMW, 6%. The remaining 9% is made up of two scooter companies, Vespa and Scooter Do. What else do you want to know about the industry?

Student: It looks as though Harley is not growing as fast as the industry overall. That might be because it has few female riders. The trend seems to be headed towards smaller, lighter, more gas efficient bikes. If Harley—

Interviewer: I know where you are headed. We'll talk about strategies in a minute. Do you have any industry questions?

Student: No.

Interviewer: Do think that this is a Harley problem or an industry problem?

Student: At this point I think it is a Harley problem.

Analysis: Whenever they give you a number like the fact that the industry grew by 5%, don't be happy with it. It doesn't tell you nearly enough. You always want to ask for trends. If the industry grew by 10% the year before, and 5% this year, then the 5% looks very different to me than if the industry went from 2% to 5%. Very few students ever ask for trends. Ask for them and you'll stand out from your peers. Again, they are trying to learn how you think, and if you don't ask for trends, you're not thinking like a consultant.

Interviewer: What's next?

Student: I'd like to look inside the parentheses to see what's going on inside the company. I'd like to start with the revenues first. What are the major revenue streams and how have they changed over time?

Interviewer: Okay. I'm going to give the four major revenue streams for Y1 and Y2. The four major revenue streams are domestic motorcycles sales, international motorcycle sales, replacement parts and garb.

Student: "Garb" being merchandise?

Analysis: If you ever get a phrase, industry jargon or a string of initials that you don't understand, ask for clarification. You don't lose any points for clarification questions up front.

Interviewer: Yes, garb is merchandise. For Year 1, domestic motorcycles made up 45%, international 40%, replacement parts 10% and garb, 5%. For Year 2, domestic motorcycles made up 35%, international 40%, replacement parts 15% and garb, 10%. I'd like you to look at those numbers and how they changed over the last year, and in four sentences or less tell me what's going on with Harley customers.

While the interviewer was stating those numbers the student was making a chart. The student wrote down the following chart.

Revenue Streams	Y1	Y2
Domestic	45%	35%
International	40%	40%
Replacement parts	10%	15%
Garb	5%	10%

Student: It looks as if Harley customers are buying fewer new bikes, fixing up their old bikes and buying some garb to make themselves feel good and look bad.

Interviewer: (smiles)

Analysis: She did a great job. She kept it to one sentence and added a little humor to the interview as well.

Interviewer: Okay, good. Let's talk about costs.

Student: Before we do, can I ask about volume? Do we have any numbers on volume of bikes sold?

Interviewer: I do. In Year 1 Harley sold 350,000 bikes and in Year 2 they sold 330,000 bikes.

Students: Thanks.

Analysis: Good move on the student's part. Volume is part of revenue so asking for that number was appropriate and she scored some points.

Student: What are the major costs, both fixed and variable, and how have they changed over time?

Interviewer: The only cost you need to worry about is the cost of steel. We are in the middle of a steel contract that expires in 24 months. We currently have a good deal, but we are concerned about getting slammed with high steel costs in 24 months as the economy improves. I just want you to keep that in the back of your mind.

What I'd like you to do now is to come up with some short-term strategies that will help turn Harley around. By 'short term,' I mean 18 months or less.

Student: Okay. The first thing they should do is market to women.

Interviewer: What would they market?

Student: They could design a new bike...

Interviewer: It is going to take more than 18 months to design, manufacture and distribute a new bike.

Leave that for the long-term.

Student: They could market the Hog to women.

Interviewer: They'd have to be pretty big women. The Hog is a hard bike to handle. That's why only 2% of Harley owners are women.

Student: Then they could market the garb. Women like to look—

Interviewer: What else?

Student: They could raise the price of garb and the price of replacement parts. We know that people are going to continue to buy those items.

Interviewer: What else?

Student: I'm not sure. They could lay people off?

Interviewer: Are you asking me or telling me?

Analysis: Whenever you are answering a P&L case and they ask you for strategies, you want to do two things: (1) write revenue-based strategies and cost-based strategies on your paper, and (2) ask for a moment to jot down some ideas.

By writing revenue-based strategies on your paper, you are showing the interviewer that you are well-organized and thinking two steps ahead. It is easier to think of some ideas if you are looking at a heading on a piece of paper instead of a blank page. It also keeps you from pingponging back and forth between revenue-based and cost-based ideas. You want to present all the revenue-based ideas first, then the cost-based ideas.

The reason to ask for a moment to jot down some ideas is that it allows you to think of ideas in any order, but present them in the right order. It also gives you some place to go. Keep in mind that the interviewer has probably given this case ten times. He knows every answer that you can think of and he's heard them all before. There is a good chance that he will cut you off as soon as he knows where your answer is headed. It is very difficult for people to drop their secondary thought and then come up with a new thought right away. When cut off in mid-thought, people tend to panic, scramble and then shut down. They can't think of another idea to save their lives.

If you take the time to jot down some ideas and he cuts you off, then you can just look at your notes and give him another idea. It takes a lot of stress out of the process and makes you look more professional.

Also, if you hit a wall and can't think of anything, try looking at your first page of notes. Remember, the student told us a couple of great things about the economy: interest rates are way down and the dollar is still down against the yen.

Let's take it from the top.

Interviewer: Come up with some short-term strategies.

Student: Can I take a moment to jot down some ideas?

Interviewer: Absolutely.

The student writes revenue-based and cost-based strategies on her paper, then jots down some ideas.

Student: Okay. I'd like to break them down by revenue-based and cost-based. I'll start with revenue-

based. Harley can raise the prices of their garb and replacement parts because we know people will buy them anyway. We can increase international distribution channels.

Interviewer: Where?

Student: In Asia, where the dollar is still weak.

Interviewer: Okay, what else?

Student: Because interest rates are so low, we can offer low financing packages and give high trade-in values to encourage customers to buy a new bike.

Interviewer: What else?

Student: On the cost side, because interest rates are so low, we can refinance our corporate debt.

Interviewer: Okay, good.

Student: And we can look at laying people off. You said the volume dropped from 350,000 bikes to 330,000. That's a about a 5% drop.

Interviewer: We are thinking about changing the price. I have some data. I want you to run the numbers and then tell me what you want to do, and more importantly why you want to do it.

If we leave the price the same, Harley will sell 330,000 motorcycles and make a net profit of \$10,000 each. If we discount the price, Harley will sell 440,000 motorcycles and net \$7,000 each. And if they raise the price, they will sell only 275,000 motorcycles and net \$12,000 each.

Analysis: The student should take some time to run the numbers. You are better off taking a little extra time and getting the right answer than rushing through and getting the wrong answer. Before you give your answer, ask yourself if the number makes sense. If it doesn't, go back and figure it out. You can't unring the bell. I'd hate to see you lose a great opportunity over a silly math mistake.

Remember, silence is okay as long as you are doing calculations, writing notes or drawing a chart.

Student: If we keep the price the same, then our net profit will be \$3.3 billion. If we lower the price, our net profits will be \$3.08 billion, and if we raise the price, our net profit will also be \$3.3 billion.

Interviewer: So if we raise the price or leave it alone, we'll make the same net profit. What do you want to do, and why?

Student: I'd like to keep the price the same. You said market share was a key objective, and if we raise the price, we are going to sell 55,000 fewer bikes. That's about a 5% drop, which will probably lower our market share. If we sell more bikes, we'll sell more garb and evidentially more replacement parts. And even if we cut production, we will still probably have a lot of Year 2 inventory left over. What do we do with it when the Year 3 models come out? If we sell it at a discount, we'll probably cannibalize our Year 3 sales.

Interviewer: That's all very interesting, but let me tell you why you're wrong. If we raise the price, we'll have lower labor costs because we'll be able to lay more people off. In addition, the higher price will enhance the brand. As far as your other concerns go, you told me that you plan to increase international distribution channels where the dollar is still weak. If we do that, any extra inventory can be shipped overseas and sold at the new higher price. Garb sales tend to be higher when you enter a new territory. So market share shouldn't be an issue. Besides, how do you measure market share? Is it number of units sold or total revenues?

Analysis: Ouch. The interviewer got right in her face even though she gave a well thought out answer.

Luckily she knows that this “let me tell you why you’re wrong” business is just a test. She keeps her emotions in check and does what the interviewer wants her to do, stick with and defend her answer.

Student: You make an interesting argument; however, I don’t find it compelling enough. I can’t believe that you can do all that within an 18-month period. Therefore, I think the best option in these economic conditions would be to keep the price the same.

Interviewer: Okay, good. Give me two long-term, revenue-based ideas and two long-term, cost-based ideas.

Student: Can I take a moment to jot some ideas down?

Interviewer: Certainly.

Student: Okay. On the revenue-based side, the first thing I’d do is come up with a new bike that is geared not only towards women but to younger men as well. This will give us something to market to women besides garb. I’d also look to see if we can acquire a scooter company. We couldn’t put the Harley name on it, but we can take advantage of the fastest growing segments of the market, women and scooters. Besides, there will be a number of synergies we would be able to take advantage of. On the cost side, we were concerned about the price of steel. We can buy some steel futures to hedge against a steel increase. We could stockpile some steel at the current price, and because we are developing a new bike, we can make more parts out of composites instead of steel. We could modernize the plant with new technologies and maybe have some parts made overseas.

Interviewer: Good. Why don’t you take a moment and summarize the case for me.

Student: Our client is Harley-Davidson. Their stock dropped around 10% on news of declining profits. We looked at external factors first and determined that it was more of a Harley problem than an industry problem. They are out of step with the two fast growing segments of the industry, women and scooters. So we came up with some short-term and long-term strategies both on the revenue and cost side. An example of a short-term, revenue-based strategy is offering low financing to customers. On the cost side, we could refinance our debt. In the long-term we would produce a new bike geared towards women and younger men and acquire a scooter maker. On the cost side, we could hedge steel prices and have certain new parts made out of composite instead of steel. If Harley follows these strategies as well as some of the others we talked about, they should be on their way to higher profits in 24 to 36 months.

Analysis: She came on very strong at the end. The turning point was when she defended her decision to keep the price the same. That gave her additional confidence, and it showed through the rest of the interview.

+ Case Starts

Many people struggle with getting started: thinking about the key issues, asking the right questions and crafting their structure. This section was designed to help you with your case starts.

Some cases are very vague and broad: “Here’s my problem. What do I do?” With cases like these (more common to BCG and Bain & Company) you need to take great care in drawing your structure. Also, with BCG your structure should be “hypothesis driven.” A hypothesis is the assumed answer. “Hypothesis driven” means you need to consider the case from the answer.

Other cases are: “Here’s my problem. I want you to determine market size, price, breakeven and profits.” These are less structured cases because the interviewer has given you a laundry list of information to determine (more common to McKinsey). Keep in mind that you don’t necessarily have to answer the questions in the order in which they are given. One mistake candidates often make is to quickly jump into calculating the market-size. Determining the market-size first is probably the right thing to do 80 percent of the time; however, you need to make sure that you have enough information to figure it out. If it is a new product, make sure you know the price. If you don’t know the price you can’t accurately determine market size. You’ll probably also want to know about product differentiations as well. When the interviewer gives you a list of issues, oftentimes you can take the opportunity to quickly draw up a final slide. It will act as your structure, a scorecard for the interviewer to follow, and your summary. You’ll see an example in the pages that follow. Also, read more about final slides on [page 29](#).

Keep in mind that some frameworks are as simple as short-term and long-term; and internal and external. Take a step back and look at the big picture. Don’t try to force it and don’t use the same structure all the time. I’ve seen many students use $P = R - C$ as their structure for every case. To me that is the same as using one of the cookie-cutter frameworks like the 5Cs or 4Ps. They have, in fact, turned the profit formula into a check list. By doing so, they’ll lose points for lack of creativity, imagination, and intellectual curiosity.

With all cases you should summarize the case, verify the objective, ask clarifying questions and then lay out your structure. (See the “The First Four Steps” section in the Ivy Case System chapter on [page 32](#).) There is one exception, the profit and loss case. With a P&L case you lay out your structure before you ask the questions. The structure for a P&L case is $E(P=R-C)M$. This is the only structure that is set in stone; all others should be handcrafted (see “Improving the Bottom Line: Profits” in the Ivy Case System chapter [page 43](#)).

To get the most out of this chapter, read the case out loud pretending it is a real interview. Make an audio recording of yourself as you work through the first few steps, summarize the case, verify the objectives and **ask key questions**. Write or draw out your notes as you would in a real interview and then compare your notes to those found on the following pages. It’s okay if they don’t match up. Remember, there are no right answers; the interviewer is looking to see how you think, how you structure your thoughts and how you communicate. Play the case start back and listen to the speed, tone and confidence level of your voice. At first you’re not going to be happy, probably downright embarrassed, but the more you practice the stronger you become.

+ Case Starts

Cases

CS1: Palm Tree Plantation Exports grows, sells and leases twenty different varieties of palm trees and other tropical plants throughout the United States. They posted a net income of \$95m, down from \$105m last year. Yet their market share grew by 7%. What's going on and how can we turn it around?

CS2: A Hong Kong company is acquiring a US video game maker. What considerations should be made?

CS3: You have been brought in as the CEO of Hootie, Inc. The company started making surfboards in the 1960s. Hootie was the market leader with a 75% market share well into the 1980s. However, competition increased as the sport became more popular, and Hootie missed the trend toward smaller boards. Last year, Hootie had a 10% market share. How can we grow the company, regain market share and return the brand to its former glory?

CS4: XCV has developed a software program that will allow the consumer to find all references to its operation on the internet and either erase or edit its content. They want us to determine the domestic market size, breakeven, price and first year's profits.

CS5: Flintstone, Potter and Coke is a mid-sized ad agency. It was established as a regional player but soon picked up some national accounts, including FedEx, Kellogg's and Johnny Walker Scotch. However, last year it lost two of its national accounts and hasn't been able to replace them. The CEO wants to buy a running shoe company that was big during the 1950s - 1980s until it was pushed out of the spotlight by Nike and Reebok. Is this a good idea? At first blush, what are the pros and cons of this idea? (I want you to list the pros and cons before you draw your structure.)

CS6: Our client is a global automaker headquartered in Detroit. Its motor parts division, with 20% industry market share, carries almost 500,000 parts, options and accessories for vehicle customization. The client has not been profitable for several years and the CEO suspects that the company's high degree of vertical integration is hurting them. The client makes about 80% of its own parts, compared to 40% at its primary competitors. The CEO has asked for our help. How would you approach this issue?

CS7: A large Japanese electronics company wants to enter the high-end headphones market. Is this a good idea?

CS8: The CEO of a large Italian electronics firm has come out with a new computer tablet, which is much like the iPad. How should they price their product?

CS1 Palm Tree Plantation Exports Notes

Summarize the case. Whenever you get a question with numbers and the numbers are related, as in this case (net income fell from \$105m to \$95m), you should quantify the numbers. So instead of saying that net income fell from \$105m to \$95m, or that it fell \$10m, you should say the net income fell about 10%.

Verify the objective. Determine what's going on and how you can turn it around. There are no other objectives we need to be concerned with.

Lay out your structure. Because this is a P&L case, you should use $E(P=R-C)M$. Look at external factors first because we want to find out if this is a company problem or an industry problem. Economic factors in this case should include unemployment, mortgage crisis, housing starts, state and city budgets, interest rates, and water and gas prices. All those things are important not only to the company, but to the industry as a whole.

Ask industry questions. Interviewers have a lot of information they want to give you but you need to ask for it. Did you ask about industry growth trends? Competition? Changing landscape? Environmental factors like drought and disease? Who are the main customers and what is their industry like (states' and cities' budgets are down, housing starts are down, and shopping mall and office building development is also down)?

Ask company questions. Once you have a feel for the industry, go inside the parentheses to get a feel for the company. Always start with the revenues. Ask, what are the major revenue streams and how have they changed over time? What are the major costs, both fixed and variable and how have they changed over time?

CS2 Hong Kong Video Games Notes

Summarize the case and verify the objective. This is a pretty short case, so instead of repeating the question, just state, "Besides determining the key factors to this acquisition, are there any other objectives I should be concerned with?" Assume no other objectives.

Lay out your structure. This is a merger and acquisitions case. Break it down into four main buckets: company objective, acquisition costs, due diligence and risks and exit strategies.

Company objective. First ask about the Hong Kong company. Who are they and what do they do? Are they private equity or a competitor in this market? Why do they want to buy this company? Access to the US market? Patented technology? Increased market share? Cost saving synergies?

Due diligence and risks. Things you should have considered are the shape of the economy and the industry. Is the acquisition target a market leader, and how secure are their customers, access to raw materials and distribution channels? You should have touched on the meshing of the two company cultures, margins, company and industry growth trends and competitive response.

Acquisition costs. Asking price; is it fair and can we afford it under various economic scenarios?

Exit strategy. Hold it, break it up and sell it off?

CS3 Hootie Surfboard Notes

Summarize the case and verify the objective. Repeat the question to make sure everyone is on the same page and then verify the objective. In this case the objective is to grow the company, regain market share and rebuild the brand in the eyes of the consumers. No other objectives.

Ask industry questions. Is the industry growing and what have been the industry growth trends over the last five years? (Always ask for trends!) How are we growing compared to the industry? What is our reputation in the industry? Are our prices in line with our competitors'? How do our products compare to our competitors'? And do we have the funding to support our growth plans?

Lay out your structure. We know that this is a growth case. I'd lay out three buckets: (1) product line: evaluate existing products, develop new products, diversify product line and investigate acquisitions; (2) maintain and increase distribution channels; and (3) rebuild the brand and announce new products through a strong marketing campaign.

CS4 XCV Technology

Summarize the case and verify the objective. Repeat the question to make sure everyone is on the same page and then verify the objective. In this case the objective is to find those four things. There are no other objectives in this case, but be sure to ask because you never know.

Ask industry questions. Is there anything like this out there? If not, what are the substitutions? What are the fixed and variable costs? Does XCV have a patent? Are other companies close to developing a similar product?

Lay out your structure. The interviewer has given you a list of things to determine. This is a perfect opportunity to use a Final Slide. Remember, you don't have to answer questions in the order in which they were given. Because this is a new product, you'll want to determine the price before estimating the market size. Draw the chart below. This can be used as your structure, a scorecard for the interviewer (it will be easy for the interviewers to follow as you fill in the chart after you figure each one out), as well as your summary.

Price	
Market size	
Breakeven	
Est. profits	

CS5 Flintstone, Potter and Coke

Summarize the case and verify the objective. Summarize the question and verify the objective, which is to determine if this is a good idea. The interviewer also asked for a pros and cons list.

In a question like this, the interviewer would probably want you to list out the pros and cons first, before getting into a deeper discussion. He will usually tell you if he wants the list first.

Pros and cons list. The first thing you want to do is to draw a line down the middle of your paper and label one side “pros” and the other “cons.” Then ask for a minute to jot down your thoughts. (You do this for several reasons.) Write them down however they pop into your head, but you’ll want to present the pros first and then the cons. Also, if you try to do this off the top of your head, there is a good chance that the interviewer will cut you off in mid-sentence because he knows where you are headed. It is very difficult to come up with another answer when you are cut off in the middle of your original thought. By writing them down first, it will save you a lot of stress and make you look more professional.

PROS	CONS
Diversifies portfolio	They know nothing of operations
National showcase	Draws resources away
Could bring in new retail clients	Expensive
Possible cost synergies	What if they fail
Shows innovative thinking	Company cultures are different
Possible tax advantages	May compete against existing client
Turn it into a reality TV show	

Ask questions. Once the pros and cons are out of the way, you have the opportunity to ask some questions. The big questions are: Why do they want to do this? Can they afford it? Do they have any experience running a shoe company? What have been the trends in the running shoe industry? Who are the major players and how do their products differ from ours? Is there a better way to enter this market?

CS6 Global Motor Cars

Summarize the case and verify the objective. The objective in this case is to determine how to make the company profitable by reducing costs. While you might think that this is a P&L case, I'd approach it a little differently.

Ask industry and company questions. How is the industry doing? Has our market share been falling or are we unprofitable because our costs are too high? Do we make parts for other automakers? Do other companies make parts that we can use in our cars?

Lay out your structure. This is a cost reduction case. I'd lay it out in four main buckets: costs, strategic value, alternatives and exit strategy.

Costs. I'd look at both external costs such as interest rates, fuel costs, transportation, etc., and internal costs such as union wages, suppliers, and raw material costs. Ask for a breakdown of costs. Have the costs changed over time? Does any cost seem out of line? How do our costs match up to our competitors' costs? Are there any new technologies that could reduce those costs?

Strategic value. What is the true strategic value of making our own parts? It might have been cost savings initially, but that might have changed. Is there a patented technology that only our cars have?

Alternatives. This could mean reducing the number of individual parts per car, by having models use as many common parts as possible. This is tricky; some believe this is what got GM in trouble because all their cars seemed the same. Would it be cheaper to buy our parts from another vendor?

Exit strategy. Do we sell to a private equity firm, to management? Do we spin the parts division off from the automaker and make it its own company? What could we get for it and what would we do with the money?

CS7 High-end Headphones

Summarize the case and verify the objective. You may also want to ask why they want to enter this market. Strictly profits? Diversification of products? New technology?

Ask industry and company questions. This is an entering a new market case. There are a number of questions that you should automatically ask. Who are the major players in this market and what are their respective market shares? How do their products differ from what our client is going to offer? And are there any barriers to entry?

Lay out your structure. There are three ways to enter a market. Start your own business and grow organically. Buy your way in. Or do a joint venture with a major player. Lay out the advantages and disadvantages of each one.

CS8 Italian Computer Tablet

Summarize the case and verify the objective. Ask if there are any other objectives - such as why does the CEO want to enter this market?

Ask industry and company questions. What are the industry trends? Is it being flooded with new entrants? How have they done? Does one company dominate the market? (Think iPad.) In which part of the pricing range has the most growth occurred? What is the competitive advantage *of our client's product*?

Lay out your structure. Traditionally there are four ways to price a product: competitive analysis, cost-based pricing, price-based costing and company objective. You need to look at all four before you make a decision. (See Pricing Strategies on [page 38](#).) Also, if you didn't ask why the CEO wants to enter this market, you need to now. CEO motivation, be it profits (usually pricing the product high) or market share (usually pricing the product low) will give you great guidance in your decision.

+ Case Practice

While nothing beats live practice, the next best thing is reading as many cases as possible. It builds up an archive in the back of your mind and allows you to draw from one case to help you answer another. The best way to utilize this section is to read the case, then write out your structure. Your answer and my answer will probably not match up. There is no way for you to predict the added variables and twists and turns in the case. So once you draw your structure, sit back and read the cases, making notes of anything you might not have thought about in your journal. Then reread it. You'll pick up more the second time through.

+ Case Index

▶ Level 1

1. **Mexican Bank**-----Market segmenting, marketing, profit and loss [p. 74](#)
2. **Yellow Stuff Chemical Company**-----Entering a new market [p. 77](#)
3. **Eastern Training Network**-----Competitive response [p. 79](#)
4. **Coke®**-----Strategy based on numbers [p. 82](#)
5. **Longest-Lasting Light Bulb**-----Pricing [p. 84](#)
6. **Getting into Diapers**-----Market-sizing and pricing [p. 86](#)
7. **New York Opera**-----Growth Strategies [p. 88](#)

▶ Level 2

8. **The Discount Brokerage Race**-----Numbers [p. 91](#)
9. **Cow Brothers Premium Ice Cream**-----Increase sales and growth [p. 93](#)
10. **Hair-raising**-----Market-sizing and pricing [p. 96](#)
11. **Wireless Worries**-----Reducing costs [p. 100](#)
12. **College Mail**-----Strategy and marketing [p. 103](#)
13. **PepsiCo**-----Numbers and company analysis [p. 106](#)
14. **Batter Up!**-----Numbers [p. 108](#)

▶ Level 3

15. **Blade to Blade**-----M & A [p. 112](#)
16. **World Spacelines**-----Strategy, entering a new market and market-sizing [p. 117](#)
17. **Snow Job**-----Numbers and strategy [p. 121](#)
18. **Jamaican Battery Enterprise**-----Strategy and entering a new market [p. 124](#)
19. **North American Airlines**-----New product and increasing sales [p. 129](#)
20. **Texas Star Markets**-----Entering a new market [p. 134](#)
21. **Red Rocket Sports**-----Company analysis [p. 139](#)
22. **The Up-in-Smoke Cigarette Company**-----Costs, in-sourcing v. outsourcing [p. 142](#)
23. **Cabana Feet**-----Production and strategy [p. 145](#)
24. **Full Speed Ahead**-----Increasing sales [p. 150](#)
25. **Playing It Smart**-----Entering a new market and value chain [p. 154](#)

+ Mexican Bank

► Case 1: Our client is a major commercial bank in Mexico. Despite the fact that the bank has experienced increased revenue growth, for the past two years its profits have declined and even become negative. You have a meeting with the CEO of the bank in a week and you have to come up with answers to two questions: What is the main cause of this decline in profits, and what can we do to restore the bank's profitability?

Besides finding out why our client is experiencing declining profits and determining a strategy to get itself out of trouble, are there any other objectives I should be concerned about?

– No.

I would like to approach this case in two parts. First, I will try to diagnose the cause of the decline in profits, despite the growth in revenues. Then, based on the findings in the first part, I will try to come up with solutions to our problems and put the bank on a path to profitability.

Let's start with the first issue: the diagnosis of the problem. Here, I would like to look at three main aspects: the overall banking industry in Mexico, our bank's revenues and finally, the costs.

– Sounds like a good plan. What would you like to know?

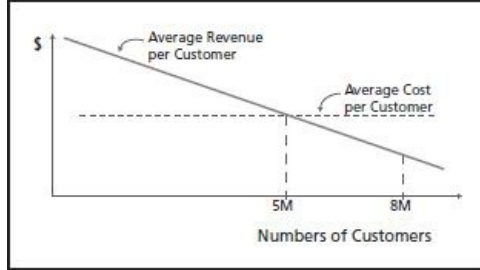
The student writes down $E(P=R-C)M$? (see [page 43](#)).

First, I would like to look at the banking industry in Mexico. Is this an industrywide problem or does it primarily affect our client? Also, can you tell me more about our client's competitive positioning within this industry?

– It's actually just our client that's experiencing the severe decline in profits. While the other banks have also experienced declines, they have been more moderate. Our client is a major player in the industry, owning 20% of the market share. There are three other major national competitors with similar market shares and many smaller, regional competitors. Anything else?

It looks like it is mainly an internal problem rather than an industrywide problem. Before analyzing the bank's costs, both fixed and variable, I'd first like to look at the bank's revenues in more detail. I'm assuming that banks make their money from interest income and from fees. Also, on the cost side, I would like to analyze both the fixed costs and the variable costs.

– That's right. The bank makes money in two main ways: interest income and fee income. Our client has about 70% of its revenues coming from interest and the remaining 30% coming from fees. However, I would like you to look at the following graph and analyze it for me. Our client currently has 8 million customers.



That's a very interesting graph. If our client has 8 million customers, the average cost per customer is higher than the average revenue per customer, thus resulting in a loss. Let's take them one by one.

Our client is experiencing declining average revenues per customer. There are several hypotheses why this might be happening. As the bank was growing, it was acquiring new customers that are not as profitable as the initial customers. For example, instead of signing up more doctors, lawyers or consultants, it is now signing up students or blue collar workers that don't produce as much revenue, thus resulting in the observed decline in average revenues per customer.

On the cost side, the average cost per customer is staying constant, instead of declining. We can see that there are little or no economies of scale. Potential reasons behind this would imply that as the bank was adding new customers, the costs were also increasing proportionally.

- That's great - and accurate. Due to the incentive structure, which rewarded new customer acquisition, branch managers have added customers that were not as profitable as the initial ones. In addition, the bank has aggressively expanded its branch structure and has increased the number of tellers to accommodate the increased number of customers. What should the bank do?

Well, now that we have diagnosed the main reason for the decline in profits as a combination of newer, less profitable customers and the proportional increase in costs, we can propose a solution. A simple but not ideal solution would be to eliminate the additional, less profitable customers while simultaneously reducing the number of branches and tellers to bring us to the initial profitability.

A second, better solution would include two concurrent approaches. First, we should try to increase average revenues per customer, and second, we should decrease average costs per customer. In increasing the revenues, we would come up with new products that would result in increased interest income. We can also increase the fees we charge our customers. In decreasing costs, we could attempt to close off our least profitable branches and reduce our teller personnel.

My proposed solution, however, will produce even better results. I propose segmenting our current customers into several customer tiers and adjusting the service level, and implicitly, the costs according to the customer tier. For example, high net worth individuals would have unrestricted access to personal bankers and new services would be tailored to their specific needs.

At the other end of the spectrum, our client should educate the students about the benefits of

using cheaper delivery systems like ATMs or online services. They would still have access to the tellers; however, we would limit their free access to two free teller visits per month. After those visits, we could start charging 30 pesos per visit or around \$3US. In effect, we would adjust our service delivery model based on the customer's value to the bank. This would achieve both our goals of increasing revenues, by better addressing the needs of each customer segment, and reducing costs by redirecting the lower value customers to the cheaper servicing channels.

– Okay, good.

► **Type of case:** Profit and loss, marketing, customer segmentation

► **Comments:** What started out as a profit and loss case quickly changed into a marketing / customer segmentation case. The student did a good job analyzing the chart and came up with a number of good possible solutions for the client.

+ Yellow Stuff Chemical Company

► **Case 2:** Our client is a manufacturer that makes industrial cleaning solvents and pesticides. Recently, sales have been declining, mostly due to new EPA guidelines. The company has been “dumping” its old products overseas into countries that have less stringent environmental laws as well as re-engineering its products to fit the new EPA guidelines. Further evaluation of sales, both past and future, indicates that the chemical industry has, and will, continue to grow slowly over the next five to seven years, with 3% annual growth.

Management has decided to diversify. While Yellow Stuff wants to keep its chemical business intact, it also wants to enter an industry that has long-term, high-growth potential. Yellow Stuff has hired us to help determine what industry or industries it should enter.

While I don't want you to come up with a list of industries, I do want you to tell me what sort of things you should be researching to determine what industry our client should diversify into.

So, as I understand it, our client is a chemical manufacturer who wants to diversify outside the chemical industry into a high-growth industry.

– That's right.

And you want me to come up with a strategy on how to find the best possible match.

– Yes.

Besides diversification and profit, are there any other objectives that I should know about?

– No.

What does the company define as high growth?

– 10% a year.

Well, the first thing I'd do is obtain a list of all the industries and eliminate the ones that are growing less than 15% or have a potential in the next year of growing less than 15%. How much risk is Yellow Stuff willing to take?

– Medium.

Then, I'd also eliminate any high-risk or volatile industries. Next, I'd study the list to see if there are any synergies that we can share.

– Such as?

One example might be to look to see if there is a sister industry where our customer list is the

same. If we sell cleaning solvents to Pepsi and then we get into manufacturing aluminum, maybe we can sell Pepsi soda cans. We also have a history of marketing and selling business-to-business, so we might want to stay away from consumer products. We could look at other commonalities, such as distribution channels and sales force.

Once we narrow the list, we need to analyze the market to find out who the major players are and what, if any, the barriers to entering the market are.

– Okay, what else?

There are three ways to enter a new market: Start from scratch, acquire an existing player, or do a joint venture. Depending on the industry and the barriers...

– What sort of barriers are you talking about?

Could be government regulations. If you try to start a business and your products have to get approved by the FDA or the EPA, then that could take years. In a case like that, you might want to acquire an existing player. A barrier might be a stranglehold on the market — if, for example, two companies hold an extraordinarily large market share and have a habit of destroying new entries. If raw materials or supplies proved hard to come by, that would be another barrier.

– Okay.

Did I mention substitutions as a barrier?

– What's next?

I'd look very carefully at the future of the industry. It currently may be growing over 10%, but is that going to last and for how long? Is the market growing or shrinking? Is the number of players growing or shrinking? Have there been many mergers or acquisitions lately? And I'd take some time to think about exit strategies as well.

– Summarize for me.

I'd identify all the relevant industries, analyze their markets and determine the best way to enter that market. I'd also conduct an analysis to see if the company might not be better off just investing the money into the stock market. It may make a better return and its investment would be a lot more liquid.

▶ Type of case: Entering a new market

▶ Comments: Ninety percent of this question is irrelevant fluff. It's not about the chemical industry, it's about entering a new market. The candidate took the time to ask for the

company's definition of high growth. From there, it was straight logic. Now, some of you might argue that this was really a growth-strategies question, but the question tells us that the client really wants to diversify, which narrows the growth strategies to one: diversification. The question then becomes one of identifying the new industry.

+ Eastern Training Network

Case 3: Our client is a mid-size training company that serves New England and the Atlantic Seaboard regions. It offers a variety of computer training and consulting services. Eastern just found out that IBM is going to enter in its segment of the market. What does it do?

Eastern Training Network just found out that IBM is entering its segment of the market and wants to know what to do. I'm assuming that the objectives are either to keep IBM out of our market or to maintain as much market share as we can. Is that a fair set of assumptions?

– Yes.

Are there any other objectives that I should be aware of?

– No.

Are there other firms in our area that we currently compete with?

– Yes. Including us, there are three major players that do what we do and maybe three smaller firms that serve one or two clients exclusively.

Do we know what Eastern's market share is?

– Eastern's market share within the region is 24%.

Do we know what our two other competitors are doing to keep IBM out?

– No. Good question, but not relevant.

Since one of my major objectives is to maintain market share, I'd break my strategy down into three prongs. First, I'd try to keep IBM out. Second, I'd try to protect what's mine. And third, I'd go after new customers.



– Explain.

I would try to figure out what I could do to raise the barriers of entry and keep IBM out. Since they have almost unlimited resources and because this is an unregulated industry, I think the chances of that are pretty nil.

Second, I'd try to protect what's mine. It is much cheaper to keep your current customers than it is to go out and get new ones. So I'd do three things. I'd raise switching costs, make it so that it wouldn't make sense to leave us for IBM.

– Give me an example.

Since I don't know the industry that well, I'd like to give another example. AOL makes it hard for customers to leave because they have what are called "sticky" features. Customers have their e-mail address with AOL; they have their address book with AOL; and their customers have access to certain web information and additional benefits. So to switch over to another Internet provider becomes a hassle.

– Point taken. What's next?

I'd protect what's mine. I'd visit with my customers and find out what is important to them. Maybe increase my promotional efforts. Maybe come up with customer loyalty programs. Make them feel wanted and special. Everyone likes to feel appreciated. And second, I would do everything I could to establish long-term contracts to lock customers in. To go along with that, I'd build in incentives or give commissions to our sales staff to re-sign a client.

– Third?

Bring in new customers. I'd increase my marketing efforts, place ads, go to conventions, lobby for state contracts. I'd try to steal sales staff and customers away from my competition. And finally, I would grow through acquisition. You mentioned that there were a number of smaller players that had one or two big accounts. I'd see if they would like to sell their businesses.

– Don't you think that's risky? To lay out capital to buy up small firms when IBM is coming to town? What's to guarantee that the small firm's clients won't jump to IBM?

There are no guarantees. However, being IBM is a double-edged sword. On the one hand, IBM is big, has an incredible amount of resources and the potential to do great things. On the other hand, it is because it is so big that things might very well fall through the cracks. Am I wrong in thinking that the training we offer is similar to what IBM offers? I think the things that will differentiate us are our people and our customer service. We're going to fight and do everything we can to hold on to our customer base while we prospect for new business. Being the biggest isn't always an advantage.

– What if IBM comes in and offers the same services you do, but offers a steep discount for clients to sign up? Do you lower your prices?

No. I wouldn't engage in a price war with IBM. There is no way to win. I believe that Eastern offers great products at competitive prices. If customers like us, they're not going to go to IBM to save a little money. This is not like shopping around for the best deal on a new refrigerator. We're in the services business; it's all about the service. That doesn't mean I wouldn't be flexible in cutting existing customers a favorable deal to sign a long-term contract.

– I think I almost believe you. Summarize for me.

My strategy would be three-pronged. One, keep IBM out by raising the barriers to entry. Two, do whatever it takes to keep our current customers. We talked about raising switching costs, increasing promotional efforts — things like customer loyalty programs and establishing long-term contracts. And, finally, grow through acquisition and a major marketing effort.

– That was good.

► **Type of Case: Competitive response**

► **Comments:** The three-pronged approach served the student well. He was able to lay out his strategy in a clear and logical manner that was simple and easy to follow. The student stood his ground when pushed about a price war. Whether you agree with him or not, he articulated his point and stuck with it.

+ Coke®

► **Case 4: Coca-Cola® is trying to boost profitability domestically by raising its prices. It's focusing on the grocery store market, where the volume is high but the margin is low. What are the economics of raising the prices, and is this a good idea?**

So, Coke plans to increase profitability by raising prices. They want to know if that's a good idea.

– That's right.

I know that raising profitability is their main objective. Are there other objectives that I should be aware of?

– They don't want to lose market share.

Are we just focusing on Coke and not any of its other brands?

– You can think of all Coke products as one product, Coke. **What's Coke's current market share?**

– Not relevant to the question.

How much does it cost to make a can of Coke?

– Not relevant to the question.

How many cans does Coke sell to US grocery stores and at what price?

– Coke sold 100 million cans at 23 cents each to grocery stores last year. If prices remain stable, they expect volume growth of 6%. They want to raise the price to 27 cents per can and they forecast volume growth of only 1%.

Let's see. First I can multiply and then find the difference:

$$\begin{array}{r} 100,000,000 \text{ cans} \times .27 \times 1.01 = \$27,270,000 \\ 100,000,000 \text{ cans} \times .23 \times 1.06 = \$24,380,000 \\ \hline \$ 2,890,000 \end{array}$$

So even though they would be selling 5 million fewer cans of Coke, they'd be making more of a profit, about 3 million dollars more.

– Profitability would be boosted by what percent?

**I can take 27 minus 24 equals 3 divided by 24 equals approximately 12%.
By raising prices and selling less, Coke can boost its sales by approximately 12%.**

– To maintain market share, Coke needs to stir up consumer demand with a major marketing campaign to raise brand awareness and focus on lifestyle issues. Knowing that, if you were Pepsi, what would you do?

Pepsi has three choices. It can follow Coke's lead and raise its prices to match Coke's; it can leave prices the way they are; or it can take advantage of the price change and lower its price.

If Coke spends a fortune marketing its product and does its job and gets people into the stores, Pepsi can snatch sales away at the last minute with a lower price. We are talking grocery stores here. Women do most of the buying in grocery stores and are often price conscious. If they saw two brand-name colas, Pepsi and Coke, and Coke sold for \$2.99 a 12-pack compared to \$2.59 for a 12-pack of Pepsi, then most shoppers would choose the one on sale or the one with the lower price.

Pepsi might even want to lower its price so it could increase its market share.

In sailing, if you are behind, you're not going to catch up with or beat the opponent by sailing the same course. You have to take a different tact. If Pepsi lowers its prices and cuts marketing costs, it can steal customers away from Coke, through in-store promotions and point-of-contact displays.

– So, if you were Pepsi, what would you do?

Let's run some numbers. How many cans does Pepsi sell to grocery stores?

– Pepsi sells 80 million cans at 23 cents a piece.

If Pepsi follows Coke and raises its prices, its volume will drop from 6% to 3%.

If Pepsi keeps its price the same, its volume will increase from 6% to 12%.

If Pepsi lowers its prices to 21 cents, Pepsi's volume will increase from 6% to 20%.

$80,000,000 \times 1.03 = 82,400,000 \times .27 = 22,248,000$

$80,000,000 \times 1.12 = 89,600,000 \times .23 = 20,608,000$

$80,000,000 \times 1.20 = 96,000,000 \times .21 = 20,160,000$

I'd follow Coke's lead.

– Even if you knew that Coke's volume would rise from 1% to 3%?

Yes.

– Interesting. Thanks.

- ▶ **Type of case: Strategy based on numbers**
- ▶ **Comments: It's a straightforward case once you have the numbers.**

+ Longest-lasting Light Bulb

► **Case 5: GE®** (“We bring good things to life”), has invented a new light bulb that never burns out. It could burn for more than 500 years and it would never blink. The director of marketing calls you into her office and asks, “How would you price this?” What do you tell her?

Let me make sure I understand. GE has invented a light bulb that never burns out, and the marketing director wants us to help her decide on a price.

– That’s correct.

Is coming up with a price the only objective? Or is there something else I should be concerned about?

– Pricing is the only objective.

Is there any competition for this product, and do we have a patent?

– We have a patent pending, and there is no other competition.

We know that the advantage is that this bulb never burns out. Are there any disadvantages to this product? Does it use the same amount of electricity?

– There are no disadvantages, except maybe price. And that’s why you’re here. **What did you spend on R&D?**

– It cost \$20 million to develop this product.

What are the costs associated with a conventional light bulb?

– It costs us five cents to manufacture. We sell it to the distributor for a quarter, the distributor sells it to the store for 50 cents and the store sells it to the consumer for 75 cents.

And what does it cost us to manufacture the new light bulb?

– Five dollars.

So, if we use the conventional bulb-pricing model, that would mean the consumer would have to pay \$75 for this light bulb. If we use another simple model and say that a light bulb lasts one year and people will have this new bulb for 50 years, that’s an argument for a retail price of \$37.50 (50 years x \$0.75). Then we need to ask ourselves whether a consumer would pay \$37.50 for a light bulb that never wears out. Now we’re looking at price-based costing. What

are people willing to pay? And is it enough to cover our costs and give us a nice profit?

The other main issue is that the more successful we are, the less successful we'll be in the future. For every eternal light bulb we sell, that's 50 or 75 conventional bulbs we won't sell in the future. In a sense, we're cannibalizing our future markets. So, we have to make sure that there is enough of a margin or profit to cover us way into the future.

– Good point.

I'll tell you, I have reservations about selling to the consumer market. I just don't think the opportunity for pricing is there.

– So, what do we do, scrap the project? We've already spent over \$20 million in R&D.

Not at all. We turn to the industrial market. For example, the City of Cambridge probably has 2,000 street lamps. Those bulbs cost maybe \$20 and have to be changed twice a year. The real expense there isn't the cost of the bulb; it's the labor. It might take two union workers. In addition, you have to send out a truck. It probably costs the city \$150 in labor costs just to change the light bulb. Now, if we were to sell them this ever-lasting bulb for \$400, they would make that money back in less than two years and we would make a handsome profit.

– Not bad.

► Type of case: Pricing

► Comments: First, the candidate looked at cost-based pricing and realized that the price was too high and that the typical consumer would not shell out \$75 for a light bulb. Then he looked at price-based costing and concluded there wasn't enough of a margin built in to make it profitable. Thinking outside the outline given in the pricing case scenario, the student also realized that he would be cannibalizing his future markets. Thus, he decided that neither pricing strategy made sense for the retail market. So, instead of suggesting that GE just cut its losses and walk away from the project, he went looking for alternative markets and concluded that there was great potential in the industrial market.

Because this product has yet to be released, and is without competition, the supply and demand theory doesn't work in this case.

+ Getting into Diapers

Case 6: DuPont® has just invented a lightweight, super-absorbent, biodegradable material that would be perfect for disposable diapers. What should they do with it?

DuPont has developed a new material that would be great for disposable diapers and they want to know how best to take advantage of this product.

– Yes.

One objective is to figure out what to do with this material. Any other objectives?

– Yes, make a handsome profit. But first, I'd like you to figure out the size of the disposable diaper market.

Okay. I'm going to make some assumptions. I'll assume that the population of the US is 320 million and that the life expectancy of an average American is 80 years. I'm also going to assume that there are even numbers of people in each age group. So, that means that there are the exact same number of three-year-olds as 73-year-olds. So you divide 320 million by 80 and get 4 million people per age group. Children wear diapers from age zero to three, so that's 12 million children. I'm going to assume that 80% of the children wear disposable diapers, so that's 9.2 million kids times five diapers a day equaling around 50 million diapers a day. Multiply that by 365 days and you get 18.2 billion diapers times, I don't know, say, \$1 a diaper. So the market is \$18.2 billion a year.

– So, now we know the market size. What's next?

We look at the market and see who the major players are, what kind of market share each has and what the pricing differentials are. I know P&G has a large part of that market and I know that there are a number of generic brands as well. The competition is tough, but I can't think of any barriers that would really stop us.

– So, you think we should get into the diaper business?

Yes, but we need to figure what part of the business. When I asked you if there were any other objectives or goals, you said profit. What you didn't say was to become a major player in the consumer diapers market. That means that there are several ways we could enter. I'd like to list them, then look at the advantages and disadvantages of each.

We could start up our own diaper company, form a joint venture, buy a smaller player and substitute our product for theirs or manufacture the diapers and license them to a number of companies.

First, let's look at starting our own company. We have name recognition, but not in that industry. We would have to set up a manufacturing plant, hire a management team, marketing team and sales force and establish distribution channels. Time-consuming and expensive, but do-able.

Second, we could form a joint venture with an established diaper company. The advantages are that the company already would have everything in place as far as name recognition, management team, sales force and distribution channels. But we might find this limiting. Depending on the deal, we might only be able to manufacture for them.

Third, we could buy a diaper company and substitute our product for theirs. This has merit for all the same reasons the joint venture has. We need to ask ourselves if we really want to manufacture and market diapers or just manufacture them.

The fourth option would be to license our product to a variety of companies. If our technology were superior to the existing product, we could get multiple companies on board and let their marketing experts fight it out.

– Good. So which one would you choose?

With just the information I have so far, I'd venture to say the last option: manufacture and license the rights, become a supplier and do what DuPont does best — manufacture.

We could even go to the different diaper companies and get pre-orders to ensure that the market is there and our pricing is in line.

► **Type of case:** Market-sizing and entering a new market

► **Comments:** At first, some might consider this a developing-a-new-product question, and they could probably make a decent case out of it. But the question really asks, "What should they do with it?" That implies that the product has already been developed and the company is searching for the best way to exploit this new technology; thus, this is an entering-a-new-market case.

What impressed the interviewer here was the fact that he picked up on what the interviewer didn't say and built on that. That's an extraordinary example of great listening — the best skill a consultant can have.

+ New York Opera

Case 7: Our client is the New York City Opera. They want to develop a growth strategy for the next five years. What would you advise them to look at, and what are your recommendations for growth?

The New York City Opera wants us to develop a growth strategy for the next five years.

– That's right.

Besides developing this five-year strategy, are there any other objectives?

– No.

So I don't need to look at increasing sales, reducing costs or increasing profits?

– Those are all key ingredients to growth, are they not?

Yes, I guess they are. I was just trying to determine the direction of the question. I'd like to ask a few questions. Is the industry growing?

– No, down 7% last year.

How are we faring compared to the industry?

– Better, but not by much. Our growth rate last year was 2%.

Who are our competitors and how much market share does each one have?

– Who do you think our competition is?

It's anyone or anything that competes for the leisure dollar. It could be as widespread as a restaurant, a hockey game, events at Lincoln Center, or a trip to the Hamptons. But it is also other opera companies in New York. I'm not sure how many opera companies there are in New York.

– There are about four. The biggest is the Metropolitan Opera. Can you name any operas?

Sure. There's *Tommy* and *Figaro*. Oh, and *The Barber of Seville*.

– Okay. That helps me put your answer in perspective. So what do you do?

The first thing I would do is a competitive analysis. I would look not only at the four other New York opera companies, but those in other major US cities and maybe London and Paris as well.

– What would you analyze?

Everything. Revenues and revenue streams, ticket distribution outlets, fixed costs, marginal costs, production costs, season schedule, ticket prices, the names and types of operas produced, marquee names in each production, marketing campaigns and other uses for the venue.

– That's quite a list. After you did the analysis, what would you do?

I'd take the best practices and see if it makes sense to incorporate any of those practices at the New York City Opera.

– You mentioned revenue streams. What do you think the revenue streams are currently?

Ticket sales, sales of programs, drinks during intermission, and merchandise like CDs, t-shirts — that sort of thing. And I think fund-raising is an important revenue stream as well.

– How would you increase revenues?

Three ways. We can look at increasing ticket prices; we can increase our marketing campaign to get more people to come to the opera; and once they're there, get them to spend more money.

– Can you think of additional revenue streams?

Maybe holding lectures and panels or possibly giving lessons?

– We're not offering singing lessons. What else?

I'll assume that an opera does not perform 365 days a year and that there are often stretches of time when the venue is open or in preproduction. Every night that the opera house sits empty, we're losing money. So, why not hold other events in the venue, specifically musical events. I mean, the acoustics have to be unbelievable, don't you think?

– I would imagine. Okay, good. You also mentioned ticket distribution.

Yes. I'd check to see if you can buy tickets over the web and at other ticket outlets. See if we can come up with a few additional and maybe untraditional outlets or distribution channels. I'll assume that they have discounts for season ticket holders, large groups, students and senior citizens.

– That's correct.

I think schools are a good place to educate future opera fans. We have to rebuild the audience. Get the next generation interested in opera.

– The next area you mentioned was costs. I don't want to spend too much time on this, but I'll assume that you'll work hard to reduce all our costs.

Yes.

– To be honest with you, your answer isn't going where I want it to go. I feel like we're getting too bogged down in details. The question was about growth strategy. Unless you have more to say about growth strategies, we'll end this interview right now.

Well, we've talked about increasing sales by bringing in a big-name singer, adding new distribution channels for tickets and merchandise sales, as well as possible new revenue streams. We talked about increasing the product line and the diversity of that product line. That could mean new merchandise or more operas, but I think it means different shows, concerts or maybe stand-up comic revues — anything that fills the opera house on nights when there is no performance. A third strategy — that doesn't apply, but I thought I would mention — is acquiring the competition, maybe buying one of the smaller opera companies. But it doesn't sound like we have a lot of extra cash on hand, and what we do have can be better allocated toward driving more people in our door.

– That was a nice summation, but there was nothing new there.

One last thing. This summer I worked for a mutual fund company and what we discovered is that 95% of the business came from 5% of the customer base. This company wasn't fully taking advantage of the opportunities to grow through its existing customer base. Up until this summer, they never differentiated between customers who represented real profits and customers that only represented costs.

– This is good. Continue.

They found that over one-third of the money spent on marketing and customer service was wasted on efforts to acquire new customers who cost us more than we made. In some cases, we were marketing toward our established customers when that money could have been better spent.

– So what are you telling me?

We should focus the company on bringing in new and profitable customers. That may mean changing the way we currently and traditionally market. It means developing better relationships with our profitable customers. And finally, it means abandoning those customers that cause us to lose money.

– I think that theory applies to a mutual fund company better than an opera company, but I'll give you points for trying.

► Type of Case: Growth strategies

► Comments: Her answer was all over the place. Parts of it were very strong; other parts weren't. She went off on a tangent and got herself into trouble. The other thing is that she never really came up with anything extraordinary. Everything she mentioned had been tried before. The last bit about growing through existing customers and weeding out the dogs was interesting if not totally relevant.

Note: Many firms have a version of this question. They could ask about a music school, a museum or a symphony.

+ The Discount Brokerage Race

► **Case 8:** Look at this chart. Your client is a discount brokerage. The majority of its revenue comes from online trading. It achieved a 10% growth rate last year (Y1) and was ranked number six in the industry. In Y2 it fell to seventh. The company wants to get back its sixth-place ranking. How much will it have to grow to maintain that sixth-place ranking in Y3, given the rate of growth of its competitors?

Company	Industry Ranking	Current Size in Year 1 (Revenue)	Growth Rate	Year 2	Industry Ranking
A	1	\$1000m	1%	1010	1
B	2	\$900m	2%	918	2
C	3	\$800m	0%	800	4
D	4	\$800m	5%	840	3
E	5	\$700m	5%	735	5
F	6	\$600m	10%	660	7
G	7	\$600m	20%	720	6
H	8	\$500m	20%	600	8
I	9	\$500m	10%	550	9
J	10	\$400m	30%	520	10
K	11	\$300m	20%	360	11
L	12	\$300m	30%	390	12

Our client is Company F, a discount brokerage. In Y1 we were ranked sixth with a growth rate of 10% and sales of 600 million. In Y2 we dropped to seventh place with a growth rate of 10% and revenues of \$660 million. You want me to figure out how much we will have to grow by in order to get our sixth-place ranking back in Y3.

– Yes, that’s right.

Is it fair to assume that the growth rates of all the other firms will remain the same?

– Yes.

Do you mind if I write on the chart you gave me?

– No, go ahead.

I'm going to do part of this process of elimination. Everyone below Company F growing at a smaller or equal rate or whose revenues are significantly below ours can be eliminated. So that's easily the bottom four — I through L.

We also know that A and B will remain the top two. So I need to concentrate on C through H, including us — F. So, first, I'm going to do the calculations for each of those and see where they stand.

Company	Industry Ranking	Current Size in Year 1 (Revenue)	Growth Rate	Year 2	Industry Ranking	Year 3	Industry Ranking
A	1	\$1000m	1%	1010	1		1
B	2	\$900m	2%	918	2		2
C	3	\$800m	0%	800	4	800	5
D	4	\$800m	5%	840	3	882	3
E	5	\$700m	5%	735	5	772	6
F	6	\$600m	10%	660	7	726	7
G	7	\$600m	20%	720	6	864	4
H	8	\$500m	20%	600	8	720	
I	9	\$500m	10%	550	9		
J	10	\$400m	30%	520	10		
K	11	\$300m	20%	360	11		
L	12	\$300m	30%	390	12		

If we stayed at a 10% growth rate we'd have revenues of \$726 million, which would put us in seventh place. So, how fast do we need to grow? If we round Company E's sales off to \$772 then that's our target number. We need to beat 772. So we need an increase of over \$46 million (772 - 726). So $660X = 772$. Divide each side by 660 and we get X equals ... about 1.17 or 17%. A minimum 17% growth in Y3 would put us in sixth place.

Company	Year 3	Industry Ranking
A		1
B		2
C	800	5
D	882	3
E	771.75	7
F	772	6
G	864	4
H	720	8

– Okay, good. Which company would you invest in and why?

I'd invest in G, provided they can continue their 20% growth rate.

► **Type of case: Numbers**

► **Comments:** This case was a pure numbers case. The student did well by eliminating what was obvious and using her time efficiently.

+ Cow Brothers Premium Ice Cream

Case 9: Cow Brothers is a maker of super-premium ice cream, low-fat ice cream, low-fat yogurt and sorbet. Its products are high quality and the company uses only natural ingredients. Cow Brothers products are distributed nationwide through supermarkets, grocery stores, convenience stores, franchises and company-owned ice cream shops and restaurants.

Cow Brothers has 30 flavors and sells its products in one-pint containers. It also has single servings on a stick.

Cow Brothers has strong brand recognition. Its “Have a Cow” marketing campaign met with great success. Last year, sales were \$200 million (\$177 million came from supermarket and grocery store sales), which put the company third in the industry behind Häagen-Dazs and Ben & Jerry’s. These top three competitors hold 62% of the market.

The president, Winston Cow, is still not satisfied. He wants to increase company sales to \$250 million by next year. How do you do it?

Let me make sure I understand. Cow Brothers, the number three maker of premium ice cream, wants to increase its sales from \$200 million to \$250 million next year. That would be an increase of around 25%. How much did Cow Brothers’ sales increase last year?

– 10%.

And that was mainly due to the “Have a Cow” marketing campaign?

– Yes.

One objective is to increase company sales. Are there any other objectives or goals that I should be aware of?

– No.

Is the company privately held?

– Yes.

What was the overall industry growth last year?

– 12%.

So Häagen-Dazs and Ben & Jerry’s only grew by 12% last year?

– No. Ben & Jerry’s grew by 20% Häagen-Dazs by less.

First, we should analyze what Ben & Jerry's did to increase its sales and compare it to not only what we did but to what Häagen-Dazs did as well.

– Fine. What else?

Student draws the decision tree as she speaks.



We need to not only increase sales but also to grow the company. The three major ways to increase sales are to raise prices, to get customers to buy more when they purchase Cow Brothers and to expand our market base. Are we priced competitively?

– Our prices exactly match our competitors'.

So that's a no for raising prices. You mentioned that Cow Brothers only produces ice cream in the one-pint containers. Have they thought about a two-pint container? That way customers would buy more per transaction.

– That's a possibility.

The third way is to expand our market base. I'd like to talk growth strategies. I know of five main growth strategies: increase distribution channels, increase product line, launch a major marketing campaign, diversify and acquire a competitor. I'd like to look at the advantages and disadvantages of each of these and see which makes sense.



It seems as if we are tied into all the major distribution channels for our products. But there must be areas of the country where distribution is weak. I'd analyze those markets and see if we can't increase the number of outlets that carry our products.

Next, we need to increase our product line: You said we have 30 flavors. How many flavors do the supermarkets and ice cream shops carry?

- The supermarkets carry five at a time; the ice cream shops carry 15.

We don't want to increase the number of flavors because no one can carry them as is. We need to add new sizes, not new flavors. You said that the "Have a Cow" marketing campaign went well. We should look at increasing our marketing budget.

The next idea is somewhat radical, but bear with me. Diversification. Cow Brothers has great brand recognition. It's well known and stands for quality. In marketing class we read Ted Levitt's article "Marketing Myopia," in which he uses an example of the buggy whip company. When the car came along, the demand for buggy whips dropped significantly. Had the buggy whip company seen itself as being in the transportation business instead of the buggy whip industry, it would still be in business today. Likewise, if Cow Brothers pictures itself in the dairy business or gourmet foods business, it can take better advantage of its brand name.

Cow Brothers might want to try a line of gourmet cheeses and cream cheeses. The cream cheeses could be distributed through all the regular distribution channels, but we could also create new distribution channels through various chains of bagel shops, which may also want to sell our single-serve ice cream products.

- That's food for thought.

Now, acquisition might be a possibility if we can get the idea funded without loading ourselves up with debt. We might look to buy one of our lesser regional competitors, particularly in an area of the country where our distribution channels and name recognition are weak.

- Okay, good. So what are your recommendations?

First, I'd continue and probably step up our marketing campaign. Second, I would increase our product line by offering a two-pint container size as well as the original one-pint size. I'd also diversify our product line into other dairy products, like gourmet cream cheeses, to take advantage of our brand name and our established distribution channels. Third, I'd analyze the possible acquisition of a regional competitor, particularly in a region of the country where our sales are weak. That way we can take advantage of their established distribution channels.

► **Type of case:** Increasing sales and growing the company

► **Comments:** First, she was quick to realize that this was a two-scenario case: increasing sales and growing the company. She also quickly figured out the client's expectations. Winston Cow wanted to increase company sales to \$250 million. What kind of percentage did that represent? And was it feasible? Realizing that ice cream sales alone couldn't reach the client's goal, she looked at the company overall, assessing and changing its strategy. Finally, her ability to look outside the existing business led to a great idea — Cow Brothers Gourmet Cream Cheese.

+ Hair-raising

▶ **Case 10:** Our client is a large pharmaceutical company that has developed a cure for baldness. It's a pill that will rapidly (within three months) re-grow your hair to the thickness it was when you were fifteen years old. The pill, called IPP2, needs to be taken every day to maintain that thickness. Please estimate the size of the US market and tell me how you would price the drug.

So, our client is a large drug company that has developed a pill that will re-grow your hair to the thickness it was when you were a teenager. The pill is called IPP2 and needs to be taken daily. You want me to estimate the size of the domestic market and develop a pricing strategy.

– Yes, that's right.

Besides estimating the market size and coming up with a pricing strategy, are there any other objectives I should be concerned about?

– Profits. We want to make sizable profits.

How about market share?

– We're more concerned about profits than market share. You price it right, the market share will come.

Before I tackle the market size, I'd like to ask a few questions.

– Shoot.

Can this be used by both men and women?

– Yes.

Is it covered by health insurance?

– No.

Is it a prescription drug or sold over-the-counter?

– Prescription.

Is this for thinning hair or just for male pattern baldness?

– Can be used for thinning hair as well.

Are there any side effects?

– Yes. It causes sexual dysfunction in 2% of men, and women thinking of having children shouldn't take it because it could cause birth defects.

I don't think that's enough to deter men. However, we need to eliminate all women 40 years old and younger, although I realize that there is a small population of women who give birth after 40. So, let's figure this out.

I'm going to assume that there are 320 million Americans and that their life expectancy is 80 years. And I'm going to assume that there are even numbers of people in each age group, and that there is a 50/50 split between men and women. I'll break it down by generation and by sex. So 320 divided by four generations equals 80 million per generation, and each generation has 40 million men and 40 million women. I'll also assume that as men get older, actually as people get older, there will be a greater percentage of them losing their hair.

Age	Men	% w/thin hair		Women	% w/thin hair		Totals
1-20	40m	0%	0	40m	0%	0	0m
21-40	40m	20%	8m	40m	0%	0	8m
41-60	40m	40%	16m	40m	1%	.4	16.4m
61-80+	40m	60%	24m	40m	10%	4	28m
							52.4m

With men ages 1 -20, I'll assume that no one or no significant number falls into that category. Same with women. For those 21 -40, I'll estimate that 20% of men and again 0% of women fall into that category. The 41 -60 group has a higher percent — I'd say 40% of men and 1% of women. And, finally, in the age range of 60-80, I'd guess 60% of men and 10% of women.

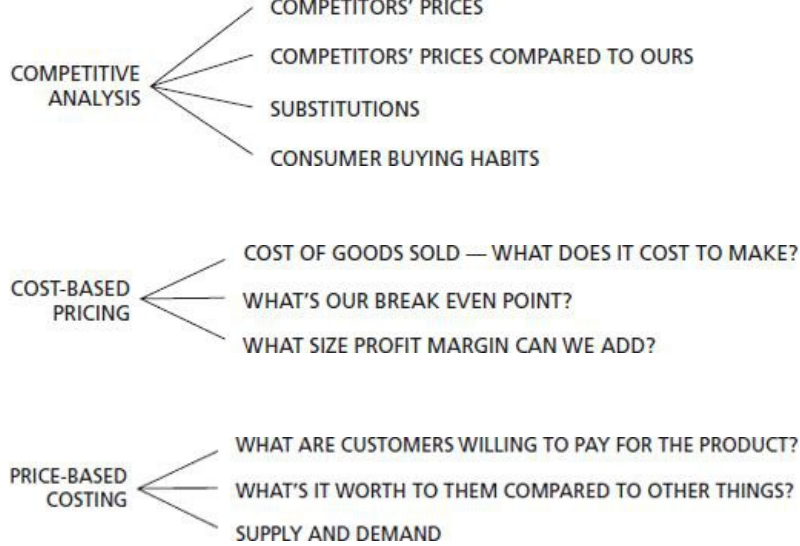
That totals around 52 million. From that number, I'm going to subtract 7 million. The reasons are that some men shave their heads, some don't care about going bald and others can't afford it, although we don't know what the price tag is yet.

So I'll estimate the market size of 45 million American customers.

– Okay, what's next?

We need to price our product. I'd like to look at it three different ways. First, who is our competition and what do they charge? Second, we'll look at cost-based pricing. And third, we'll consider price-based costing. I just want to take a moment to draw a diagram...

PRICING STRATEGIES



Who is our competition and what do they charge?

- There are two major competitors. One is a topical solution that sells for \$60 for a month's supply. The second is a pill that sells for \$50 for a month's supply.

How does our product compare to the competition?

- We are three times more effective. Thicker hair, faster.

Are there any credible substitutions?

- Assume no.

What about customer loyalty?

- Assume that both the competitors produce the same results and it comes down to application preference.

Let's talk about cost-based pricing. What does it cost us to make, package and market a one-month supply? Were there heavy R&D costs?

– R&D costs were minimal because this was discovered by accident while we were testing a similar drug for a different illness. So the cost of the entire package, everything you need to worry about, is \$1 for a month's supply.

One dollar? That's it? That's great. So with production costs of one dollar and no heavy R&D costs, we can dismiss cost-based pricing. If we look at price-based costing, we need to figure out what the market will bear. How much will people be willing to pay for a full head of hair? Currently, they are paying between \$50 and \$60 a month for products that aren't as good as ours. So that means that they might pay as much as \$150 to \$180 a month. So now we have parameters of between \$2, which represents a 100% markup, and \$180, which represents 18,000% markup.

– An 18,000% markup; are you comfortable with that?

I'm comfortable with the markup percentage if that's what people will pay. This isn't a life and death drug, like an AIDS drug. This is purely cosmetic. I'm not convinced that people would pay \$180 a month. You're growing a little thin on top, sir. What would you pay?

– Rule number one: never insult the interviewer.

Sorry, but it looks good on you.

– And you were doing so well. What else do you have regarding pricing?

You need to look at what it is worth to them compared to other things in their life. People pay \$3 a day for a cup of Starbucks coffee. Is a full head of hair worth a cup of coffee? I'd say yes.

– So, \$90 a month?

Student draws this chart.

– So, \$90 a month?

Student draws this chart.



The objective of this case was profits, not market share. If it were market share, then I'd go in at \$40 in order to under-price our competition, gain tremendous market share and then crank the price once we have them as loyal customers — kind of like the pricing strategies of Standard Oil in the 1930s. But I don't think we'll need to do that. If the product is that effective, we'll get heavy press coverage and soon drive the competition out of the market.

One small point as far as market share is concerned: If a large share of the market currently uses a topical solution because they like the application process, then we will have to try harder to get them to switch to a pill, realizing that a percentage of them will never switch.

► **Type of Case :** Market-sizing, pricing

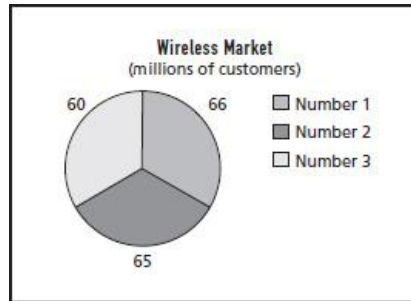
► **Comments:** Our candidate was lucky that the interviewer had more humor than hair. He did a good job breaking down the market-sizing aspect of the case. He used a chart that kept information organized. He also looked at three pricing strategies, quickly dismissing one as irrelevant. I also liked that he took a moment to diagram his pricing strategy. Overall, a nice job.

+ Wireless Worries

Case 11: In Q4, the number-three US wireless carrier slipped further behind its rivals in its number of customers, even as profits rose 35%. What do you think is going on?

Profits are up, but the number of customers is down. We need to figure out why this is happening.

– That's right.



How many customers did Number 3 lose in Q4?

– As you can see, we closed the year with 60 million customers. That takes into account a loss of 2.5% or 1.5 million customers lost in Q4.

Annually, that's 10% of our customer base for the year.

– That's right.

Besides figuring out why we're losing so many customers, are there any other objectives I need to be concerned about?

– Not at the moment.

The student writes $E(P = R - C)M$.

I'd like to start by looking at the industry. Are the other two major wireless companies losing customers as well?

– Yes, but not in such large numbers. Traditionally, wireless companies lose about 1% of their customer base each quarter. However, they gain much more than they lose.

Did we gain more than we lost?

– Yes. We gained 2 million new customers that quarter. **Next, I'd like to know why we are losing so many customers?**

– Why do you think?

It could be any number of reasons: the other companies might have a better and more reliable network, more effective advertising, better pricing, cooler phones or better customer service.

– Assume all that is true, but it only makes up a small portion of our losses. Why else?

Did we have a satellite problem, causing our network to go down for a while?

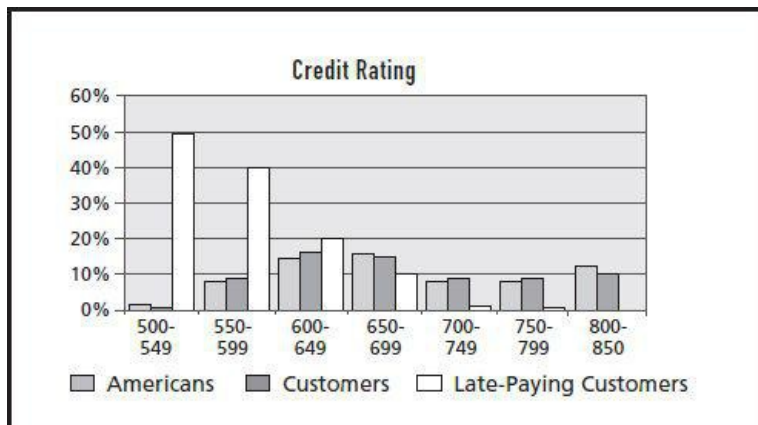
– No.

The student struggles to come up with other reasons, so the interviewer tosses her a bone.

– What if we wanted to lose those customers?

I'm not sure I understand.

– One of our major concerns is bad debt. We spend a lot of time, effort and money on bill collection. It's a runaway cost. We spend so much time trying to get new accounts that we don't do a proper job vetting our customers' credit. Here's a chart for you to study. What does it say to you?



It tells me that people with credit ratings between 500 and 600 are a problem. Is it worth keeping them as customers? Let's figure out how many customers we're talking about. According to the first pie chart, we have 60 million customers. It looks as if 1% of our customers fall into the 500 - 549 range. They pay late 50% of the time. Is it the same 50% who pay late every month?

– Not necessarily. You can assume that everyone in that group has been late paying the bill at some point, some more than others.

If we eliminate them as customers, that's 600,000 customers. The next group isn't much better. We can see that 40% of them pay late. This is a bigger pool. We're looking at 9% of the customer base, or around 5.4 million customers. If we dropped those two groups from our customer lists, that would set us back 6 million customers and put us at 54 million. In turn we would be 10 million customers behind the number two wireless company.

– So?

How much does it cost us to collect late payments from each customer?

– \$50.

How much is the average bill?

– Overall, it's \$40; however, in those categories, it's \$75.

So we're paying \$50 to collect \$75. Are our margins so great that we're still making money off those customers?

– No. Profit margins are 25%.

Do we charge a late fee?

– No.

What percentage of those customers abandon their accounts altogether, leaving us holding the bag?

– Good question, but I don't have the figure for that. Run some numbers for me. How much will we be saving if we drop all 6 million customers?

We have 6 million late-paying customers with average bills of \$75. That's revenues of . \$450 million. Our margins are 25%, which brings the number down to a little less than \$115 million. We need to add the cost of collection. Some customers pay late 50% of the time, others 40% of the time. Let's average it and call it 45%. So 45% of 6 million customers is 2.7. We have 2.7 million customers who pay late. We spend \$50 trying to recover the money; that's \$135 million. So we're losing \$20 million a month going after those customers.

– So what do you suggest?

We can do a couple of things. Shed the high-risk late payers. Vet new customers better. Require them to have a 600 credit rating or better. Start charging a late fee and go after the customer collections every two months instead of every month. If we do that, we're spending \$50 to go after \$150.

– That's right.

► **Type of case: Reducing costs**

► **Comments:** She just did alright. The student's math was solid. She got stuck and the interviewer came to the rescue, but she didn't pick up on the hint. She came up with a decent list of suggestions, which showed she listened. Also, she did a good job analyzing the second chart. It's a hard chart. It is not well designed and it has a lot of information on it. Oftentimes, the interviewers will give you badly designed charts to test your analytical skills.

+ College Mail

Case 12: Our client is a company named Imagitas. They have a contract with the US Postal Service to print the change of address forms that you find in your local post office. Ten years ago, the change of address form was a simple green card. Now, the mover receives a booklet with helpful hints on how to move and coupons to stores and services that the mover will need when moving. This booklet is called “The Mover’s Guide.” Imagitas also sends a “Welcome Kit” to the mover’s new address with coupons and information that she might find helpful in her new neighborhood. Imagitas saves the US Postal Service over \$12 million dollars a year while making over \$50 million in ad revenues.

One of the most active, yet hardest to reach, markets is the college student. Imagitas seeks ways to segment and reach the college market. Lay out a strategic plan for Imagitas to follow, keeping in mind that its objectives are to:

- reach students sooner.
- provide appropriate and attractive coupons.
- drive student/movers to the website.
- retain mover information online.
- make a profit.

So, basically, our client is a company that handles the change of address forms for the US Postal Service. They want us to help them segment the college market, while meeting the objectives of reaching students sooner, providing appropriate coupons, and getting students to use the website and retain information online, while making a profit.

– Basically.

Can people currently do a change of address online?

– Yes.

The coupons that Imagitas sends out to movers, are they from local merchants or national chains?

– National chains, although we hope to distribute local merchants soon.

I can think of five segments to this market: heading to school for the first time, heading back to school, moving back home with parents for the summer, moving to a new city for a summer internship and moving to a new city for the first job. The three that I’d like to focus on first are heading to school for the first time, heading back to school each year and moving to a new city for a first job.

– Go on.

Heading to school for the first time is a great opportunity for a very strong Mover's Guide package if it is sent early enough before the parents go shopping. Coupons for Linens'n Things and Gap® might be good additions to the Mover's Guide.

When the student arrives on campus, the Welcome Kit can be unique, with a strong mix of national and local coupons, if segmented by school or city. Coupons should be for "room stash," batteries, pizza, dry cleaners, that sort of thing.

With the group that is heading back to school, I'd focus mostly on the Welcome Kit. If Imagitas can segment by school or city, then they can get a large number of local merchants as well as national chains.

Finally, there is the group that is moving to a new city for a first job. Again, this gives us a great opportunity to weigh heavily on the Welcome Kit. This group will need everything and now has a paycheck to pay for it. National retailers like Crate & Barrel and Linens'n Things should jump on it.

– What you're saying is good, but how can Imagitas reach students and get them to use the website?

College students can be reached through a variety of channels, such as strategic partnerships with universities, advertising through trade-outs and word of mouth. Preferably, we would like to capture student data before they get on campus. The best possible solution would be to work with university admissions and housing offices to place the USPS web address in their acceptance and housing letters.

– Why would schools do this?

This would save the schools a lot of work and money in the long run. First, we should build an alliance with university mail centers. Every summer, university mail centers across the country receive tons of mail for recent graduates, students away for the summer and students who have transferred or dropped out. It's an expensive and time-consuming effort to return or, worse yet, forward their mail.

In the spring, University Mail Services (UMS) usually places a postcard in the mailbox of all on-campus students urging them to notify both the USPS and the university mail services of their new address. I know that my school UMS keeps a database for students who have notified them, although I'd imagine the percentage of students that comply is probably pretty low. I know I get those notices every year and never remember to fill them out.

In return, university mail centers should be willing to place a Mover's Guide into every on-campus mailbox to try to eliminate or curtail this burden. First, it would save them the expense of printing the postcards. Second, the online switching through the USPS site would greatly curtail their excess mail.

Through the university mail services, admissions and housing offices, we could capture a significant percentage of the college population and retain them as they move through their different life stages. In addition, by-school segmentation makes us more attractive to local vendors.

– How else can students get the word?

Word of mouth. One cannot over-emphasize “word of mouth.” Word gets around fast, and now, with the large percentage of this group using e-mail, has amplified the message and multiplied the listeners. If it is “quick and cool,” it can be done.

– Can you summarize for me?

USPS and Imagitas should capture college students early — ideally before they go to college. They can do this by working in conjunction with colleges and universities by helping them reduce their excess mail load. USPS can collect the student’s information in a database and have the individual update it over the Internet a month before each move. USPS can even send out an automatic e-mail a month before the student moves, prompting him to make the change online.

Once they sign up, students can reinitiate their moves over the Internet using a PIN number, not only in college, but for the rest of their lives. USPS will promptly mail them a confirmation notice and Imagitas will mail the Mover’s Guide to their current address. The Mover’s Guide will continue to have coupons for products and services to help them move. Finally, a Welcome Kit will be sent to the new address.

There is one more thing I’d like to add that we didn’t talk about and that’s the website. Besides changing my address, it would be very helpful if I could order my phone and cable service at the same time. So, maybe the website should have links to the appropriate companies in my new area. That way, by the time I move in, I’ll be all set. Also, maybe there could be online coupons as well. I mention this because, when you’re moving, your room’s a mess and things tend to get lost. The last thing I unhook is my computer, so I’ll have access to the webpage.

– Excellent. I’ll have to remember that for my next meeting with Imagitas.

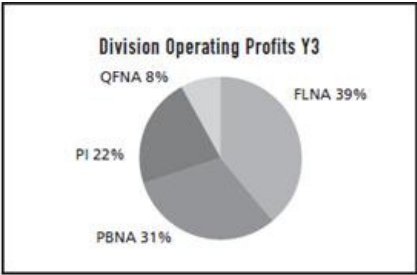
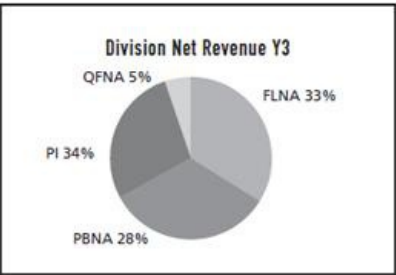
► Type of Case: Strategy / marketing

► Comments: Although this is a strategy case, it didn’t fit neatly into one of the six strategy scenarios described in the Ivy Case Method. The student was asked about how to reach a segment of which she is a part — thus she put herself into the mix and tried to figure out how to reach students like her. Her answer went into more detail than most case questions require; however, when you have a question that asks how you reach a specific market, a little more detail is needed.

+ PEPSICO

► **Case 13:** This information was taken from the PepsiCo® Annual Report. PepsiCo is broken down into four divisions: Frito-Lay North America (FLNA), PepsiCo Beverages North America (PBNA), PepsiCo International (PI) and Quaker North America (QFNA). I'd like you to look it over and let me know the highlights. Think out loud; I'd like to know how you approach this. And do all the numbers in your head.

	Y3	Y2	Y1	Y3	Y2	Y1
	Net Revenue	Operating Profit				
FLNA	9,560	9,091	8,565	2,389	2,242	2,081
PBNA	8,313	7,733	7,200	1,911	1,690	1,485
PI	9,862	8,678	7,749	1,323	1,061	910
QFNA	1,526	1,467	1,464	475	470	458
Total Division	29,261	26,969	24,978	6,098	5,463	4,934
Divested Businesses		2	134		26	23
Corporate				-689	-502	-438
	29,261	26,971	25,112	5,409	4,987	4,519
Restructuring Charges				-150	-147	
Merger-related Costs					-59	-224
	29,261	26,971	25,112	5,259	4,781	4,295



You'd like me to scan the numbers and the pie charts and let you know what has been going on inside Pepsi over the last year. Besides my summary, is there anything else you'd like to see?

– No.

Well, the pie charts help a great deal. I'm going to break it down much the way Pepsi did. We know by looking at the chart that the Frito-Lay division net revenue for Y3 was 33% of total revenues. In Y2, if we divide 9,000 by 27,000, we get 33%. And if we divide 8,500 by 25,000, we get about ... 33% as well. So we know that the net revenue of Frito-Lay as a percentage of Pepsi's overall sales has remained constant. I'll do the same for Pepsi North America. According to the pie chart, PBNA net revenue was 28% in Y3. For Y2, I'll divide 7,700 by 27,000,

which gives me a little less than 30%, probably 28% or 29%. Then, 7,200 divided by 25,000 will give us around 29% for Y2. So, I'd state that Pepsi North America remained relatively constant as well.

I'm going to jump to Quaker Oats. I see that Quaker made up 5% of the revenues in Y3. In Y2, 10% would be 2,700 and Quaker's total is about half of that, so I'd say revenues remain constant as well, at 5%. In Y2, they were around 6% — maybe in the high fives, if we ran the numbers instead of estimating.

So, if the three that I calculated remained the same, the fourth, Pepsi International, will remain the same as well. I'll go out on a limb here and say that as a percentage of revenues, all divisions held steady.

– Who had the biggest jump in sales from Y2 to Y3? Can you eyeball that as well?

Sure. Frito-Lay grew to 9,600 from 9,100, so that equals 500. Ten percent growth would be around 910, so 500 is about 5% or 6%. PBNA grew to 8,300 from 7,700, which equals 600. So, I'm guessing that Pepsi North America grew by 7%. Pepsi International grew almost 1,100 from an 8,700 starting point. So that's ... 12%. And, finally, Quaker grew by about 60 from a 2003 base of 1,500 so that equals ... a little less than 5%. It's probably closer to 4 percent.

Pepsi International grew by about 12%, which makes it the leader among the four divisions.

– Good. Last one. Eyeball the operating profit as a percentage of revenues for Y3. You have 6,100 divided by 30,000, which equals around 20%.

► **Type of case: Numbers / Company Analysis**

► **Comments:** It is becoming more common for interviewers to hand you charts and graphs and ask you not only to interpret them, but to run the numbers in your head. They are testing not only your analytical skills, but whether you show grace under pressure. Generally, the tripartite interest will be in your (1) analysis, (2) innovation and (3) calculations. This student did well. He rounded all the numbers off to make his calculations simpler. Instead of doing the actual calculations, he looked at things as percentages i.e., Quaker was 5%. And most importantly, he didn't get flustered by the numbers.

+ Batter Up!

► **Case 14:** You're a baseball fan and the owner of a private batting club in lower Manhattan that has six multi-use batting tunnels or cages. One tunnel also has an auto-feed Iron Mike Pitching Machine®. Members can reserve "cage time" each week. Your director of sales comes to you and wants to know what the new member target is — how many new members she needs to sign up. You know that last year the sales team signed on 200 new members. The company's revenues grew by 10%, and your (net) membership was roughly 10%, from 1,000 members to 1,100. If you wanted to meet your new target growth rate of about 15%, how many new members would you need to recruit? Is this number feasible?

Okay, we need to figure out how many new members we need to sign up in order to reach our target of 15%. Are there any other objectives of which I should be aware?

– No.

Okay. A 15% increase from 1,100 is $1,100 \times 1.15$ equals 1,265. You said that last year we signed up 200 new members, but the membership only went from 1,000 to 1,100. That means we lost about 100 members, or about 10% of our membership. I'll assume that every year we lose 10% of our membership base. That means we are going to lose 110 members this year ($1100 \times .10$).

If that's true, we are starting at 1,100 minus 110, which equals 990 members, and we need to reach 1,265. We calculate $1,265$ minus 990 , which equals 275 new members. That's about a 20, no — 28% increase. Is it feasible? It's double what we did last year. I'd have to explore our marketing plan: what we've done in the past and what we've got planned in the future. Tell me —

– I'd like you to focus on something else. What would you estimate our revenues are a year? Use the 1,265 member number.

What are the fees and the pricing structure?

– Members pay \$1,000 a year membership fee. Non-members pay \$50 for a half an hour of batting cage time and \$100 for an hour.

Do we know the percentage breakdown between half-hour renters compared to those who rent for the full hour?

– Does it matter?

No, I guess not. Not if the hourly fee is the same, whether you rent by the hour or half-hour. Let me ask, what are your hours of operation?

– Eighteen hours a day, seven days a week.

Well, first we have the membership fee. We start with 1,265 people paying \$1,000 a year in membership fees. So that equals \$1,256,000.

– I was glad to see that you could do the math in your head.

Next, we have 18 hours a day times 30 days equals ... 540 hours a month of available batting cage time. I'll assume that on Fridays, Saturdays and Sundays the cages are in use 90% of the time. And since there is no difference between the hourly rates — they both equal out to \$100 an hour — I'll figure this on an hourly basis. So, 90% of three times 18 times \$100.

Three times 18 equals 54 hours. 90% of 54 equals around 49 hours if I round up.

Say, 50 hours times \$100 equals \$5,000. Then I multiple it by four weekends in a month and I'll get \$20,000 a month.

– Really?

You think that's too high?

– I think it's too low.

Too low? A 90% occupancy rate is too low?

– The 90% is fine; the total is too low.

Checks his notes on the page.

Ah, you must be referring to the fact that there are six cages and so far my numbers are just for one cage. I was getting to that.

– Strike one.

Okay, \$30,000 (5,000 x 6 cages) times four weekends equals \$120,000 a month or \$120,000 times 12 months equals \$1,440,000.

Now let's look at Monday through Thursday. I'll say it's full from 6 am to 9 am — people going before work. It's full from 11 to 2, a lunchtime break — that's another three hours. And it's full from 6 to midnight — that's six more hours. I'll estimate that it is busy 12 hours a day, times \$100 equals \$1,200 a day, times four days a week — \$4,800 — times four weeks equals . \$19,200 a month.

– Really?

Times six cages. \$19,200 times six is ... 115,200. We'll take that number and multiply it by 12 and get ...

– Can you do it in your head?

Well, \$115,200 times 10 is \$1,152,000. Add two more months — \$230,400 — and that equals \$1,382,400.

– Good.

What other revenues streams do they have?

– What do you think?

I think that they have food and beverages. In the mornings they have coffee and egg sandwiches, maybe a fruit cup — anyway, I'll estimate that people will spend \$5 for breakfast. We'd probably serve lunch as well. I'll estimate \$10 for lunch. For dinner time, maybe \$15; this includes a sandwich and a beer.

There are a lot of different ways to figure this out, but what I'm going to do is average out the food price, which would be \$10, and multiply it by the number of people who use the batting cages and take a percentage of that.

So, if we add up the total of visitor dollars and divide by 100 (\$1,440,000 plus \$1,382,400 divided by 100), that equals 28,224 hour-long visitors. Let's say there is a 50/50 split between full-hour batters and half-an-hour batters. That means there are 14,112 hour-long batters and 28,224 half-an-hour batters. That total is around 42,000. And let's say that 50% of the people buy food. Fifty percent would be 21,000 meals times \$10 equals \$210,000. It seems low compared to the other numbers, but I think it's a good number.

– Not bad. What's next?

Merchandise. T-shirts, gloves and bats. I'll assume that half the members buy something and that the average purchase price is \$50. The total number of members is 1,265 divided by two, which is around 630 times \$50 equals (63,000/2) or around \$32,000.

– Any other revenue streams?